INTERNATIONAL MONETARY FUND

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UNION OF THE COMOROS

February 2026

2025 ARTICLE IV CONSULTATION, FIFTH REVIEW UNDER THE EXTENDED CREDIT FACILITY ARRANGEMENT, AND REQUEST FOR WAIVERS OF NONOBSERVANCE OF PERFORMANCE CRITERIA—PRESS RELEASE; STAFF REPORT; AND STATEMENT BY THE EXECUTIVE DIRECTOR FOR THE UNION OF THE COMOROS

In the context of the combined Article IV Consultation and Fifth Review under the Extended Credit Facility Arrangement, the following documents have been released and are included in this package:

- A **Press Release** including a statement by the Chair of the Executive Board.
- The **Staff Report** prepared by a staff team of the IMF for the Executive Board's consideration on February 11, 2026, following discussions that ended on November 7, 2025, with the officials of the Union of the Comoros on economic developments and policies underpinning the IMF arrangement under the Extended Credit Facility. Based on information available at the time of these discussions, the staff report was completed on January 29, 2026
- An **Informational Annex** prepared by the IMF staff.
- A **Debt Sustainability Analysis** prepared by the staff of the IMF and the World Bank.
- A **Statement by the Executive Director** for the Union of the Comoros.

The documents listed below have been or will be separately released.

Selected Issues

The IMF's transparency policy allows for the deletion of market-sensitive information and premature disclosure of the authorities' policy intentions in published staff reports and other documents.

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PRESS RELEASE

PR 26/045

IMF Executive Board Completes the Fifth Review Under the Extended Credit Facility Arrangement and Concludes the 2025 Article IV Consultation with the Union of the Comoros

FOR IMMEDIATE RELEASE

- The IMF Executive Board completed the fifth review under the Extended Credit Facility Arrangement and the 2025 Article IV Consultation with the Union of the Comoros. Approval of the fifth review enables an immediate disbursement of SDR 3.56 million (about US$ 4.92 million).
- Program performance improved compared to the fourth review and remains broadly on track despite a series of mid-year events which diverted the authorities' attention and affected the pace of reform implementation. The authorities have reaffirmed their commitment to the ECF-supported reform agenda and are determined to demonstrate stronger program ownership in the period ahead.
- Economic conditions remain broadly stable, supported by adequate external buffers and continued engagement under the ECF-supported program. Recent fiscal slippages have been addressed through the adoption of a comprehensive package of corrective measures. Continued implementation of the program is helping to safeguard macroeconomic stability, advance critical structural reforms, and catalyze concessional financing to meet Comoros's sizable development and financing needs.

Washington, DC – **February 11, 2026:** The Executive Board of the International Monetary Fund (IMF) completed the fifth review under the Union of the Comoros' Extended Credit Facility (ECF) arrangement and concluded the 2025 Article IV consultation.[1] The authorities have consented to the publication of the Staff Report prepared for this consultation.[2] The Executive Board's decision allows for an immediate disbursement of SDR 3.56 million (about US$ 4.87 million), bringing the total disbursements so far under the arrangement to about $28.62 million. The 4-year ECF arrangement was approved on June 1, 2023 with an access of SDR 32.04 million (about US$ 43 million).

In completing the review, the Executive Board also approved the authorities' request for waivers of nonobservance of the quantitative performance criteria (QPCs) on the domestic

[1] Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board.

[2] Under the IMF's Articles of Agreement, publication of documents that pertain to member countries is voluntary and requires the member consent. The staff report will be shortly published on the www.imf.org/comoros page.

primary balance at end-June 2025 and the continuous QPC on the non-accumulation of external arrears.

While there has been considerable progress toward achieving program objectives, including recent corrective actions and efforts to remain current on external debt service, sustained implementation efforts will be required to maintain reform momentum through the end of the program in 2027. Despite recent setbacks, the authorities have reiterated their strong commitment to the ECF-supported program. Program performance has been broadly satisfactory: three of five QPCs were met at end-June 2025, and 13 of the 15 structural benchmarks (SBs) scheduled between end-June and end-December 2025 were also met.

Comoros' economic reform program supported by the ECF arrangement seeks to reduce fragility and increase economic resilience by building fiscal buffers, reducing debt vulnerabilities, strengthening the financial sector, and enhancing governance. Key policy priorities for the program remain unchanged and include: (i) mobilizing domestic revenue through reforms to strengthen tax and customs administration and streamline tax exemptions; (ii) stabilizing the financial sector including through the restructuring of the state-owned postal bank SNPSF and enhancing the Central Bank's banking supervision and resolution capacities; and (iii) strengthening governance through PFM and anti-corruption reforms.

Economic conditions remain broadly stable, although risks persist. Growth is estimated at 3.8 percent in 2025 and projected to rise to 4.1 percent in 2026, supported by public investment and a gradual pickup in domestic credit. Inflation continued to decline in 2025, reaching 1.9 percent year-on-year in October, down from a peak of 7.3 percent in March, reflecting lower import prices and improved domestic supply conditions. As a result, average inflation for 2025 has been revised downward from 3.8 to 3.5 percent. Fiscal consolidation was weaker than expected in the first half of the year, largely due to unplanned transfer spending. However, a stronger adjustment has been programed for the final quarter of 2025 and for 2026, supported by corrective measures, including high-quality tax policy actions. The external position remains stable, with the current account deficit estimated at around 3.0 percent of GDP and international reserves projected to cover more than 8 months of imports in 2025 and to remain adequate over the medium term.

Following the Executive Board's discussion, Mr. Nigel Clarke, Deputy Managing Director, and Acting Chair, issued the following statement:

"The economic recovery gained further momentum in 2025, amid gradual disinflation, while the external position remained stable, with ample reserve buffers. Program performance has been broadly satisfactory and the outlook remains positive. Nonetheless, downside risks remain significant, reflecting Comoros's persistent fragility and elevated global uncertainty. The Comorian authorities remain committed to their reform agenda under the Extended Credit Facility–supported program, which aims to strengthen resilience and generate higher and more inclusive growth. Continued engagement with the IMF and development partners, together with sustained reform implementation, will remain essential to support these goals.

"Fiscal policy remains centered on revenue-led consolidation to reduce debt vulnerabilities, while creating space for priority spending. The authorities are committed to implementing corrective measures to address the modest fiscal slippage in 2025, centered on a credible package of tax measures to return the fiscal consolidation to its programmed path. Measures to address arrears, along with public financial management reforms to strengthen budget credibility and transparency and improve debt management, are important.

"Monetary policy continues to be anchored by the euro peg, supporting price and external stability. Transitioning to fixed-rate, full-allotment liquidity operations would strengthen monetary transmission and better anchor expectations. Strengthening financial sector supervision and regulation, resolution planning, banks' balance sheets, along with fully operationalizing the postal bank (BPC), will be key to enhancing financial stability.

"The authorities remain committed to strengthening governance, transparency, and accountability, improving the business environment, and addressing climate-related risks. Important measures include operationalizing the asset declaration framework, closing gaps in the AML/CFT regime, and improving transparency in public procurement contracts. Continued improvements in state-owned enterprise governance and customs administration remain important to reduce fiscal risks and strengthen public sector oversight. Enhanced social protection, including through pension reform, would help to address poverty and food insecurity."

Executive Board Assessment[3]

Executive Directors agreed with the thrust of the staff appraisal. They welcomed that the recovery has gained momentum and that program performance has been broadly adequate, with progress on reform implementation. Noting the significant downside risks to the outlook, Directors underscored the need for prudent macroeconomic policies and sustained reform momentum to avoid further policy slippages, strengthen resilience, address debt sustainability, and generate higher and more inclusive growth. Implementing well-targeted capacity development from the Fund and other development partners remains crucial.

Pointing to the mixed program performance, Directors welcomed the authorities' commitment to address fiscal slippages and implement fiscal consolidation to reduce debt vulnerabilities and create space for priority spending. They welcomed the focus on robust revenue mobilization and urged the authorities to leverage ongoing Fund capacity development to swiftly implement the planned measures. Directors underscored the need for deeper public financial management reforms to strengthen budget credibility and transparency and to improve debt management. They stressed that measures to address and prevent the recurrence of arrears remain important.

Directors emphasized that monetary policy should remain firmly anchored on maintaining price stability and preserving the exchange rate peg. They underscored that strengthening the operational framework would help to improve liquidity management and monetary transmission and better anchor expectations. In this regard, Directors considered that transitioning toward a fixed-rate, full-allotment operating framework would be beneficial. They urged the authorities to further strengthen financial sector supervisory and regulatory frameworks, and underscored the need to finalize bank recapitalization plans and the restructuring of the postal bank. In addition, measures to strengthen bank balance sheets and enhance the resolution framework are critical to safeguard financial stability. Directors

[3] At the conclusion of the discussion, the Managing Director, as Chair of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities. An explanation of any qualifiers used in summings up can be found here: http://www.IMF.org/external/np/sec/misc/qualifiers.htm.

welcomed progress toward establishing a domestic government securities market and recommended that all prerequisites be met before its launch.

Directors emphasized the criticality of reforms to improve governance, transparency, and the business environment, and address climate-related risks. They welcomed ongoing efforts to operationalize the asset declaration framework, strengthen the AML/CFT framework, and enhance transparency in public procurement. Directors also emphasized the importance of further improving state-owned enterprise governance and customs administration. Noting the high poverty and food insecurity, Directors underscored the need to enhance social protection, including through pension reform. They stressed that strengthening statistical capacity is essential for effective policy implementation and program monitoring.

It is expected that the next Article IV consultation with the Union of the Comoros will be held in accordance with the Executive Board decision on consultation cycles for members with Fund arrangements.

Comoros Selected Economic Indicators (2024-27)

Population (2024, thousands): 866

Main products and exports: Cloves, ylang-ylang, vanilla

Key export markets: Asia, European Union

	2024 Act.	2025 proj.	2026 proj.	2027 proj.
Output				
Real GDP growth (%)	3.3	3.8	4.1	4.1
Employment				
Unemployment (%)	n.a.	n.a.	n.a.	n.a.
Prices				
Inflation, period average (%)	5.0	3.5	2.4	2.1
Central government finances				
Revenue and grants (% GDP)	16.5	17.2	17.4	16.8
Expenditure (% GDP)	19.1	19.5	18.9	18.6
Fiscal balance (% GDP)	-3.3	-2.3	-1.4	-1.9
Public debt (% GDP)	35.1	32.9	34.1	34.3
Money and Credit				
Broad Money (% change)	5.1	6.0	5.5	7.0
Credit to private sector (% change)	1.6	9.7	5.6	5.4
Balance of Payments				
Current account (% GDP)	-2.3	-3.0	-3.1	-3.7
FDI (% GDP)	0.4	0.6	0.6	0.6
Reserves (months imports)	7.0	8.4	9.3	10.0
External debt (% GDP)	28.2	27.0	29.1	30.2
Exchange rate				
KMF/US$ (period average)	454.7	...	...	...

Sources: country authorities; World Bank; and IMF staff's estimates.

INTERNATIONAL MONETARY FUND

UNION OF THE COMOROS

January 29, 2026

STAFF REPORT FOR THE 2025 ARTICLE IV CONSULTATION, FIFTH REVIEW UNDER THE EXTENDED CREDIT FACILITY ARRANGEMENT, AND REQUEST FOR WAIVERS OF NONOBSERVANCE OF PERFORMANCE CRITERIA

EXECUTIVE SUMMARY

Context. Despite headwinds from energy shortages and declining prices for key export commodities, the recovery gained further momentum in 2025, underpinned by robust domestic demand. After peaking in March, inflation steadily declined on the back of lower import prices and improved supply conditions. Unplanned transfers to stem social pressures from mass firings of airport workers in the context of the authorities' decision to modernize the airport through a PPP, led to a modest fiscal slippage in June 2025, which widened in September due to continued transfer spending, a leadership vacuum in the revenue agencies, and private sector pushback against new revenue measures. The external position remained stable, with a narrower goods trade deficit, resilient remittances, and an adequate level of international reserves. However, downside risks to the outlook remain significant, reflecting endemic fragility and elevated global uncertainty. Comoros' narrow export and production bases, and dependency on imports, remittances and aid, render it vulnerable to shocks. The economic reform program supported by the Extended Credit Facility (ECF) is making steady progress in reducing fragility and enhancing resilience by rebuilding fiscal buffers, reducing debt vulnerabilities, strengthening governance.

Program performance. Performance has improved relative to the fourth review—with three of the five quantitative performance criteria (QPCs) met and stronger structural reform implementation—but remains mixed. While the end-June 2025 QPC on the domestic primary balance and the continuous QPC on external arrears were missed, the former was missed by a small margin and the latter resolved swiftly. Corrective actions for these QPCs include the submission to Parliament of: (i) a supplementary 2025 budget to regularize extrabudgetary spending; (ii) a 2026 budget to return the fiscal adjustment to its programmed path; and (iii) a credible package of revenue measures underpinning this adjustment—with (i) and (iii) cast as Prior Actions (PAs). To enhance fiscal transparency, the authorities have committed to provide key documentation related to the payments for airport layoffs (PA). Two end-June indicative targets (ITs) on domestic arrears and social safety nets were met. Progress on the structural reform agenda has improved significantly, with 13 of the 15 structural benchmarks (SBs) expected between end-June and end-December 2025 met, and the three continuous SBs met. The end-June 2025 SB to correct the parameterization of SYDONIA, a corrective action for the

fourth ECF review, was unmet and completed with delay. To ascertain that it was done correctly, the DGD will provide documented evidence of the parameterization corrections (PA). The end-September 2025 SB for the BCC to approve recapitalization plans of banks in breach of capital adequacy requirements was not met and is proposed to be reprogrammed to end-June 2026.

Policy discussions. Discussions focused on; (i) containing the fiscal slippage in 2025 and fully correcting for it in 2026 through spending restraint and a large, credible DRM effort; (ii) deepening PFM reforms to improve budget credibility and transparency and address liquidity management challenges; (iii) modernizing monetary policy operations to strengthen transmission; (iv) launching a T-bill market once operational prerequisites are in place, envisaged in early 2026, (v) completing the restructuring of the postal bank; (vi) strengthening the financial sector by addressing undercapitalization and the NPL overhang, and completing the financial safety net; and (vii) advancing anti-corruption efforts, including by improving the asset declaration and AML/CFT frameworks and SOE governance. Proposed SBs aim to cover most of these reform areas.

Staff views. Staff supports the authorities' requests for: (i) the completion of the fifth review under the ECF-supported program; (ii) waivers for the non-observance of two QPCs.

Approved By
Costas Christou (AFR) and S. Jay Peiris (SPR)

Discussions were held during October 27–November 7, 2025, in Moroni, and virtually afterwards. The staff team comprised Ruud Vermeulen (head), Barima Kwame Gyesaw, Kady Keita, and Tewodaj Mogues (all AFR), Anthony Ramarozatovo and Abderrahmane Raouya (both FAD), Rima Turk (resident representative), and Al-Mouksit Akim and Moundhir Mhamadi (local economists). Mr. Mohamed Cheik (OEDAS) also participated in the meetings. The mission met with Minister of Finance Abdourazak, Central Bank Governor Imani, Secretary General of the Government Nour Azali, other senior officials, development partners, and representatives of the private sector. Mason Stabile and Ignacio Gutiérrez (both AFR) assisted in the preparation of this report.

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CONTEXT

1. Comoros is a fragile, small state that continues to face development challenges rooted in economic and institutional weaknesses. It exhibits typical challenges of countries with these features, including limited capacity and economic diversification, low fiscal revenue, and dependency on imports and remittances. The small size, relative isolation, and the absence of basic infrastructure such as reliable electricity and water supply make it difficult to attract investment. These constraints have trapped Comoros in a cycle of low growth and dependence on external aid, undermining resilience against external shocks. Annual real growth averaged 2.4 percent over the past decade. Over 38 percent of the population live in poverty, and close to 80 percent suffer moderate or severe food insecurity (African Development Bank 2024, Food and Agriculture Organization 2024). The current ECF program, which commenced after a ten-year period during which Comoros had no Upper Credit Tranche (UCT) engagement with the Fund, is now in its third year.

2. Since June 2023, the Comorian authorities have been undertaking foundational reforms to address fragility and increase resilience. They established the general directorate of tax administration and the medium and large taxpayer office, implemented tax and customs reforms to increase the number of active taxpayers, and began resolving legacy domestic arrears. The central bank (BCC) amended its statutes to enhance independence, created separate supervision and regulation directorates to strengthen both functions, and began modernizing its monetary policy framework. The authorities restructured a long-problematic state-owned bank, adopted a new anti-corruption law, and established an independent anti-corruption chamber. Despite external shocks and elevated global uncertainty, macroeconomic stability and external buffers have been maintained. While these shocks added to Comoros' development challenges and infrastructure needs, the government remains committed to transform the country to a dynamic emerging market, as envisioned in the national development plan (*Plan Comores Emergent*). In the near term, the government aims to leverage the hosting of the 2027 Indian Ocean Island Games to narrow the infrastructure gap, attract investment, and boost tourism.

3. The recent context has been marked by major institutional and social events. The preparations for the 50th anniversary of independence on July 6 and the "Grands Mariages" wedding season in July and August 2025 drew much of the authorities' attention, affecting the pace of reform implementation. The removal of the Director General for tax administration in May weakened leadership for two months until the appointment of a replacement, while the replacement for the Director General for Customs who was dismissed in September is still pending. Furthermore, the authorities' decision to grant a concession of the international airport to an Emirati operator was followed by the layoff of over 500 employees, sparking the threat of social unrest. While the authorities have reaffirmed their commitment to reforms, ensuring progress under the ECF-supported program and tackling longstanding structural issues remains challenging.

4. Program performance improved but remains mixed. While the end-June 2025 quantitative performance criteria (QPC) on domestic primary balance (DPB) and the continuous QPC

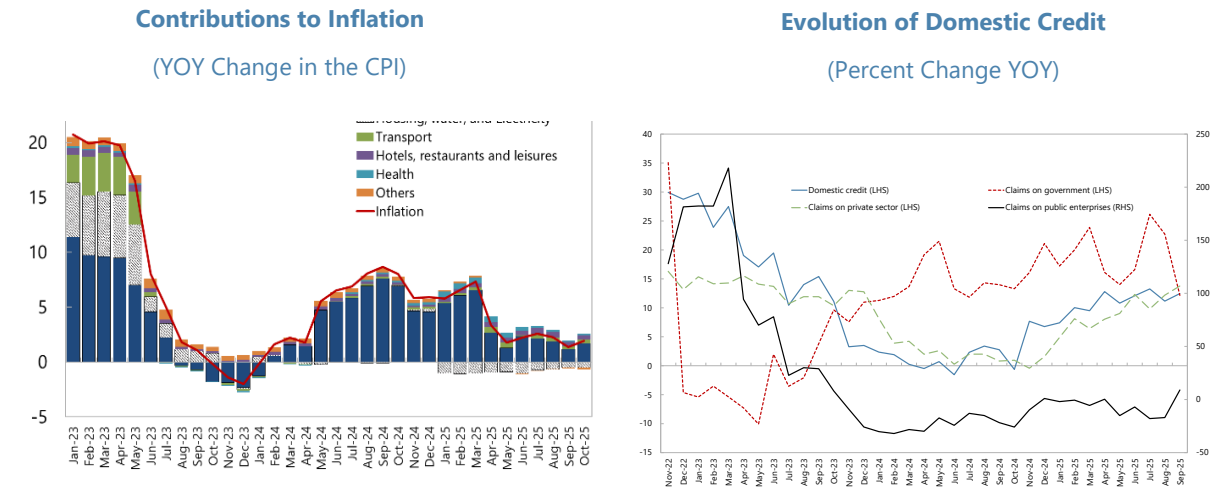
on external arrears were missed, the former was missed by a small margin and the latter resolved swiftly. The QPCs on tax revenue, international reserves, and non-concessional borrowing, and the two end-June indicative targets (ITs) on domestic arrears and social spending were all met. On the structural reform agenda, there has been solid progress: 13 of the 15 structural benchmarks (SBs) expected between end-June and end-December 2025 were met, including some of the fourth review corrective actions to compensate for weak fiscal performance in 2024.

5. The implementation of the 2023 Article IV recommendations has been uneven, albeit with progress in several foundational areas, supported by the ECF (Annex I). Following a significant DRM effort in 2023, underpinned by base broadening, tax revenues underperformed in 2024 on the back of a weakening in customs administration and tax enforcement. This shortfall also contributed to an easier fiscal policy stance than envisaged in the previous Article IV. Key recommendations on the fiscal-structural agenda in the previous Article IV that authorities were successful in implementing include the creation a Tax Policy Unit, identification of new taxpayers, finalization of the de jure transfer of fuel tax administration to Customs, and strengthening of supervision and bank-resolution capacity by making amendments to the law. However, despite some recent progress, movement toward full functionality of the TPU is slow and tax and customs administration capacity remains weak. Despite PFM improvements, liquidity management and Treasury Single Account (TSA) reform are lagging and arrears are recurrent. The postal bank SNPSF has been restructured, with full operationalization of the ensuing BPC advancing. Governance reform saw progress with the establishment of the Anti-Corruption Chamber, but continues to be hampered by limited capacity and resources.

RECENT ECONOMIC DEVELOPMENTS

6. The recovery that began in 2024 gained further momentum in 2025 amid pronounced disinflation (Text Figure 1). Real GDP growth, which stood at 3.3 percent in 2024, is estimated to have accelerated further in 2025, underpinned by robust domestic credit growth (12.5 percent y/y in September). The latter is driven by an acceleration in private-sector credit growth to nearly 14 percent in September on the back of stronger import demand, particularly for construction-related products, and larger-than-anticipated government borrowing. Having peaked at 7.3 percent (y/y) in March, headline inflation declined to 1.9 percent (y/y) in October thanks to lower import prices and improved supply conditions (e.g., favorable weather, availability of agricultural equipment).

Text Figure 1. Union of the Comoros: Inflation and Domestic Credit



Sources: INSEED, Central Bank of Comoros, IMF staff calculations.

7. Disinflation and uneven liquidity across banks led the BCC to adjust monetary policy. Following the reduction in the liquidity absorption ceiling from KMF 15 billion to KMF 10 billion in July, the BCC lowered the reserve requirement ratio from 12.5 to 10 percent in October and increased the liquidity absorption ceiling to KMF 12.5 billion. It subsequently cut the policy rate from 3 to 2.5 percent in January 2026 while further raising the liquidity absorption ceiling to KMF 15 billion. These actions aim to ease pressures on liquidity-constrained banks in a context of continued segmentation within the banking system, where the absence of a functioning interbank market prevents the reallocation of excess liquidity from large banks toward those facing shortfalls. Furthermore, it helps lower sterilization costs and therefore quasi-fiscal leakage.

8. Unscheduled transfers led to a widening of the domestic primary deficit. Transfers spending rose by 0.4 percent of GDP in 2025H1 (y/y, Text Table 1), 0.3 pp more than programmed, driven by severance pay to 516 laid-off employees from Moroni's international airport. This was partially compensated by continued wage restraint. Faster disbursements for the construction of the El Maarouf hospital and purchase of generators to manage power outages were largely offset by cuts in other investments. A modest tax revenue overperformance—driven by higher income tax collection from the state-owned monopoly fuel-importer (*Société Comorienne des Hydrocarbures*, SCH) and higher fuel tax collection—was offset by lower nontax revenue collection. As a result, the DPB deteriorated to -1.4 percent of GDP, 0.2 pp below the June target. In parallel, 0.2 percent of GDP of domestic arrears (net) were cleared during 2025H1. Data for end-September show a further sharp increase in transfer spending, as over two-thirds of the 0.6 percent of GDP in severance pay for airport employees took place in the third quarter, which was only partially offset by additional wage bill savings. Coupled with tax revenue underperformance related to tax exemptions for private investment and delays in customs reforms, the DPB deteriorated by 0.2 pp of GDP (y/y). The September indicative targets on the DPB and tax revenues were missed by 0.8 and 0.3 percent of GDP, respectively.

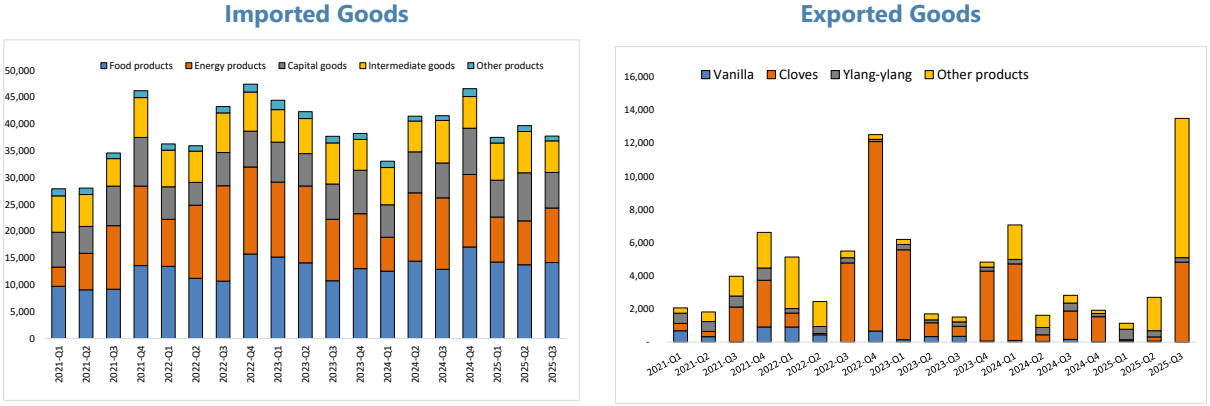
Text Table 1. Union of the Comoros: Fiscal Outturns
(January-June)

	Million KMF		% y/y	% of GDP	
	2024 H1	2025 H1	change	2024 H1	2025 H1
Total revenue and grants	43,879	48,029	9.5	6.7	6.8
Revenues	30,210	32,854	8.7	4.6	4.7
Tax revenues	24,968	28,641	14.7	3.8	4.1
Income taxes	3,616	6,207	71.6	0.6	0.9
Taxes on goods and services	7,407	8,053	8.7	1.1	1.1
Excises	9,343	10,788	15.5	1.4	1.5
Taxes on international trade	4,602	3,592	-21.9	0.7	0.5
Nontax revenues	5,243	4,213	-19.6	0.8	0.6
External grants	13,668	15,175	11.0	2.1	2.2
Budget grants	984	246	-75.0	0.2	0.04
Project grants	12,684	14,929	17.7	1.9	2.1
Total expenditure and net lending	55,449	63,563	14.6	8.5	9.0
Current expenditure	38,571	45,099	16.9	5.9	6.4
Primary current expenditures	30,165	35,450	17.5	4.6	5.0
Wages and salaries	15,589	16,562	6.2	2.4	2.4
Goods and services	8,694	9,930	14.2	1.3	1.4
Transfers	5,883	8,957	52.3	0.9	1.3
Interest payments	1,119	1,341	19.9	0.2	0.2
External debt	1,065	1,087	2.0	0.2	0.2
Domestic debt	54	254	373.1	0.01	0.04
Project maintainance	2,786	4,952	77.7	0.4	0.7
Technical assistance	4,501	3,356	-25.4	0.7	0.5
Capital expenditure	16,879	18,464	9.4	2.6	2.6
Domestically financed investment	6,206	7,154	15.3	0.9	1.0
Foreign-financed projects	10,673	11,310	6.0	1.6	1.6
Balances					
Domestic primary balance, adjusted [1]	-8,124	-9,750	20.0	-1.2	-1.4
Overall balance	-11,571	-15,534	34.3	-1.8	-2.2
Change in net arrears	-4,008	-1,169	-70.8	-0.6	-0.2
External	84	94	12.0	0.0	0.01
Domestic	-4,091	-1,263	-69.1	-0.6	-0.2

Sources: Comoros Ministry of Finance; and IMF staff calculations.

9. At end-2025Q3, the external position remained stable, with a narrower goods trade deficit, resilient remittances, and an adequate level of international reserves. The goods trade deficit improved to 13.9 percent of GDP (from 16 percent in 2024), as exports rose by around 50 percent owing to a one-off surge in scrap-metal shipments, offsetting steep declines in exports of vanilla (–57 percent) and cloves (–23 percent) (Text Figure 2). Imports declined slightly (–1 percent y/y), with higher food and capital-goods imports linked to public construction works more than offset by lower energy imports (–17.5 percent). Remittances continue to cushion the trade deficit and support domestic demand. External disbursements, including IMF and project loans, further supported the external position. Gross international reserves (GIR) reached US$357 million (> seven months of imports) at end-September 2025, and net international reserves (NIR) US$306 million.

Text Figure 2. Union of the Comoros: Main Traded Products
(Millions of KMF)

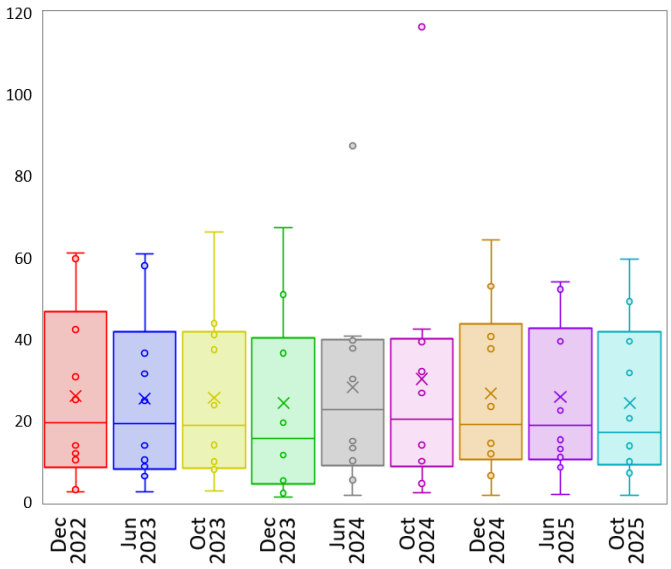


Sources: BCC and IMF staff calculations.

10. The External Sector Assessment (Annex II) points to an external position that is stronger than warranted by fundamentals and desirable policies. The current account gap of 2.8 percent of GDP implies a real effective exchange rate undervaluation of about 17 percent. While this suggests stronger competitiveness relative to fundamentals, staff judges that the magnitude of this misalignment is likely overstated given the fixed exchange rate regime, data limitations, and structural characteristics of a small, aid-dependent economy.

11. The financial system remains vulnerable. Financial system assets accounted for about 38 percent of GDP at end-October 2025, with three out of nine deposit-taking institutions (four commercial banks, four microfinance networks, and the state-owned postal bank SNPSF) collectively holding 69 and 73 percent of the system's deposits and assets, respectively. Meanwhile, six financial institutions (including SNPSF) incurred losses at end-June 2025. The negative capital of the three insolvent institutions accounted for 0.8 percent of GDP. The non-performing loans (NPL) ratio reached 13.8 percent at end-October 2025 (Text Figure 3). Government domestic borrowing increased during 2025, albeit still accounting for less than 10 percent of total domestic credit.

Text Figure 3. Union of the Comoros: Non-performing Loan Ratio Distribution
(Percent)



Notes: The boxes show the lower quartile (25th percentile) and upper quartile (75th percentile). The vertical line splitting the box is the median, while the Xs indicate unweighted means across the financial institutions, which are marked by the circles. The whiskers extend to the smallest/largest values within 1.5 times the interquartile range of the lower (Q1) and upper (Q3) quartiles.
Sources: BCC and IMF staff calculations.

12. Debt is sustainable, but Comoros' risk of external and overall public debt distress remains high. Under the baseline, only the external debt service-to-exports ratio breaches its threshold, marginally and temporarily (in 2029). Under stress test scenarios, the present value of external debt-to-exports ratio and debt service-to-exports ratio exceed their thresholds during the entire projection period, consistent with a moderate risk of debt distress. However, staff apply judgment to maintain a high risk rating given that the recurrence of external arrears (breaching a continuous QPC under the ECF), the narrow revenue base, weak debt and liquidity management, and elevated uncertainty pose key risks to debt sustainability. Key mitigating factors include consistently strong remittances, which support external sustainability. The overall assessment depends on stronger revenue mobilization, avoidance of non-concessional borrowing, enhanced SOE oversight, and resilience to export and contingent liability shocks (see DSA).

13. Persistent liquidity management challenges again led to the incurrence of new external arrears. Despite efforts to remain current on external debt service since May, the authorities missed payments to the Trade and Development Bank (TDB) and the World Bank in early September. This setback followed the full clearance of arrears to the Kuwait Fund, Saudi Fund for Development, and TDB (US$2.1 million in total) in May, and the prepayment of a TDB installment due in June, largely financed through domestic borrowing. The missed payment to the World Bank resulted from a system glitch at the BCC.

OUTLOOK AND RISKS

14. Baseline macroeconomic projections remain broadly unchanged from the fourth ECF review. The growth projection for 2025 remains unchanged at 3.8 percent, with upside risks due to the pickup in domestic credit growth and an expansionary fiscal stance in 2025H1. Average inflation for 2025 was revised down to 3.5 percent (3.8 percent at the fourth review). The medium-term growth projection was revised down slightly (by 0.2 pp) to reflect continued structural bottlenecks and the normalization of investment spending to its pre-pandemic level once committed projects are completed. The CAD is projected to narrow slightly to 3.0 percent of GDP in 2025 (3.1 percent at the fourth review), driven primarily by strong remittance inflows and modest contribution from a narrower goods trade deficit. Over the medium term, the CAD will remain around 3 percent of GDP driven by lower imports and continued robust remittances. GIR are projected to remain above 8.5 months of prospective imports.

15. There are key downside risks to the near-term outlook (Annex III). Extreme weather-related shocks, shortfalls in domestic revenue mobilization, and cash management weaknesses could undermine growth and the fiscal consolidation agenda, threatening debt sustainability. External risks arise from continued global geoeconomic fragmentation that could negatively impact trade, particularly fuel and food imports (see also Box 1). Comoros' commitments under its WTO accession could negatively impact revenues in the short term. Significant fiscal risks could emerge from financing arrangements to meet the large investment needs related to the 2027 Indian Ocean Island Games. Sharper-than-expected declines in official donor assistance could constrain public investment and social spending, while weaker external demand could affect export revenues and FX inflows. Upside risks include faster-than-expected growth from WTO accession and public

investment projects, as well as higher and more predictable donor inflows catalyzed by strong ECF program implementation with further gains from tourism and FDI inflows.

Authorities' Views

16. The authorities broadly concurred with staff's assessment of the macroeconomic outlook. They pointed to strong import growth as evidence of a continued demand recovery and noted that the easing of energy shortages witnessed in early 2025 should support activity in 2026. Despite some drag from fiscal restraint, the authorities expect robust growth this and next year, with upside potential from investments and external inflows related to the 2027 Indian Ocean Island Games. They agreed that sustaining reform efforts and boosting investment are critical to lift medium-term growth prospects. On the external front, the authorities noted that reserves remain well-above the 6.8 months of prospective imports they consider adequate to preserve external stability. They consider that the external position is broadly aligned with fundamentals, accounting for country specificities. Finally, they agreed with staff's debt sustainability assessment.

PROGRAM PERFORMANCE

17. Performance on quantitative targets is mixed (Table 5).

- The end-March ITs for tax revenues and the DPB, as well as the end-June QPC for tax revenues, were all met; however, the end-June QPC for the DPB was missed, albeit with a small margin (0.2 percent of GDP). The end-September ITs for tax revenues and the DPB were both missed.
- The end-June QPC on NIR and the IT for end-September were met.
- The authorities met the continuous QPC on non-concessional external debt throughout 2025. While missing the continuous QPC on the accumulation of new external arrears at end-September (¶28), they met it at end-December. The continuous PC related to Article VIII (TMU ¶20) was met.
- The end-March, end-June, and end-September ITs on the non-accumulation of net domestic arrears and on social protection were met. Additionally, the end-December IT on social protection was met.

18. There has been solid progress on structural reforms.

- The end-December SB to raise the number of active taxpayers by 20 percent by the end of 2025 at the Large and Medium Taxpayer Office (DGME) and send all these taxpayers requests to file tax declaration, was met.
- Two SBs relating to the linkage between tax and customs systems were met: (i) the tax administration agency DGI's completion of an audit report on tax adjustments in 2024H2, resulting from the identification and taxation of new taxpayers based on data exchanges with customs through the SIGIT-SYDONIA interconnection (end-June), and (ii) the deactivation of tax identification numbers (TINs) not recognized by DGI in the SYDONIA system (end-July).

19. Partial progress was made on SBs to strengthen customs reforms, some of which were set as corrective actions for weak fiscal performance at the fourth review:

- The end-June SB on the customs agency DGD to issue a circular detailing the modalities for settling customs duties and taxes was met; however, the contemporaneous SB to correct the parameterization of SYDONIA in line with the circular was unmet and completed with delays, after a postponement requested by the private sector. To ascertain proper application, the DGD is to provide documented evidence of the corrections and parameter settings in SYDONIA (PA).
- The two end-September SBs relating to DGD—the one for the agency to recover KMF 1 billion in arrears on domestic taxes on petroleum products, and the SB to recover 50 percent of overdue customs duties under the suspensive regimes—were both met.

- The tax policy-related end-October SB, for the Ministry of Finance to conduct a tax expenditure analysis starting with customs duties and indirect taxes, was met.
- The authorities met the two end-June PFM SBs: (i) closing government accounts at the BCC that had zero balances or were inactive and integrating these into the Treasury Single Account, and (ii) producing a cash flow plan to accompany the 2025 budget, detailing key dates for mandatory expenditures and major revenue items.
- On PFM, the end-2025 SB to finalize the implementing regulations of the Decree on Budgetary and Public Accounting Management Regulations (RGBCP) was met.
- On fiscal and budget transparency, the authorities: (i) published the Government Financial Operations Tables (TOFE) for the four quarters of 2024 (end-August SB) and (ii) shared with staff the macro-budgetary framework that would serve as a basis for the 2026 Budget Law (end-September SB).
- Progress was mixed on financial sector reforms: (i) the July SB to make Treasury bond payments to capitalize the postal bank was met, while (ii) the end-September SB for the BCC to approve recapitalization plans of banks in breach of capital adequacy requirements was not met and is proposed to be reprogrammed to end-June 2026.

POLICY DISCUSSIONS

Program review discussions focused on addressing fiscal slippages to bring the fiscal consolidation back on track in 2026 and preserve fiscal and debt sustainability; strengthening the financial sector; and reducing corruption. Article IV discussions centered on reforms to reduce fragility and enhance growth and resilience while protecting the vulnerable by strengthening social protection, incorporating distributional considerations in fiscal policy.

A. Fiscal Policy

20. The revenue-led medium-term consolidation path remains anchored on reducing debt

vulnerabilities to bring the risk of debt distress to moderate by 2028. With limited scope for spending rationalization and a low revenue base, the adjustment relies on a significant DRM effort. The current path assumes a steady increase in tax revenue of at least 0.3 percentage points of GDP per year, supported by structural reforms in revenue administration and tax policy, and normalizing public investment spending once committed spending is completed. Planned fiscal measures (¶¶20, 21) to make up for repeated fiscal slippages since 2024 would help bring the fiscal adjustment back to the envisaged medium-term path. This is expected to narrow the domestic primary deficit to -0.4 percent of GDP by 2027—a small improvement compared to that envisaged in the previous Article IV consultation. This strategy is expected to bring debt on a less vulnerable path, with external and public debt ratios decreasing progressively over the medium and longer term (PPG external debt and PPG debt are expected to decrease respectively to 23.9 and 26.5 percent of GDP by 2030.

21. Spending rationalization and new revenue measures in the last quarter of 2025 are expected to have contained the fiscal slippage in December 2025. The authorities submitted a supplementary 2025 budget (LFR25) to Parliament (PA), adopted in December 2025, that regularizes extrabudgetary spending, rationalizes other spending, and revises tax revenue to include new corrective measures. Specifically:

- On the spending side, the LFR25 regularizes the airport-related social transfers and domestically financed investment related to the purchase of generators (0.6 and 0.4 pp of GDP, respectively—see ¶8) and accommodates pressures in goods and services expenditures (0.3 pp). This is offset by cuts in other transfers and domestically financed investments (0.4 pp each), and wage bill savings from the continued suspension of indexation, hiring freeze, and cleansing of the payroll of ghost workers (0.5 pp), resulting in a downward revision in primary domestic spending of close to 0.2 pp. This entails a conservative extrapolation of significant wage bill savings already realized by end-September (¶8), while tight control of discretionary spending in the final months of 2025 lend further credibility to these envisaged cuts.
- On the revenue side, tax collection is projected to remain broadly unchanged from the initial budget (LFA25), despite the corrective measures estimated at 0.4 percent of GDP at the time of the fourth review. In particular, the recovery of overdue taxes under the immediate release procedures (IM9)—one of the four corrective measures—faced significant obstacles and has been delayed to 2026, adding to a trade tax underperformance in the third quarter that is expected to have continued in the fourth quarter. While partially offset by new tax measures introduced in the fourth quarter (0.2 pp, see Text Table 2), tax revenue is expected to miss the target by 0.4 pp.
- On the DPB, the LFR25 targets a deficit of 1.3 percent of GDP, consistent with staff estimates. The corrective measures thus narrow the fiscal slippage to 0.2 pp.

22. A significant revenue mobilization effort in the 2026 budget will bring fiscal consolidation back on track. Keeping the 2026 DPB target unchanged at -0.8 percent of GDP requires a fiscal effort of 0.5 pp (vs. 0.3 pp envisaged at the fourth review). In December, the National Assembly approved the 2026 budget (LF26) consistent with the proposed fiscal targets

under the program. The fiscal effort rests on:

- **Revenue measures.** The authorities have identified a comprehensive package of credible and high quality tax measures (0.7 percent of GDP[1], with the bulk of them permanent in nature (80 percent) and anchored in tax policy (see Text Table 2). Key measures include: (i) the application of a 10 percent specific import tax to encourage the formalization of firms not registered at the Large and Medium Taxpayer Office (DGME); (ii) the elimination of an initial set of exemptions included in the tax expenditures report produced with FAD support; (iii) the proper application of excise duties on certain products; and (iv) the strengthening of enforcement of SOE tax obligations. The measures are conservatively costed to account for significant uncertainty around macro-fiscal projections and any behavioral response to the proposed tax changes. Furthermore, with non-trivial risks remaining (see fiscal structural discussion below), the authorities identified contingency measures (0.2 percent of GDP) that can be implemented swiftly in case of further slippages.

Text Table 2. Union of the Comoros: New Tax Measures, 2025-26[1]
(In KMF Millions and Percent of GDP)

	KMF mn		% of GDP	
	2025	2026	2025	2026
Tax revenues	1,387	5,532	0.2	0.7
Permanent	100	4,178	0.0	0.6
Tax policy	0	2,241	0.0	0.3
Apply 10% Acompte sur Impot (AI) on importers non-registered at DGME		909		0.1
Impact of AI reform on corporate income tax (IS)		306		
Removal TC exemption on 12 products		223		0.0
Others		803		0.1
Tax administration	0	1,193	0.0	0.2
Expand tax audits coverage	0	689	0.0	0.1
Enrol new taxpayers (SIGIT-SYDONIA, census, other data sources)		324		0.0
Others		180		0.0
Customs administration	100	745	0.0	0.1
Strengthen SCH TIPP collection	100	500	0.0	0.1
Strengthen imported goods valuation	0	230	0.0	0.0
Others	0	15	0.0	0.0
One-offs	1,287	1,354	0.2	0.2
Collect SCH corporate income tax arrears	900	540	0.1	0.1
Collect SONELEC tax arrears	0	240	0.0	0.0
Collect SCP tax arrears	0	199	0.0	0.0
Others	387	375	0.1	0.1
Contingency measures	0	1,228	0.0	0.2
Increase SOE payroll tax payment		600		0.1
Ecotax and household waste fees		430		
Identify and tax new taxpayers using Moroni City census		140		0.0
Others		58		0.0

Sources: Comorian authorities and IMF staff calculations.
[1] Net of the yields from corrective measures for the fourth review, and those incorporated in 2025 baseline projections from preceding reviews.

[1] Parliament did not adopt all measures submitted by the authorities (i.e., consumption tax on luxury rice and specific customs duties on used cars). To offset the associated revenue loss of 0.03 percent of GDP, the authorities are putting in place compensatory measures, drawing from the pre-identified contingency measures.

- **Spending rationalization.** Despite the unwinding of one-off severance pay in 2025, transfer spending will remain constant in percent of GDP as the LF26 accommodates additional airport-related spending of 0.4 pp—with the government assuming supplier arrears and debt obligations of airport-related SOEs—and a modest increase in other transfers following a significant compression in 2025. A small pick-up in the wage bill will be offset by rationalizing intermediate consumption as well as by reductions in domestically financed investment. As a result, while primary domestic spending remains broadly unchanged from its 2025 level, it is 0.1 pp below its level programmed at the fourth review, thanks to its permanent savings from spending control the year prior (¶20).

Fiscal Structural Reforms

23. While leadership and staff changes within the DGI affected tax revenue mobilization, renewed efforts, supported by Fund CD, are underway. Some progress has been made, with the support of the FAD resident expert. This includes: (i) a 23 percent increase (from 677 to 831) in the number of taxpayers in 2025 (end-December 2025 SB); (ii) enhanced collection of SOE's tax arears; and (iii) collection of tax audit revenue resulting from the SIGIT-SYDONIA interconnection (end-June 2025 SB). However, the implementation of some reforms is experiencing delays due to a lack of coordination, prioritization, and insufficient resource allocation, such as the: (i) interconnection of the SIGIT software with the databases of all DGI offices (end-April 2026 SB); and (ii) introduction of e-filing and payment of taxes for large and medium-sized taxpayers (end-December 2026). Fund CD will continue to support the implementation of the tax measures underpinning the 2026 fiscal adjustment (Text Table 2), including: (i) the new tax policy measures; (ii) the continued use of SIGIT-SYDONIA data cross-referencing for tax audit purposes; (iii) the progressive taxation of SOEs based on their actual tax potential; (iv) the broadening of the tax base through the use of new data sources; and (v) the recovery of arrears from private and public companies.

24. At the customs level, lack of leadership, weak external communication, and failure of the oversighting mechanism hinder the proper application of the legal framework in force. The application of the normal method of calculating consumption tax and excises, following the re-parametrization in SYDONIA to correct errors in the computation of customs duties and similar taxes (end-June SB and corrective action agreed at fourth review) experienced significant delays because of pushback by the private sector due to a lack of prior communication about the change. The necessary corrections were finally implemented with additional delays. The objective of recovering at least 50 percent of the uncollected customs duties under the suspensive regimes that were overdue as of June 30, 2024 (end-September SB) has been achieved. Nevertheless, significant efforts must be made to prevent the accumulation of new payment arrears. The customs administration has committed to integrate in SYDONIA the settlement of the domestic tax on petroleum products (TIPP) based on monthly statements of withdrawals from fuel depots (new end-September 2026 SB). The swift appointment of the Director general of customs should facilitate the timely implementation of the customs measures included in the 2026 tax package.

25. Some findings from the tax expenditure analysis report produced by the Tax policy unit (TPU) were used to rationalize tax exemptions included in the tax package for 2026. The

new TPU members were finally appointed on a permanent basis and were able to finalize the first tax expenditure analysis report covering customs duties and indirect taxes (end-October 2025 SB) with FAD support, expected to be published soon (end-February 2026 SB). Importantly, drawing from this analysis, the rationalization of selected tax expenditures has already been adopted as part of the 2026 tax package. With FAD support, the TPU plans to expand the tax expenditure analysis to direct taxes and implement tax system reforms to compensate for revenue losses from the dismantling of certain border taxes as part of the implementation of the Comoros' WTO post-accession strategic plan.

26. PFM reforms remain challenging, mainly due to weak transparency and inefficient organizational frameworks:

- *Fiscal transparency.* Despite extensive TA support and some improvements, including the publication of the Government Financial Operations Tables (TOFE) for the four quarters of 2024 (end-August 2025 SB), and sharing with Fund staff of the macro-budgetary framework underpinning the 2026 budget preparations (end-September SB), reforms remain very weak. Further strengthening capacity of the TOFE and Treasury committees, supported by Fund CD, is critical to improve the quality and quarterly publication of the TOFE and produce sound cash flow plans to budgets. To further strengthen fiscal transparency, a supplementary 2025 budget was adopted to regularize the unbudgeted spending (PA) and reflect the fiscal slippage, which also reports on the status and evolution of payment arrears owed by the State. The financial situation of public enterprises will be attached to the 2027 budget (end-December 2026 SB). Finally, to prevent a recurrence of large, unplanned spending, the authorities will strictly limit net domestic borrowing to meet the financing needs envisaged in the 2026 budget (IT).
- *Public accounting function*. The establishment of the central accounting agency of the Treasury (ACCT) which is supposed to manage the Treasury single account (TSA)—a function currently entrusted to the TPGU—remains challenging due to the non-adoption of the DGCPT's organizational framework that needs the Ministry of Public Service approval. A first set of the implementing regulations of the Decree on Budgetary and Public Accounting Management Regulations (RGBCP) was adopted (end-December 2025 SB).
- *Liquidity management*. The cash flow plan to accompany the 2025 budget, detailing key dates for mandatory expenditures and major revenue items (end June 2025 SB) was provided but is not aligned with the debt service payment plan nor effectively monitored. While much improved, the cash flow plan to accompany that has been appended to the 2026 budget still suffers from shortcomings (including a cash deficit, ¶27). Further FAD TA will be provided to fine-tune the cash flow plan going forward and to strengthen the role of the Treasury committee monitoring.

27. The implementation of the action plan of the Directorate of SOE management and oversight (DGPEFPS) has started to improve SOEs' performance and governance. All members of the boards of directors have been appointed, and the main SOEs now regularly report and send their financial statements to the one-stop single desk created by the DGPEFPS. Furthermore, compliance with tax obligations, payment of tax arrears, and effective payment of taxes owed by

SOEs improved slightly in 2025. Furthermore, the audit of the SOEs continues, subject to resource availability and the work program of the General Inspectorate of Finance (IGF), and the results of these audits will be used to develop restructuring plans with the support of the World Bank.

Debt Issues

28. Legacy domestic arrears clearance envisaged in 2026 seems underfunded, while weaknesses in the recording of domestic arrears accumulation remain. In line with the arrears clearance plan developed in 2023, 0.4 percent of GDP of legacy domestic arrears is expected to be cleared in FY26. However, the associated financing for this outlay is not fully identified in the LF26 nor the 2026 cash flow plan. Staff also uncovered significant weaknesses in the accounting for and reporting of changes in domestic payment arrears, including errors in the computation of gross accumulation of arrears and the lack of a proper definition of arrears for capital spending. The authorities requested IMF technical support in this area.

29. Though legacy arrears remain outstanding, the authorities cleared newly accumulated external arrears in October and remained current on their external debt obligations since. The two missed debt service payments (¶13) were small and promptly settled (within 1 and 28 days after the respective grace periods expired). The authorities also made a first payment of EUR0.64 million, of which EUR0.3 million funded from French budget support, as part of the plan agreed at the technical level with the French authorities to clear arrears to Bpifrance Assurance Export and all remaining debt service through 2027.[2] However, legacy arrears to BADEA (US$6.9 million) and Exim India (US$2.5 million) remain unresolved.[3] To prevent the recurrence of external arrears, staff reiterated its recommendation to authorize the BCC to automatically service external debt from dedicated sub-accounts for each loan, necessitating legislative changes as any payment currently requires the authorization of the *Trésorier Payeur Général* (TPG) and the Director of Debt. On debt management reforms, with AfDB support, the outdated CSDRMS system is being replaced by the new integrated debt management system (Meridian). With the new IT equipment procured, data migration nearly completed, and staff trained, full rollout is envisaged in Q1 2026. Remaining challenges—including incomplete loan documentation, additional training needs, and staffing constraints—are being addressed to ensure full operationalization.

[2] Under the technical level agreement, about €1.979 million (accumulated arrears and future debt service) will be shared equally between the government and France, to be paid from December 2025 to December 2027.

[3] At the fourth review, the authorities reported plans to ratify a new concessional loan agreement which would replace the BADEA loan and effectively clear those arrears. A tripartite agreement, requested by the parliament, between the authorities, BADEA and OPEC Fund is now expected to be reached in 2026. An agreement in principle had also been reached with Exim India in 2024 to cancel penalties and restructure the arrears over a five-year period, but given that the loan is disputed, discussions have stalled and the authorities are seeking legal advice from AfDB.

Text Table 3. Union of the Comoros: Summary of Projected External Borrowing Plan
(US$ Million)

PPG external debt	2025		2026		2027		2028	
	USD million	Percent	USD million	Percent	USD million	Percent	USD million	Percent
By sources of debt financing	**88.1**	**100.0**	**107.9**	**100**	**93.0**	**100**	**46.3**	**100**
Concessional debt, of which	**78.6**	**89.2**	**55.3**	**51.3**	**61.5**	**66.1**	**41.5**	**89.6**
Multilateral debt	66.3	75.3	21.0	19.4	20.8	22.3	21.1	45.6
Bilateral debt	5.0	5.7	5.0	4.6	5.0	5.4	2.0	4.3
Other	7.2	8.2	29.4	27.2	35.8	38.4	18.4	39.7
Non-concessional debt, of which	**9.5**	**10.8**	**52.6**	**48.7**	**31.5**	**33.9**	**4.8**	**10.4**
Semi-concessional[1]	9.5	10.8	9.5	8.8	9.5	10.2	4.8	10.4
Commercial terms	0.0	0.0	43.1	39.9	22.0	23.7	0.0	0.0
By Creditor Type	**88.1**	**100.0**	**107.9**	**100.0**	**93.0**	**100.0**	**46.3**	**100.0**
Multilateral debt	75.8	86.1	30.5	28.2	30.3	32.5	25.9	56.0
Bilateral debt	5.0	5.7	5.0	4.6	5.0	5.4	2.0	4.3
Commercial terms	0.0	0.0	43.1	39.9	22.0	23.7	0.0	0.0
Other	7.2	8.2	29.4	27.2	35.8	38.4	18.4	39.7
		0.0		0.0		0.0		0.0
Uses of debt financing	**88.1**	**100.0**	**107.9**	**100.0**	**93.0**	**100.0**	**46.3**	**100.0**
Infrastructure	40.8	46.3	49.6	45.9	50.9	54.7	30.0	64.9
Budget Financing	9.5	10.8	9.5	8.8	9.5	10.2	4.8	10.4
Other	37.8	42.9	48.9	45.3	32.6	35.1	11.5	24.7

1/ Projected ECF disbursements

Text Table 4. Union of the Comoros: Decomposition of Public Debt[1]
(US$ Million)

	Debt Stock (end of period)			Debt Service					
	2024			2024	2025	2026	2024	2025	2026
	(In US$)	(Percent total debt)	(Percent GDP)	(In US$)			(Percent GDP)		
Total	504.1	100.0	35.0	23.8	19.8	17.8	2.0	1.6	1.5
External	405.5	80.4	28.1	23.8	19.8	17.8	2.0	1.6	1.5
Multilateral creditors[2]	216.9	43.0	15.0	12.8	9.1	6.8	1.1	0.8	0.6
IMF	28.8	5.7	2.0	7.3	3.6	1.8	0.6	0.3	0.1
World Bank	102.1	20.3	7.1	0.6	0.6	0.6	0.0	0.0	0.0
ADB/AfDB/IADB	26.2	5.2	1.8	0.2	0.2	0.2	0.0	0.0	0.0
Other Multilaterals	59.8	11.9	4.2	4.7	4.8	4.2	0.4	0.4	0.3
o/w: BADEA	28.0	5.6	1.9	0.0	0.0	0.0	0.0	0.0	0.0
o/w: TDB	14.6	2.9	1.0	4.4	3.8	3.1	0.4	0.3	0.3
o/w: IsDB	6.6	1.3	0.5	0.1	0.1	0.1	0.0	0.0	0.0
Bilateral Creditors	188.6	37.4	13.1	11.0	10.6	11.0	0.9	0.9	0.9
Paris Club	1.5	0.3	0.1	0.1	0.1	0.5	0.0	0.0	0.0
o/w: France	1.5	0.3	0.1	0.1	0.1	0.5	0.0	0.0	0.0
Non-Paris Club	187.1	37.1	13.0	10.9	10.5	10.5	0.9	0.9	0.9
o/w: China	97.5	19.3	6.8	6.5	6.4	5.3	0.5	0.5	0.4
o/w: Saudi Arabia	37.4	7.4	2.6	1.0	0.8	1.8	0.1	0.1	0.1
o/w: India	29.5	5.8	2.0	2.2	2.2	2.3	0.2	0.2	0.2
o/w: Kuwait	22.7	4.5	1.6	1.1	1.1	1.1	0.1	0.1	0.1
Bonds	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Commercial creditors	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic	98.6	19.6	6.8	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
Held by residents, total	98.6	19.6	6.8	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
Held by non-residents, total	0.0	0.0	0.0						
T-Bills	0.0	0.0	0.0						
Bonds	0.0	0.0	0.0						
Loans	0.0	0.0	0.0						
Memo items:									
Collateralized debt[3]	0.0	0.0	0.0						
o/w: Related	0.0	0.0	0.0						
o/w: Unrelated	0.0	0.0	0.0						
Contingent liabilities	N.A.								
o/w: Public guarantees	N.A.								
o/w: Other explicit contingent liabilities[4]	N.A.								
Nominal GDP	1442								

1/As reported by Country authorities according to their classification of creditors, including by official and commercial.

2/ "Multilateral creditors" are simply institutions with more than one official shareholder and may not necessarily align with creditor classification under other IMF policies (e.g. Lending Into Arrears)

3/ Debt is collateralized when the creditor has rights over an asset or revenue stream that would allow it, if the borrower defaults on its payment obligations, to rely on the asset or revenue stream to secure repayment of the debt. Collateralization entails a borrower granting liens over specific existing assets or future receivables to a lender as security against repayment of the loan. Collateral is "unrelated" when it has no relationship to a project financed by the loan. An example would be borrowing to finance the budget deficit, collateralized by oil revenue receipts. See the joint IMF-World Bank note for the G20 "Collateralized Transactions: Key Considerations for Public Lenders and Borrowers" for a discussion of issues raised by collateral.

4/ Includes other-one off guarantees not included in publicly guaranteed debt (e.g. credit lines) and other explicit contingent liabilities not elsewhere classified (e.g. potential legal claims, payments resulting from PPP arrangements).

Authorities' Views

30. The authorities are committed to bring the fiscal adjustment back on track and agreed with the need to advance fiscal structural reforms. They emphasized the temporary and unforeseen nature of the spending pressures that led to the fiscal slippage in June and September 2025, and were optimistic that the corrective measures would allow them to meet the December DPB target. They were confident that the significant DRM effort in 2026 would enable a return to the fiscal adjustment path envisaged under the program and welcomed recent FAD CD to support implementation. Facing additional airport-related spending pressures in 2026, the authorities plan to conduct a careful audit of airport SOEs' debts before assuming any liabilities. They further stressed that equipping the El Maarouf Hospital remains a policy priority and are actively seeking the necessary financing. While acknowledging challenges and capacity constraints, the authorities reaffirmed their commitment to advance structural fiscal reforms. They welcomed staff analysis showing the significant revenue potential from base broadening, eliminating selected tax expenditures, and removing fuel subsidies. The authorities also remain committed to making sustained efforts to prevent the recurrence of external arrears. Noting legal constraints that prevent the BCC from automatically servicing external debt from dedicated accounts, the authorities are considering developing a domestic government securities market to fund external debt service.

B. Monetary and Financial Sector Policies

31. The BCC is advancing the gradual transition from a quantity-based to an interest-rate-based operational framework for monetary policy. In the absence of a functioning interbank market, the monetary stance is currently defined not only by the policy rate, but also the reserve requirement ratio and volume of liquidity absorption, which complicates transparency and weakens transmission. The recent reduction in the policy rate, accompanied by an increase in the volume of liquidity absorbed, represents a net tightening of financial conditions, while bringing liquidity operations closer to a fixed-rate, full-allotment (FRFA) regime. Completing the transition to FRFA in the near term would neutralize this easing. Staff welcomed the continued publication of tender calendars and absorption operations and encourages the BCC to complete the transition to FRFA, which would strengthen monetary policy transmission and help anchor market expectations. There were no changes to the exchange system covered by Article VIII of the IMF's Articles of Agreement.

32. The authorities plan to launch a domestic T-bill market, but several operational prerequisites have not been met yet, jeopardizing a safe and sustainable launch. While the legal and regulatory underpinnings are largely in place, several operational preconditions must still be met. This includes: (i) strengthening debt-management staffing and cash-flow forecasting capacity; (ii) finalizing the fiscal agency agreement and issuance procedures between the Ministry of Finance and the BCC; (iii) operationalizing a secure securities registry; and (iv) formally approving T-bills as eligible collateral for central bank operations together with the establishment of an appropriately designed monetary policy refinancing framework. In particular, the use of T-bills as collateral should be embedded within clearly defined refinancing operations, with safeguards to prevent de facto monetary financing and to preserve the integrity of the monetary policy

framework. Banks will also require time to confirm operational readiness. Once preconditions have been met, staff recommends a phased roll-out, beginning with a pilot strictly limited to short-term bills and issuance volumes capped in the amount of the bank salary advances that they replace, before eventually extending maturities and issuance volumes conditional on the successful conclusion of the pilot. Before any launch, testing readiness through a series of dry-run simulations and close coordination between the MoF, BCC, and market participants will be critical to avoid failure, with loss of credibility and market confidence.

33. The operationalization of the new postal bank (BPC) is ongoing. The BCC opened an operational and an investment account for the BPC, allowing it to acquire equipment. While the core bank Management Information System is used for all new credit activities, the temporary credit ceiling of KMF 5 million remains in place. Its removal will be considered after the bank's information system is fully operational (and validated by DSB) and the new BPC Board approves the internal AML/CFT procedures. Appointed in October, the new BPC Board met three times at the end of 2025 including to elect a president and vice-president. The final audit of the financial statements of the old postal bank (SNPSF) produced the opening balance sheet as of January 1, 2025 of the three entities that resulted from its restructuring: the BPC, SNPSF Liquidation, and La Poste. This audit also estimated a residual capital gap of KMF 1.477 billion (approximately €3 million). The validation of the BPC's accounts at December 31, 2025 will make it possible to comprehensively assess the new overall gap to be recapitalized, taking into account both fixed asset investments committed during 2025 and losses that will be recorded. Following this, the BPC will update the recapitalization plan, which will allow closing the financing gap through issuance of a new Treasury bond. Further, the BPC will update its business plan, paving the way to unlock support by the AFD of €8 million (€5 million for recapitalization and €3 million for TA). The AFD has already assessed the BPC's TA needs in June.

34. Further progress is needed in strengthening supervisory capacity and enforcement of regulatory norms. The BCC has finalized inspection reports for the eight banks covered (excluding SNPSF, which was under restructuring) and has begun acting on identified governance and prudential shortcomings, including through sanctions. The BCC intends to deepen follow-up on corrective actions via targeted onsite visits for the four banks that were inspected in 2024. In parallel, with insurance oversight recently transferred from the Ministry of Finance to the BCC, the authorities are working with partners (including UNDP) to develop the legal and regulatory framework for insurance activities and to build the supervisory toolkit needed for effective implementation. Capacity building is supported by a new multi-year MCM TA program focused on strengthening offsite and onsite supervision (Annex IV). The authorities have also flagged needs for additional support on AML/CFT supervision, fintech oversight, and financial soundness indicators (FSI). DSB's new responsibilities in the insurance sector can be expected to have implications for additional training and staffing needs.

35. The authorities should ensure completion of recapitalization plans, develop measures to address the NPL overhang, and begin designing resolution plans for systemic banks. The DRRB's efforts are focused on operationalizing the bank resolution framework and reducing legacy

vulnerabilities, particularly weak asset quality and undercapitalization. To this end, DRRB is: (i) preparing bank-specific resolution plans, drawing on banks' recovery plans (only three banks have submitted plans); (ii) evaluating options for a resolution funding mechanism and expected needs (two draft presidential decrees for either option—i.e., pre- and post-funding—are under preparation); and (iii) analyzing possible measures to address the NPL overhang following recent diagnostic work,[4] including reactivating the Court of Arbitration, creating a single collateral registry, requiring banks to account for losses from NPL write-offs in their 2025 financial accounts, and voluntary workout mechanisms. In addition, the BCC continues iterating on recapitalization plans from institutions in breach of regulatory requirements. While one plan has been validated, a second needs to be resubmitted after an external audit (and shortcomings identified by MCM experts, communicated to the authorities), and more time is needed for the third as the bank is undergoing a change in leadership. The authorities are thus requesting the SB to be rephased to end-June 2026. Besides the fourth institution in breach of regulatory requirements, SNPSF/BPC (¶32), a fifth institution is already under resolution, with ongoing discussions involving a potential foreign investor. Staff encourages the authorities to prioritize the preparation of contingency plans for all banks that are facing material breaches of prudential requirements.

Authorities' Views

36. The authorities highlighted the challenges of recapitalizing weak financial institutions and strengthening supervisory capacity. Though acknowledging shortcomings in the recapitalization plans submitted by two microfinance institutions that would not restore capital to levels consistent with prudential requirements, DRRB noted that raising the additional capital needs from members would be challenging. Beyond addressing undercapitalization, reducing NPLs and following up on the findings of the on-site inspections remain priorities for the BCC. DSB stressed the need to enhance staff capacity and reiterated its request to receive field-based training in targeted areas. The authorities underscored the progress made in restructuring SNPSF and operationalizing BPC. While signaling their readiness, the authorities committed to a prudent and phased approach to launch the T-bill market in line with Fund advice.

C. Structural Reforms to Strengthen Institutions and Reduce Fragility

37. Strengthening institutions and advancing structural reforms remain central to building resilience and reducing fragility. Progress on these fronts will hinge on reforms that improve governance, transparency, and the business environment. Despite progress in selected areas, Comoros continues to suffer from macro-critical weakness in key areas such as the rule of law, the regulatory framework, fiscal management, anti-corruption and AML/CFT efforts, and management of the civil service. Building greater capacity of public institutions to make them more effective in delivering for Comorians will foster trust in government, bolster tax compliance, and improve the country's ability to mobilize donor support and attract private investment.

[4] This includes a NPL report in May and bank-level NPL audits by an external firm completed in August.

38. The anti-corruption agenda is slowly advancing, with the Anti-Corruption Chamber (ACC) working to implement the asset declaration framework, with support from the Fund. Following LEG's mission in June, a roadmap was agreed to assist the ACC in developing the asset declaration (AD) system. The ACC committed to the operationalization of the AD framework for high-ranking officials. To this end, and to ensure the full and effective operationalization of the ACC itself, adequate funding and further capacity building remain critical. The authorities also signaled their interest in a Governance Diagnostic by the Fund. The authorities clarified that they are publishing information on public procurement contracts in line with the continuous SB, including beneficial ownership information wherever submitted by the contract awardees.[5] They also committed to step up sensitization efforts to ensure that all legal entities participating in procurement processes are aware of their obligations to submit their beneficial ownership information as required by the 2021 circular and to strengthen the enforcement of the circular. The AML/CFT law, which was drafted with WB support, was adopted by Parliament and promulgated in July.

39. The implementation of the 2023 safeguards assessment recommendations is progressing. The BCC resumed the preparation of financial statements in line with International Financial Reporting Standards (IFRS) and has published the FY2024 audit results, albeit with delay. Amendments to the BCC Charter are being operationalized through broader governance enhancements, and a repayment plan for the long-term loan linked to the 2021 SDR allocation has been initiated. Efforts to strengthen oversight, accounting, and internal audit functions continue, with a focus on reinforcing audit independence and aligning practices with international standards.

Box 1. Rice Sector Policy and Liberalization in Comoros

The rice sector, central to food security and inflation trends, is undergoing significant reform. Nearly all rice is imported, making the country's main food staple and its affordability exceptionally exposed to global market fluctuations and supply chain risks. Two broad kinds of rice are imported—ordinary and luxury. Over 2013–2021, rice accounted for 10–23 percent of total imports and up to 48 percent of food imports, with the country consistently ranking globally above the 97th percentile in terms of rice import dependence. The supply chain of ordinary rice has long been dominated by the SOE ONICOR, which manages rice imports, advises the Ministry of Economy on administered prices, and maintains buffer stocks. While rice sector policies aim to ensure food affordability and price stability, their effectiveness has been limited while they have created price distortions and contingent fiscal liabilities, including through government guarantees for ONICOR's debt.

Important policy changes are afoot. Since June 2023, private firms have been allowed to import ordinary rice. The government initially planned, as part of the original reform strategy, for at least half of ordinary rice imports to be handled by private companies by end-2026. However preliminary data indicate a much more rapid shift, with the SOE's imports in 2025 through August amounting to merely 7 percent of private importers' rice orders through March. The reform was motivated by the need to align with WTO accession requirements, reduce food shortages, and lower consumer prices through increased competition and efficiency. However, the fiscal and output price impacts of these reforms remain uncertain, hinging on how domestic price controls, taxation policies, and regulation of private importers evolve as the reform unfolds.

[5] The information is published on the website of the Ministry of Finance, Budget, and Banking Sector.

40. Strengthening social protection, starting with Comoros' pension system, will be crucial for protecting the most vulnerable. Comoros has among the lowest levels of social protection coverage in the region, reflecting the high degree of informality.[6] In this context, the public pension fund—the *Caisse des Retraites des Comores* (CRC)—plays a central role as the main formal safety net, at least for retirees and their families, supporting broader social stability and cohesion. Yet this role is now under strain due to persistent underfunding, arrears by the state, and an underdeveloped governance structure. Comprehensive reforms of the CRC are urgently needed to ensure long-term sustainability of the pension system, particularly the civil servant scheme. While parametric adjustments will be required to address structural imbalances, strengthening the CRC's governance, compliance, and institutional capacity will be critical for improving contribution collection and expanding coverage over time. In parallel, financial support from partners can crucially help alleviate short-term funding pressures and pension arrears, as longer-term reforms are developed with the support from institutions such as the International Labor Organization, the WB, or the AFD.[7]

41. Medium-term reforms to create fiscal space should aim to address economic distortions and distributional considerations. The persistent challenges in mobilizing domestic revenues arise from a narrow tax base, large tax exemptions, and underpricing of petroleum products. Tax exemptions and fuel pricing policies, in particular, skew benefits toward higher-income households. Broadening the consumption and excise tax base and phasing out exemptions could help create much-needed fiscal space. While the burden of such reforms would fall more heavily on richer households in absolute terms, the impact would be fairly uniform across income groups in relative terms. As a result, such tax reforms would strengthen fiscal sustainability, even if the distributional benefits are muted.[8] By contrast, Comoros' universal fuel subsidies are clearly regressive. Phasing out these subsidies and replacing them with targeted transfers would both relieve fiscal pressures and improve equity.

42. The strengthening of statistical capacity remains crucial. Data deficiencies across all sectors hamper effective economic surveillance and policy implementation. In the program context, weak data production capacity can also raise the risk of misreporting. While the authorities have received extensive CD support for various statistical compilations (Annex IV) and data quality has improved, progress remains slow (Annex V). In particular, it is critical to ensure that the main statistical agency, INSEED, has qualified and permanent staff as well as adequate financial resources to collect timely price data and update the national accounts.

Authorities' Views

43. The authorities agreed with the need to strengthen governance and advance structural

[6] In 2022, only about 3 percent of the population received at least one form of formal protection, compared to nearly 10 percent on average in other low-income countries (ILO-World Social Protection Data Dashboard, 2023).

[7] See SIP on pension reform in Comoros.

[8] See SIP on distributional effects of selected fiscal policies and reforms in Comoros.

reforms to reduce fragility, enhance resilience, and promote inclusive growth. They reaffirmed their commitment to anti-corruption reforms, including the operationalization of the AD framework. Noting elevated social pressures, they welcomed the focus of staff analysis on protecting the vulnerable in the context of pension and tax reforms. The authorities agreed with the importance of effective communication and governance for the social acceptability of these reforms and to enhance tax compliance. They also agreed with the recommendations to reform the CRC as presented by staff. Finally, they noted their continuous efforts to improve data quality, with the support of partners such as the Fund, the WB, and AFD.

PROGRAM ISSUES

44. The program remains fully financed with firm commitments over the next 12 months and with good prospects for the remaining period. Disbursement for the fifth review will be used for budget support. Together with budget support from other development partners and multilateral institutions (e.g., World Bank, France, and AfDB), this will meet financing needs for the next 12 months. Contingency measures, including pre-identified revenue measures and delaying domestically-financed public investment, would cover any shortfall in budget grants. Such a scenario, however, entails risks to program implementation, particularly the non-accumulation of domestic and external arrears, or excessive fiscal contraction that could affect social stability.

45. Despite setbacks, the ECF remains broadly on track. The authorities met three of five QPCs for end-June 2025 (Table 5)—floor on tax revenues, limit on non-concessional external debt, and NIR floor. They are requesting waivers of non-observance for the two missed QPCs on (i) the DPB and (ii) non-accumulation of new external arrears. The request for a waiver of non-observance for the first missed QPC is supported by corrective measures reflected in the LFR25 (¶21, including the revenue measures in Text Table 2), along with the introduction of a new IT that limits net domestic financing to avoid unplanned spending and debt accumulation. The request for a waiver of non-observance for the second missed QPC is supported by the prompt clearance of the arrears with TDB and World Bank in October. Regarding end-March ITs, only the one on external arrears was missed (out of 7), while both end-June ITs were met. At end-September, the ITs on NIR, non-concessional external debt, domestic arrears, and social protection were met, while the continuous QPC on external arrears and the ITs for tax revenues and the DPB were missed. The end-December QPCs on non-concessional external debt and on external arrears were both met; the end-December IT on social protection was also met. 13 of the 15 SBs expected to be completed between end-June and end-December 2025 were met. The authorities are requesting that one of the two missed SBs be reset: the validation of recapitalization plans for financial institutions in breach of regulatory requirements. Staff proposes parsimonious new SBs (Table 6) to allow the authorities to focus on completing the missed SBs.

46. Comoros' capacity to repay the Fund remains adequate, but subject to significant risks. Fund credit outstanding is projected to peak in 2027 at SDR 34.72 million, equivalent to 2.5 percent of GDP. Debt service to the IMF will peak in 2032 at 2.8 percent of revenue, 3.0 percent of exports of goods and services and 1 percent of gross international reserves. Capacity to repay risks are

exacerbated by Comoros' high risk of debt distress, external arrears, and weak implementation track record. The authorities' consistent track record of servicing obligations to the Fund and strong political support for the program are key risk-mitigating factors.

STAFF APPRAISAL

47. Comoros' economic outlook remains stable but is subject to significant risks. The recovery is expected to continue this year, supported by a rebound in household consumption as inflation continues to ease, ongoing public investments, and domestic credit growth. However, this outlook remains fragile due to external uncertainties and the country's reliance on imports, remittances, and foreign aid. Additionally, extreme weather-related risks exacerbate economic vulnerabilities. Growth is projected to return to its potential of 3½ percent over the medium term, but this critically hinges on the continued implementation of prudent macroeconomic policies and structural reforms**.**

48. Staff welcomes the significant DRM effort to preserve the fiscal consolidation path and ensure that the program remains on track. Unbudgeted transfer spending led to a modest fiscal slippage in June 2025, which widened in September on the back of further transfer spending, a leadership vacuum in the revenue agencies, and delays in implementing revenue measures agreed at the fourth review. Returning to the fiscal consolidation path in 2026 hinges on spending restraint and a significant DRM effort. Staff assesses the tax measures underpinning the envisaged fiscal adjustment at end-2025 and end-2026 to be credible and of high quality, and urges the authorities to prioritize their implementation—leveraging IMF CD—and to deploy contingency measures should any further slippages arise. Comoros' external and overall debt are assessed to be sustainable but at high risk of distress. Continued revenue-led fiscal consolidation will reduce debt vulnerabilities while creating greater fiscal space for priority spending over the medium term.

49. Deeper PFM reforms are needed to improve budget credibility and transparency and address liquidity management challenges. Ongoing efforts to improve the budget process, including the publication of the TOFE for all quarters of 2024 and sharing of the macro-budgetary framework that served as the basis for the 2026 budget, are welcome. However, it is critical to strengthen capacity of the TOFE and Treasury Committees to improve the quality and timeliness of fiscal outturn data and cashflow forecasting and plans. Further efforts are also needed to strengthen liquidity and debt management, without which the government will not be able to articulate a borrowing plan or assess its debt repayment capacity—key prerequisites for the development of a full-fledged government securities market. Staff advised against financing external debt service from the issuance of domestic government debt securities and reiterated its recommendation to make the necessary legislative changes to authorize the BCC to automatically service external debt from dedicated sub-accounts to prevent the recurrence of external arrears. Finally, to enhance transparency and limit explicit or contingent liabilities in view of sizable investment needs, it is paramount that the authorities share with staff any financing plans for the Indian Ocean Island Games before entering into contractual obligations.

50. The euro peg continues to anchor price and external stability, while a further strengthening of the monetary policy framework remains essential. With inflation moderating and liquidity conditions tightening unevenly across banks, the BCC has relied on reserve requirements and liquidity absorption operations to manage system-wide liquidity in the absence of active refinancing tools or an interbank market. However, as reserves are not remunerated, the use of reserve requirements acts as an implicit tax on banks and impedes monetary policy transmission. In this context, the recent decision to lower the policy rate and raise the absorption ceiling finetunes liquidity across the banking sector while draining structural excess liquidity and mitigating sterilization costs. With structural excess liquidity and a nonfunctional interbank market, the BCC could already benefit from a full transition toward a fixed-rate, full-allotment operating framework. A clear and consistent implementation of FRFA would enhance transparency, strengthen monetary transmission, and fully anchor expectations around the policy rate. The calibration of the monetary stance should remain firmly rooted in the BCC's primary mandate to maintain price stability and safeguard the peg. Efforts to develop a government securities market, boost credit, and enhance financial deepening should remain secondary.

51. Despite recent progress, preconditions to start interbank activity or launch a government securities market are not yet fully in place. Weak bank balance sheets, limited credit risk transparency, and the absence of high-quality collateral remain structural impediments to interbank activity. The BCC should prioritize strengthening liquidity forecasting and internal operational procedures, operationalizing the emergency liquidity assistance framework, and advancing banking-sector reforms. Similarly, while it would widen the pool of collateral, it is critical that operational prerequisites and readiness are met and tested before launching a T-bill market, envisaged in early 2026. A tightly controlled pilot phase—with short maturities (one month) and issuance volumes subject to a prudent cap in the amount of salary loans that T-bills aim to replace—will be essential to safeguard credibility and avoid unplanned debt accumulation. Expanding maturities and issuance volumes should be strictly conditional on a successful pilot and proceed in step with improvements in cash-flow forecasting, and debt management. Continued progress on public debt management and cash-forecasting capacity is also critical to underpin the safe, phased introduction of government securities.

52. Sound operationalization of the BPC, implementation of the banking resolution law, and improved supervision capacity will enhance financial sector resilience. The finalization of the opening balance sheets of the BPC, SNPSF Liquidation, and La Poste reflect the authorities' steadfast efforts to complete the restructuring of the SNPSF. Updating the BPC's recapitalization and business plans will unlock much needed support by the AFD. The DRRB should step up efforts to ensure that the recapitalization plans for the two banks that have yet to finalize them meet minimum standards while avoiding further delays. Where recapitalization is not feasible, other options should be considered, including resolution. Progress should continue in developing a resolution funding mechanism. Leveraging recent diagnostics, the authorities should also develop a comprehensive strategy to address the NPL overhang. Finally, continued efforts to strengthen the BCC's supervision capacity will be key to improving financial sector stability.

53. Governance reforms and statistical capacity remain essential to addressing structural and policy weaknesses. Staff welcomes the authorities' commitment to enhance governance and transparency, reflected in the ACC's determination to operationalize the AD framework, ongoing efforts to strengthen the AML/CFT framework, and the interest in a Governance Diagnostic. The authorities are encouraged to continue engaging with international partners to mobilize support for these areas of reforms. Staff also welcomes continued efforts to improve SOE governance and customs administration. Bolstering authorities' currently weak statistical capacity—evidenced by data deficiencies in the Table of Common Indicators (Annex V)—is paramount for policy implementation and monitoring. While CD will have to continue to play a key role in this regard (Annex IV), the authorities should ensure that the statistical agency, INSEED, is well staffed and resourced (¶41).

54. Staff supports the completion of the fifth review under the ECF based on improved program performance, strong corrective measures, and commitments to ensure that program objectives can be met. These commitments are reflected in the corrective actions and new measures (see proposed PAs and SBs). Notably, the commitment to return to the programmed fiscal path is evidenced in a significant DRM effort enacted in the LFR25 and LF26. Further, achieving 13 of 15 structural benchmarks (in addition to meeting three continuous SBs) is a notable outcome in the context of a fragile small state. Staff supports the request for waivers for the non-observance of the end-June QPC on the DPB and of the continuous QPC on the non-accumulation of external arrears, based on the strengths of the corrective actions. Finally, staff recommends that the next Article IV consultation be held on the 24-month cycle in accordance with the Executive Board decision on consultation cycles for members with Fund arrangements.

55. Program risks relate mainly to weak institutional capacity and program ownership. To address these risks, the program continues to incorporate elements of the FCS Strategy and ensures that program conditionality is tailored to these constraints while CD support remains an integral part of program engagement (Annex IV).

Table 1. Union of the Comoros: Selected Economic and Financial Indicators, 2024-2030

	2024		2025		2026		2027		2028		2029		2030
	Act.[1]	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.
	(Annual percentage change, unless otherwise indicated)												
National Income and Prices													
Real GDP	3.3	3.3	3.8	3.8	4.1	4.3	4.1	4.5	3.8	4.3	3.6	3.8	3.6
GDP Deflator	5.0	5.0	3.3	3.6	2.4	1.7	2.1	2.2	2.1	2.1	2.1	2.2	2.5
Consumer Price Index (annual average)	5.0	5.0	3.5	3.8	2.4	1.7	2.1	2.1	2.1	2.1	2.1	2.1	2.1
Consumer Price Index (end period)	6.0	6.0	3.4	0.8	2.7	1.9	2.0	1.9	2.0	1.9	2.0	1.9	2.0
Money and Credit													
Net Foreign Assets	4.4	4.4	14.1	17.7	17.1	18.7	7.4	14.2	8.6	10.7	6.1	15.6	9.0
Domestic Credit	6.8	6.8	13.8	4.0	5.6	4.3	8.6	5.3	11.4	5.1	10.1	5.0	9.7
Credit to the Private Sector	1.6	1.6	9.7	8.7	5.6	5.2	5.4	5.7	5.1	5.5	5.8	6.1	6.2
Government	26.3	26.3	23.9	-6.7	5.5	3.2	15.0	3.7	22.8	3.6	16.7	1.5	14.4
Broad Money	5.1	5.1	6.0	6.0	5.5	5.5	7.0	7.0	5.0	5.0	7.0	7.0	5.0
Velocity (GDP/end-year broad money)	2.7	2.7	2.7	2.7	2.8	2.8	2.7	2.8	2.8	2.8	2.7	2.8	2.8
External Sector													
Exports, f.o.b.	-5.1	-5.1	9.0	13.0	5.6	15.2	13.1	7.5	3.0	8.9	20.9	15.0	8.7
Imports, f.o.b.	2.1	2.2	5.5	11.0	3.7	0.9	1.3	14.5	-1.3	-0.5	10.0	8.9	3.2
Export volume	-15.3	-16.0	-10.6	-5.5	7.2	12.1	7.7	4.9	2.4	5.5	16.1	13.3	5.5
Import volume	1.3	2.7	1.3	3.7	2.4	2.5	2.6	2.1	3.0	2.1	2.9	3.4	3.3
Terms of trade	1.0	2.0	19.8	0.6	7.3	0.5	-0.6	9.5	-2.9	-1.3	3.4	3.5	-1.1
	(In percent of GDP, unless otherwise indicated)												
Investment and Savings													
Gross Fixed Capital Formation	18.0	18.0	18.2	18.2	18.4	18.4	18.6	18.5	18.8	18.6	19.4	19.1	19.3
Public	4.4	4.4	5.7	5.8	5.7	5.7	5.7	5.7	5.8	5.9	5.9	5.9	5.9
Private	13.6	13.6	12.5	12.5	12.7	12.7	12.9	12.8	12.9	12.7	13.5	13.2	13.4
Gross National Savings	15.7	15.8	15.2	15.2	15.3	14.3	14.9	14.9	16.1	15.6	16.4	16.4	19.3
Public	0.2	0.0	1.6	2.1	1.8	1.6	1.5	1.6	1.7	1.7	2.4	2.5	2.3
Private	15.5	15.9	13.6	13.1	13.5	12.7	13.3	13.3	14.4	13.8	14.0	14.0	17.0
External Savings	2.3	2.2	3.0	3.1	3.1	4.1	3.7	3.6	2.7	3.0	3.0	2.7	
Total Revenue and Grants	16.5	16.2	17.2	17.8	17.4	17.2	16.8	16.8	16.6	16.7	17.7	17.7	17.8
Total Revenue	9.7	9.7	10.5	10.8	11.0	11.1	11.3	11.4	11.4	11.5	11.7	11.8	11.8
Tax Revenue	8.1	8.1	8.9	9.3	9.6	9.6	9.9	9.8	10.0	10.0	10.3	10.3	10.4
Non-tax Revenue [2]	1.6	1.6	1.5	1.5	1.4	1.5	1.5	1.5	1.39	1.5	1.39	1.5	1.39
Total Grants	6.7	6.5	6.7	6.9	6.4	6.1	5.4	5.4	5.2	5.2	6.0	5.9	6.0
Total Expenditure and Net Lending	19.1	19.2	19.5	19.6	18.9	18.9	18.6	18.7	18.7	18.8	19.0	19.1	19.1
Current Expenditure [3]	13.4	13.4	11.8	11.9	11.2	11.3	11.0	11.1	11.0	11.0	11.2	11.3	11.4
Capital Expenditure	5.7	5.7	7.7	7.7	7.6	7.6	7.6	7.6	7.7	7.8	7.8	7.8	7.7
Domestic Primary Balance [4]	-1.7	-1.7	-0.7	-0.7	-0.2	-0.2	0.0	0.0	0.0	0.0	0.0	0.0	-0.5
Domestic Primary Balance (adjusted) [5]	-2.3	-2.3	-1.3	-1.1	-0.8	-0.8	-0.4	-0.6	-0.4	-0.6	-0.4	-0.6	
Overall Balance (cash basis)	-3.3	-3.6	-2.3	-1.9	-1.4	-1.7	-1.9	-1.9	-2.1	-2.1	-1.3	-1.3	-1.3
Excluding Grants	-10.1	-10.1	-9.0	-8.8	-7.9	-7.8	-7.3	-7.3	-7.3	-7.3	-7.3	-7.3	-7.3
Net Financing	3.5	3.3	2.3	1.3	0.6	0.7	1.6	0.7	2.1	1.2	1.3	0.6	1.3
Foreign	2.3	2.0	1.9	2.4	0.6	0.9	0.8	0.9	0.5	1.1	0.1	1.1	0.2
Domestic	1.1	1.3	0.4	-1.1	0.0	-0.2	0.8	-0.2	1.6	0.2	1.1	-0.5	1.1
Of which : Net acquisition of assets	-0.2	-0.2	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3	0.0	-0.2	0.0	0.0
Financing Gap/Errors and Omissions [6]	-0.1	0.3	0.0	0.6	0.8	1.0	0.3	1.2	0.0	0.9	0.0	0.8	0.0
External Sector													
Exports of Goods and Services	10.2	10.2	10.4	10.7	10.4	10.8	11.2	11.4	11.1	11.4	11.1	11.2	11.1
Imports of Goods and Services	36.0	36.0	34.8	35.2	32.8	33.1	31.6	31.8	29.5	30.5	29.8	29.8	29.0
Current Account Balance	-2.3	-2.2	-3.0	-3.1	-3.1	-4.1	-3.7	-3.6	-2.7	-3.0	-3.0	-2.7	-2.8
Excl. Official and Private Transfers	-25.2	-25.2	-24.0	-24.0	-21.9	-21.8	-19.9	-19.8	-18.1	-18.4	-18.3	-18.0	-17.4
Private Remittances, Net [7]	18.9	19.0	18.1	17.7	16.7	15.9	15.0	15.0	14.2	14.2	13.4	13.4	12.7
External Public and Publicly Guaranteed Debt	28.2	29.8	27.0	31.3	29.1	33.8	30.2	34.7	29.1	36.5	27.3	36.9	25.9
External Debt, in Percent of Exports of Goods and Services	143.6	146.1	135.8	153.4	152.9	150.2	152.4	155.2	146.7	150.6	136.1	143.7	126.7
External Debt Service [8]	4.6	4.5	3.8	3.5	3.5	3.5	3.6	3.3	5.3	3.1	5.9	3.2	5.4
Overall Balance of Payments (in millions of U.S.$)	16.6	16.8	41.9	36.5	41.8	39.6	23.1	39.7	35.5	36.0	24.6	57.4	40.4
Official Grants and Loans	9.5	9.2	9.3	10.1	8.0	7.9	7.1	7.2	7.0	7.0	7.6	7.6	7.6
Gross International Reserves [9]													
In Millions of U.S. Dollars	326.3	341.1	407.8	388.4	463.8	447.8	490.8	499.9	525.6	544.2	549.6	617.3	589.9
In Months of Imports of Goods & Services	7.0	7.4	8.4	8.4	9.3	9.5	10.0	10.5	10.0	11.0	10.1	12.0	10.5
Gross International Reserves, Including Fiscal Gap													
In Millions of U.S. Dollars	326.3	341.1	407.8	388.4	463.8	444.3	490.8	502.5	525.6	553.1	549.6	626.2	589.9
In Months of Imports of Goods & Services	7.0	7.4	8.4	8.4	9.3	9.5	10.0	10.5	10.0	11.1	10.1	12.2	10.5
Exchange Rate CF/US$ (period average)	454.7	449.7											
Memorandum Items:													
Public External Debt (in Percent of GDP) [10]	28.2	27.4	27.0	31.3	29.1	33.8	30.2	34.7	29.1	36.5	27.3	36.9	25.9
Public Debt (in Percent of GDP)	35.1	33.7	32.9	36.3	34.1	37.7	34.3	37.9	32.6	39.3	30.2	39.4	28.7
GDP (nominal, in billions of CF)	655.5	655.0	702.7	704.1	749.1	747.2	796.4	797.5	844.2	849.5	893.1	901.0	948.6
GDP per capita (nominal, in US Dollars)	1,620	1,637	1,776	1,727	1,918	1,796	1,990	1,869	2,062	1,941	2,133	2,016	2,218

Sources: Comorian authorities; and IMF staff estimates and projections.

[1] From 2017, includes budgeted-for revenues and expenses related to fuel subsidies of SOEs.

[2] Starting in 2025, nontax revenues no longer include an administrative fee collected by the customs agency on behalf of the Chamber of Commerce, Industry and Agriculture (CCIA).

[3] Starting in 2025, transfers (part of current expenditure) include expenditures using revenues from the single administrative fee (Redevance Administrative Unique, RAU).

[4] Domestic revenues minus current primary expenditures and domestically financed capital expenditures, excluding the World Bank-financed spending to combat the COVID epidemic and the cost of restructuring SNPSF. This balance reflects the definition of domestic primary balance as per the TMU of the ECF Request, 1st ECF Review, and 2nd ECF Review.

[5] This reflects the definition of domestic primary balance as per the TMU of the 3rd ECF Review.

[6] For 2022-23, includes unmet financing needs for restructuring SNPSF. Historical figures reflect errors and omissions; projections reflect financing gap to be filled under the program.

[7] From 2015, net private official transfers include estimates made by the Central Bank of Comoros of debit items other than wire transfers.

[8] In percent of government revenue.

[9] End of period. From 2021, includes new SDR allocation of $24 million.

[10] Coverage of debt: central government, central bank, and government-guaranteed debt. Definition of external debt is residency-based.

Table 2a. Union of the Comoros: Consolidated Government Financial Operations, 2024-2030

(In Millions of Comorian Francs)

	2024	2025		2026		2027		2028		2029		2030
	Act.[1]	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.
Total Revenue and Grants	107,936	120,746	125,100	130,699	128,589	133,470	133,957	140,534	141,534	157,798	159,828	168,741
Revenues	63,822	73,656	76,232	82,406	83,065	90,373	90,663	96,541	97,745	104,349	106,568	111,752
Tax Revenues	53,176	62,782	65,590	71,776	71,712	78,578	78,546	84,131	84,827	91,909	92,860	98,571
Nontax Revenues [2]	10,646	10,874	10,643	10,630	11,353	11,795	12,118	12,410	12,918	12,440	13,708	13,181
External Grants	44,114	47,090	48,867	48,292	45,524	43,097	43,293	43,993	43,789	53,450	53,260	56,988
Budgetary Assistance	7,849	11,307	13,169	10,937	8,966	4,201	4,475	4,201	4,475	10,717	10,812	11,384
Projects (incl. techn. assist.)	36,265	35,783	35,698	37,355	36,559	38,895	38,818	39,792	39,314	42,732	42,448	45,605
Total Expenditure and Net Lending	125,471	137,119	138,280	141,410	141,583	148,279	148,781	157,992	159,617	169,282	171,979	181,198
Current Expenditure	88,008	83,211	84,123	84,268	84,423	87,765	88,163	92,564	93,548	99,614	101,454	107,720
Primary Current Expenditures	68,248	71,643	72,720	77,366	78,010	78,998	81,081	82,739	85,977	89,418	93,081	96,309
Wages and Salaries	32,517	33,078	36,991	37,810	39,576	39,918	42,263	42,344	45,367	44,815	48,128	48,436
Goods and Services	19,515	17,267	15,523	16,968	16,968	18,614	17,762	20,378	19,870	22,758	22,269	24,115
Transfers and Pensions [3]	16,216	21,297	20,206	22,588	21,467	20,466	21,055	20,017	20,741	21,845	22,684	23,759
Interest Payments	2,050	2,363	1,928	2,443	1,957	3,308	1,620	4,005	1,737	4,038	2,195	4,886
External debt	1,945	2,064	1,629	1,806	1,320	2,398	1,191	2,973	1,234	2,569	1,612	2,622
Before rescheduling	...	...	...	...	...	...	...	...	...	...	...	...
On restructured obligations	...	...	...	...	...	...	...	...	...	...	...	...
Domestic debt	104	299	299	637	637	910	428	1,032	503	1,469	583	2,264
Foreign-Financed Project Maintenance	9,689	5,973	5,990	1,124	1,121	1,951	1,954	2,092	2,105	2,213	2,232	2,351
Technical Assistance	8,022	3,233	3,485	3,334	3,336	3,508	3,508	3,729	3,729	3,945	3,945	4,174
Capital Expenditure	37,463	53,908	54,158	57,142	57,160	60,514	60,618	65,427	66,069	69,668	70,525	73,478
Domestically Financed Investment	11,507	13,153	13,321	13,321	13,449	14,324	14,363	16,883	17,221	18,761	19,170	19,880
Foreign-Financed Investment	25,956	40,755	40,837	43,821	43,710	46,190	46,255	48,544	48,848	50,907	51,355	53,598
Domestic Primary Balance [4]	-11,225	-4,705	-4,705	-1,775	-1,775	260	260	-16	-16	90	90	-4,437
Domestic Primary Balance (adjusted) [5]	-15,051	-9,419	-8,034	-6,289	-6,272	-2,948	-4,780	-3,081	-5,453	-3,830	-5,683	-4,437
Overall Balance (commitment basis)	-17,535	-16,373	-13,180	-10,712	-12,994	-14,809	-14,824	-17,457	-18,083	-11,483	-12,151	-12,457
Change in Net Arrears	-4,306	0	0	0	0	0	0	0	0	0	0	0
Overall Balance (cash basis)	-21,841	-16,373	-13,180	-10,712	-12,994	-14,809	-14,824	-17,457	-18,083	-11,483	-12,151	-12,457
Financing	22,705	16,373	8,879	4,540	5,409	12,733	5,646	17,479	10,614	11,512	5,017	12,301
Foreign (net)	15,217	13,381	16,944	4,560	7,093	6,441	7,071	4,042	9,316	1,253	9,690	2,220
Drawings	17,993	18,277	22,235	11,344	13,524	13,171	13,770	15,024	16,025	14,808	15,600	15,040
Amortization	-5,141	-5,592	-5,290	-6,098	-6,431	-6,196	-6,700	-10,601	-6,709	-12,153	-5,910	-11,587
Change in Net Arrears (principal)	1,198	0	0	0	0	0	0	0	0	0	0	0
Domestic (net) [6]	7,488	2,992	-8,065	-20	-1,684	6,292	-1,424	13,437	1,298	10,259	-4,673	10,081
Bank Financing	8,555	5,450	-5,607	2,438	774	8,750	1,034	15,895	1,298	10,259	-4,673	10,081
Central Bank	1,782	0	-1,434	0	-720	0	-561	0	-401	-5,000	-6,475	-5,000
Of which: IMF (net)	0	0	-1,434	0	-720	0	-561	0	-401	0	-1,475	0
Commercial Banks	6,772	5,450	-4,173	2,438	1,494	8,750	1,595	15,895	1,699	15,259	1,802	15,081
Net Acquisition of Assets	-1,067	-2,458	-2,458	-2,458	-2,458	-2,458	-2,458	-2,458	0	-1,400	0	0
of which recapitalization of SNPSF	0	-1,058	-1,058	-1,058	-1,058	-1,058	0	-1,058	0	0	0	0
Errors and Omissions [7]	-864.1											
Financing Gap [7,8] (+ = underfinancing)		0	4,301	6,172	7,585	2,076	9,177	-22	7,470	-29	7,134	156
Memorandum Items:												
GDP (nominal)	655,466	702,666	704,086	749,081	747,187	796,387	797,500	844,250	849,533	893,101	900,971	948,645
Wages in Percentage of Revenues	50.9	44.9	48.5	45.9	47.6	44.2	46.6	43.9	46.4	42.9	45.2	43.3

Sources: Comoros Ministry of Finance; and IMF staff estimates.

[1] From 2017, includes budgeted-for revenues and expenses related to fuel subsidies of SOEs.

[2] Starting in 2025, nontax revenues no longer include an administrative fee collected by the customs agency on behalf of the Chamber of Commerce, Industry and Agriculture (CCI

[3] Includes World Bank cash transfers spending to households. Starting in 2025, transfers include expenditures using revenues from the single administrative fee (Redevance Administrative Unique, RAU).

[4] Domestic revenues minus current primary expenditures and domestically financed capital expenditures, excluding the World Bank-financed spending to combat COVID and the cost of restructuring SNPSF. This balance reflects the definition of domestic primary balance as per the TMU of the ECF Request, 1st ECF Review, and 2nd ECF Review.

[5] This reflects the definition of domestic primary balance as per the TMU of the 3rd ECF Review.

[6] The difference between the fiscal and the monetary tables is due to the item Net Acquisition of Assets in the fiscal table.

[7] Errors and omissions pertain to actual outturns, while the fiscal financing gap applies to projections.

[8] The fiscal financing gap is assumed to be filled with grants, concessional loans, and IMF financing as per Table 7.

Table 2b. Union of the Comoros: Consolidated Government Financial Operations, 2024-2030

(In Percent of GDP)

	2024	2025		2026		2027		2028		2029		2030
	Act.[1]	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.
Total Revenue and Grants	16.5	17.2	17.8	17.4	17.2	16.8	16.8	16.6	16.7	17.7	17.7	17.8
Revenues	9.7	10.5	10.8	11.0	11.1	11.3	11.4	11.4	11.5	11.7	11.8	11.8
Tax Revenues	8.1	8.9	9.3	9.6	9.6	9.9	9.8	10.0	10.0	10.3	10.3	10.4
Nontax Revenues[2]	1.6	1.5	1.5	1.4	1.5	1.5	1.5	1.5	1.5	1.4	1.5	1.4
External Grants	6.7	6.7	6.9	6.4	6.1	5.4	5.4	5.2	5.2	6.0	5.9	6.0
Budgetary Assistance	1.2	1.6	1.9	1.5	1.2	0.5	0.6	0.5	0.5	1.2	1.2	1.2
Projects (incl. techn. assist.)	5.5	5.1	5.1	5.0	4.9	4.9	4.9	4.7	4.6	4.8	4.7	4.8
Total Expenditure and Net Lending	19.1	19.5	19.6	18.9	18.9	18.6	18.7	18.7	18.8	19.0	19.1	19.1
Current Expenditure	13.4	11.8	11.9	11.2	11.3	11.0	11.1	11.0	11.0	11.2	11.3	11.4
Primary Current Expenditures	10.4	10.2	10.3	10.3	10.4	9.9	10.2	9.8	10.1	10.0	10.3	10.2
Wages and Salaries	5.0	4.7	5.3	5.0	5.3	5.0	5.3	5.0	5.3	5.0	5.3	5.1
Goods and Services	3.0	2.5	2.2	2.3	2.3	2.3	2.2	2.4	2.3	2.5	2.5	2.5
Transfers and Pensions[3]	2.5	3.0	2.9	3.0	2.9	2.6	2.6	2.4	2.4	2.4	2.5	2.5
Interest Payments	0.3	0.3	0.3	0.3	0.3	0.4	0.2	0.5	0.2	0.5	0.2	0.5
Foreign-Financed Project Maintenance	1.5	0.9	0.9	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Technical Assistance	1.2	0.5	0.5	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4	0.4
Capital Expenditure	5.7	7.7	7.7	7.6	7.6	7.6	7.6	7.7	7.8	7.8	7.8	7.7
Domestically Financed Investment	1.8	1.9	1.9	1.8	1.8	1.8	1.8	2.0	2.0	2.1	2.1	2.1
Foreign-Financed Investment	4.0	5.8	5.8	5.9	5.9	5.8	5.8	5.8	5.8	5.7	5.7	5.7
Domestic Primary Balance[4]	-1.7	-0.7	-0.7	-0.2	-0.2	0.0	0.0	0.0	0.0	0.0	0.0	-0.5
Domestic Primary Balance (adjusted)[5]	-2.3	-1.3	-1.1	-0.8	-0.8	-0.4	-0.6	-0.4	-0.6	-0.4	-0.5	-0.5
Overall Balance (commitment basis)	-2.7	-2.3	-1.9	-1.4	-1.7	-1.9	-1.9	-2.1	-2.1	-1.3	-1.3	-1.3
Change in Net Arrears	-0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
External Arrears	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic Arrears	-0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall Balance (cash basis)	-3.3	-2.3	-1.9	-1.4	-1.7	-1.9	-1.9	-2.1	-2.1	-1.3	-1.3	-1.3
Financing	3.5	2.3	1.3	0.6	0.7	1.6	0.7	2.1	1.2	1.3	0.6	1.3
Foreign (net)	2.3	1.9	2.4	0.6	0.9	0.8	0.9	0.5	1.1	0.1	1.1	0.2
Drawings	2.7	2.6	3.2	1.5	1.8	1.7	1.7	1.8	1.9	1.7	1.7	1.6
Amortization	-0.8	-0.8	-0.8	-0.8	-0.9	-0.8	-0.8	-1.3	-0.8	-1.4	-0.7	-1.2
Change in Net Arrears (principal)	0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic (net)[6]	1.1	0.4	-1.1	0.0	-0.2	0.8	-0.2	1.6	0.2	1.1	-0.5	1.1
Bank Financing	1.3	0.8	-0.8	0.3	0.1	1.1	0.1	1.9	0.2	1.1	-0.5	1.1
Central Bank	0.3	0.0	-0.2	0.0	-0.1	0.0	-0.1	0.0	0.0	-0.6	-0.7	-0.5
Of which: IMF (net)	0.0	0.0	-0.2	0.0	-0.1	0.0	-0.1	0.0	0.0	0.0	-0.2	0.0
Commercial Banks	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Acquisition of Assets	-0.2	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3	-0.3	0.0	-0.2	0.0	0.0
of which recapitalization of SNPSF	0.0	-0.2	-0.2	-0.1	-0.1	-0.1	0.0	-0.1	0.0	0.0	0.0	0.0
Errors and Omissions[7]	-0.1											
Financing Gap[7] (+ = underfinancing)		0.0	0.6	0.8	1.0	0.3	1.2	0.0	0.9	0.0	0.8	0.0
Memorandum Items:												
GDP (nominal)	655,466	702,666	704,086	749,081	747,187	796,387	797,500	844,250	849,533	893,101	900,971	948,645
Wages in Percentage of Revenues	50.9	44.9	48.5	45.9	47.6	44.2	46.6	43.9	46.4	42.9	45.2	43.3

Sources: Comoros Ministry of Finance; and IMF staff estimates.

[1] From 2017, includes budgeted-for revenues and expenses related to fuel subsidies of SOEs.

[2] Starting in 2025, nontax revenues no longer include an administrative fee collected by the customs agency on behalf of the Chamber of Commerce, Industry and Agriculture (CCIA).

[3] Includes World Bank cash transfers spending to households. Starting in 2025, transfers include expenditures using revenues from the single administrative fee (Redevance Administrative Unique, RAU).

[4] Domestic revenues minus current primary expenditures and domestically financed capital expenditures, excluding the World Bank-financed spending to combat COVID and the cost of restructuring SNPSF. This balance reflects the definition of domestic primary balance as per the TMU of the ECF Request, 1st ECF Review, and 2nd ECF Review.

[5] This reflects the definition of domestic primary balance as per the TMU of the 3rd ECF Review.

[6] The difference between the fiscal and the monetary tables is due to the item Net Acquisition of Assets in the fiscal table.

[7] Errors and omissions pertain to actual outturns, while the fiscal financing gap applies to projections.

Table 3. Union of the Comoros: Monetary Survey, 2024-2030

(In Millions of Comorian Francs, unless otherwise indicated)

	2024	2025		2026		2027		2028		2029		2030
	Act.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.
Net Foreign Assets	126,170	143,919	148,495	168,542	176,286	181,087	201,325	196,633	222,860	208,620	257,584	227,342
Central Bank Assets [1]	153,172	171,406	173,842	195,135	200,720	206,932	224,971	221,882	245,870	232,247	278,888	249,486
Central Bank Liabilities [2]	-29,949	-30,646	-28,516	-29,960	-27,796	-29,426	-27,234	-29,045	-26,833	-27,643	-25,358	-26,410
Commercial Banks Assets	5,744	6,158	6,175	6,564	6,553	6,979	6,994	7,398	7,450	7,827	7,902	8,313
Commercial Banks Liabilities	-2,797	-2,998	-3,007	-3,196	-3,191	-3,398	-3,406	-3,602	-3,628	-3,811	-3,847	-4,048
Net Domestic Assets	117,546	112,824	108,248	102,322	94,578	108,738	88,499	107,683	81,456	116,998	68,034	114,557
Domestic Credit	157,110	178,717	163,359	188,708	170,429	205,009	179,401	228,363	188,573	251,453	197,962	275,749
Net Credit to Government	30,152	40,644	25,949	42,922	26,397	51,282	27,003	66,666	27,596	80,429	27,268	94,121
Of which: Treasury	47,911	59,380	44,713	62,658	46,133	72,049	47,845	88,461	49,570	103,261	50,337	118,099
Bank Financing	30,152	40,644	25,949	42,922	26,397	51,282	27,003	66,666	27,596	80,429	27,268	94,121
Claims on Government	53,055	62,724	49,086	66,002	50,506	75,393	52,217	91,805	53,942	106,604	54,709	121,443
Deposits of Government	-22,902	-22,079	-23,136	-23,080	-24,109	-24,110	-25,214	-25,139	-26,347	-26,175	-27,441	-27,321
Claims on Public Enterprises	14,010	14,194	14,680	14,982	14,944	15,928	15,950	16,885	16,991	17,862	18,019	18,973
Claims on Other Financial Institutions	-138	-138	-138	-138	-138	-138	-138	-138	-138	-138	-138	-138
Claims on Private Sector	112,435	123,365	122,217	130,292	128,576	137,286	135,935	144,299	143,474	152,649	152,161	162,143
Other Items Net	-39,564	-65,892	-55,111	-86,386	-75,852	-96,271	-90,902	-120,680	-107,117	-134,455	-129,927	-161,192
Broad Money	242,211	256,743	256,743	270,864	270,864	289,825	289,825	304,316	304,316	325,618	325,618	341,899
Money	172,767	185,944	185,944	195,326	195,326	217,256	217,256	230,330	230,330	246,681	246,681	266,064
Currency in Circulation	56,071	63,921	63,921	72,870	72,870	83,072	83,072	94,702	94,702	107,961	107,961	123,075
Demand Deposits	116,695	122,022	122,022	122,456	122,456	134,184	134,184	135,628	135,628	138,720	138,720	142,989
Quasi-Money	69,444	70,799	70,799	75,538	75,538	72,569	72,569	73,985	73,985	78,937	78,937	75,835
					(in percent of beginning period broad money)							
Net Foreign Assets	2.3	7.3	9.2	9.6	10.8	4.6	9.2	5.4	7.4	3.9	11.4	5.7
Net Domestic Assets	3.4	-1.9	-3.8	-4.1	-5.3	2.4	-2.2	-0.4	-2.4	3.1	-4.4	-0.7
Domestic Credit	4.3	8.9	2.6	3.9	2.8	6.0	3.3	8.1	3.2	7.6	3.1	7.5
Net Credit to Government	3.4	4.3	-1.7	0.9	0.2	3.1	0.2	5.3	0.2	4.5	-0.1	4.2
Credit to Public Enterprises	0.1	0.1	0.3	0.3	0.1	0.3	0.4	0.3	0.4	0.3	0.3	0.3
Credit to Private Sector	0.8	4.5	4.0	2.7	2.5	2.6	2.7	2.4	2.6	2.7	2.9	2.9
Other Items (net)	-0.9	-10.9	-6.4	-8.0	-8.1	-3.6	-5.6	-8.4	-5.6	-4.5	-7.5	-8.2
Broad Money	5.1	6.0	6.0	5.5	5.5	7.0	7.0	5.0	5.0	7.0	7.0	5.0
Money	6.3	5.4	5.4	3.7	3.7	8.1	8.1	4.5	4.5	5.4	5.4	6.0
Quasi-Money	-1.2	0.6	0.6	1.8	1.8	-1.1	-1.1	0.5	0.5	1.6	1.6	-1.0
Velocity (GDP/end-year broad money)	2.7	2.7	2.7	2.8	2.8	2.7	2.8	2.8	2.8	2.7	2.8	2.8
Credit to private sector (percent change)	1.6	9.7	8.7	5.6	5.2	5.4	5.7	5.1	5.5	5.8	6.1	6.2

Sources: Central Bank of Comoros; and IMF staff estimates and projections.

[1] Includes net credit to government entities other than public treasury.

[2] From 2021, includes new SDR allocation of $24 million.

Table 4a. Union of the Comoros: Balance of Payments, 2024-2030

(In Millions of Comorian Francs, unless otherwise indicated)

	2024	2025		2026		2027		2028		2029		2030
	Act.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.
Current Account	-14,982	-21,058	-21,576	-23,397	-30,712	-29,566	-28,459	-22,501	-25,715	-26,448	-24,273	-26,525
Goods and Services	-169,368	-171,285	-172,317	-167,525	-167,004	-162,342	-162,845	-155,912	-162,081	-167,470	-167,642	-169,778
Trade Balance	-124,527	-130,912	-138,053	-135,488	-136,928	-135,259	-158,044	-132,693	-155,454	-143,947	-167,939	-147,284
Exports	14,250	15,536	16,101	16,404	18,546	18,556	19,929	19,107	21,694	23,092	24,955	25,094
Of which: Vanilla	329	1,601	1,586	1,935	2,003	1,981	2,129	2,104	2,273	2,400	2,603	2,564
Cloves	8,247	8,365	8,640	9,140	9,784	9,714	10,456	10,308	11,168	12,063	13,079	12,886
Ylang-ylang	1,385	589	982	603	1,042	641	1,114	680	1,190	761	1,333	813
Other	3,480	4,982	4,893	4,726	5,717	6,219	6,231	6,015	7,063	7,868	7,941	8,831
Imports (f.o.b.)	-138,777	-146,449	-154,154	-151,891	-155,474	-153,815	-177,973	-151,800	-177,148	-167,038	-192,894	-172,378
of which oil	-45,970	-39,812	-45,200	-38,180	-45,064	-39,760	-45,432	-41,521	-45,916	-43,160	-47,665	-45,624
Services (net)	-44,841	-40,372	-34,265	-32,037	-30,076	-27,083	-4,802	-23,219	-6,627	-23,523	298	-22,494
Receipts	52,499	57,880	59,412	61,498	62,016	70,483	70,590	74,455	74,921	75,646	76,307	80,373
Payments	-97,341	-98,253	-93,677	-93,535	-92,093	-97,567	-75,391	-97,675	-81,547	-99,169	-76,009	-102,868
Income (net)	4,111	2,770	3,211	3,636	4,068	3,657	4,824	3,505	5,423	4,471	5,649	4,867
Current Transfers (net)	150,275	147,457	147,530	140,491	132,225	129,119	129,562	129,906	130,943	136,551	137,719	138,386
Government	26,595	20,513	22,644	15,395	13,422	9,661	9,937	10,022	10,309	16,875	16,989	17,908
Private [1]	123,680	126,944	124,886	125,096	118,803	119,458	119,625	119,883	120,634	119,675	120,730	120,478
Capital and Financial Account	17,365	39,292	37,945	40,954	48,422	39,288	46,293	37,473	41,969	36,842	50,154	43,607
Capital Account	17,159	26,577	26,223	32,897	32,076	33,019	32,934	33,521	33,003	36,098	35,756	38,558
Capital Transfers	17,159	26,577	26,223	32,897	32,076	33,019	32,934	33,521	33,003	36,098	35,756	38,558
Transfer of Fixed Assets	17,159	26,577	26,223	32,897	32,076	33,019	32,934	33,521	33,003	36,098	35,756	38,558
Financial Account	205	12,715	11,722	8,057	16,347	6,269	13,359	3,952	8,966	743	14,398	5,049
Direct Investment	2,539	4,216	4,225	4,494	4,483	4,778	4,785	5,065	5,097	5,359	5,406	5,692
Net Portfolio and Other Investment	4,630	7,999	6,998	3,062	11,364	990	8,074	-1,614	3,368	-4,615	8,992	-643
Public sector	4,164	8,458	8,367	2,842	11,926	1,528	6,895	-842	4,141	-5,122	8,563	-341
Disbursement	16,985	14,051	13,657	8,940	18,357	7,724	13,595	9,758	10,850	7,031	14,472	11,246
Of which: Drawings (excl. IMF)	16,985	14,051	13,657	8,940	18,357	7,724	13,595	9,758	10,850	7,031	14,472	11,246
Of which: SDR allocations												
Amortization	-4,733	-5,592	-5,290	-6,098	-6,431	-6,196	-6,700	-10,601	-6,709	-12,153	-5,910	-11,587
Private Sector (net)	466	-460	-1,369	220	-563	-538	1,179	-771	-772	507	429	-302
Banks, Net	612	-414	-431	-407	-378	-415	-441	-419	-456	-428	-451	-487
Other	-145	-46	-938	627	-185	-123	1,620	-352	-316	935	880	185
Currency and Deposit												
Errors and Omissions	5,152	0	0	0	0	0	0	0	0	0	0	0
Overall Balance ("+" indicates a surplus)	7,534	18,234	16,369	17,557	17,710	9,722	17,834	14,972	16,254	10,394	25,880	17,083
Financing	-7,534	-16,142	-16,369	-17,557	-17,710	-9,722	-17,834	-14,972	-16,254	-10,394	-25,880	-17,083
NFA of Central Bank (increase -)	-14,519	-27,450	-33,840	-34,666	-34,261	-15,999	-31,486	-14,972	-16,254	-10,394	-25,880	-17,083
Foreign Assets	-8,701	-16,839	-14,935	-16,871	-16,990	-9,188	-17,273	-14,591	-15,853	-8,991	-24,405	-15,850
Foreign Liabilities	1,167	697	-1,434	-686	-720	-534	-561	-381	-401	-1,233	-1,293	-1,212
Of which: Net IMF Credit (excl. 2023 ECF)	1,167	697	-1,516	-686	-780	-534	-805	-381	-837	-1,403	-837	-1,233
Program Financing	6,985	11,307	17,470	17,109	16,550	6,278	13,652	0	0	0	0	0
2023 ECF	4,297	4,186	4,301	4,115	4,311	2,066	2,168	0	0	0	0	0
Official Budget Support	7,849	11,307	13,169	10,937	8,966	4,201	4,475	0	0	0	0	0
Concessional Borrowings from Other Donors	-5,162	-4,186	0	2,057	3,273	10	7,010	0	0	0	0	0
Memorandum Items:												
Current Account (percentage of GDP)	-2.3	-3.0	-3.1	-3.1	-4.1	-3.7	-3.6	-2.7	-3.0	-3.0	-2.7	-2.8
Excluding Transfers	-25.2	-24.0	-24.0	-21.9	-21.8	-19.9	-19.8	-18.1	-18.4	-18.3	-18.0	-17.4
Exports of Goods and Services (percentage of GDP)	10.2	10.4	10.7	10.4	10.8	11.2	11.4	11.1	11.4	-11.1	-11.2	-11.1
Imports of Goods and Services (percentage of GDP)	36.0	34.8	35.2	32.8	33.1	31.6	31.8	29.5	30.5	29.8	29.8	29.0
Gross International Reserves (end of period) [2]												
In Millions of U.S. dollars	326.3	407.8	388.4	463.8	447.8	490.8	499.9	525.6	544.2	549.6	617.3	589.9
In Months of Imports of Goods & Services	7.0	8.4	8.4	9.3	9.5	10.0	10.5	10.0	11.0	10.1	12.0	10.5
Gross international reserves (end of period), including fiscal financing gap												
In millions of U.S. dollars	326.3	407.8	388.4	463.8	444.3	490.8	502.5	525.6	553.1	549.6	626.2	589.9
In months of imports of goods & services	7.0	8.4	8.4	9.3	9.5	10.0	10.5	10.0	11.1	10.1	12.2	10.5
Nominal GDP (CF millions)	655,466	702,666	704,086	749,081	747,187	796,387	797,500	844,250	849,533	893,100.6	900,971	948,644.6
Nominal GDP (millions of U.S. dollars)	1,442	1,616	1,571	1,783	1,670	1,891	1,775	2,001	1,884	2,114.3	1,998	2,243.9

Sources: Comorian authorities; and IMF staff estimates and projections.

[1] From 2015, net private official transfers include estimates made by the Central Bank of Comoros of debit items other than wire transfers.

[2] From 2021, includes new SDR allocation of $24 million.

Table 4b. Union of the Comoros: Balance of Payments, 2024-2030

(In Millions of USD, unless otherwise indicated)

	2024	2025		2026		2027		2028		2029		2030
	Act.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.
Current Account	-33.0	-48.4	-48.1	-55.7	-68.6	-70.2	-63.4	-53.3	-57.0	-62.6	-53.8	-62.7
Goods and Services	-372.5	-393.9	-384.4	-398.7	-373.2	-385.4	-362.5	-369.5	-359.4	-396.5	-371.7	-401.6
Trade Balance	-273.9	-301.0	-308.0	-322.5	-306.0	-321.1	-351.8	-314.4	-344.7	-340.8	-372.4	-348.4
Exports	31.3	35.7	35.9	39.0	41.4	44.1	44.4	45.3	48.1	54.7	55.3	59.4
Of which: Vanilla	0.7	3.7	3.5	4.6	4.5	4.7	4.7	5.0	5.0	5.7	5.8	6.1
Cloves	18.1	19.2	19.3	21.8	21.9	23.1	23.3	24.4	24.8	28.6	29.0	30.5
Ylang-ylang	3.0	1.4	2.2	1.4	2.3	1.5	2.5	1.6	2.6	1.8	3.0	1.9
Other	7.7	11.5	10.9	11.2	12.8	14.8	13.9	14.3	15.7	18.6	17.6	20.9
Imports (f.o.b.)	-305.2	-336.7	-343.9	-361.5	-347.4	-365.1	-396.2	-359.7	-392.8	-395.4	-427.7	-407.7
Services (net)	-98.6	-92.8	-76.4	-76.3	-67.2	-64.3	-10.7	-55.0	-14.7	-55.7	0.7	-53.2
Receipts	115.5	133.1	132.5	146.4	138.6	167.3	157.2	176.4	166.1	179.1	169.2	190.1
Payments	-214.1	-225.9	-209.0	-222.6	-205.8	-231.6	-167.8	-231.5	-180.8	-234.8	-168.5	-243.3
Income (net)	9.0	6.4	7.2	8.7	9.1	8.7	10.7	8.3	12.0	10.6	12.5	11.5
Current Transfers (net)	330.5	339.1	329.1	334.4	295.5	306.5	288.4	307.8	290.4	323.3	305.4	327.3
Government	58.5	47.2	50.5	36.6	30.0	22.9	22.1	23.8	22.9	40.0	37.7	42.4
Private [1]	272.0	291.9	278.6	297.7	265.5	283.6	266.3	284.1	267.5	283.3	267.7	285.0
Capital and Financial Account	38.2	90.3	84.6	97.5	108.2	93.3	103.1	88.8	93.1	87.2	111.2	103.1
Capital Account	37.7	61.1	58.5	78.3	71.7	78.4	73.3	79.4	73.2	85.5	79.3	91.2
Capital Transfers	37.7	61.1	58.5	78.3	71.7	78.4	73.3	79.4	73.2	85.5	79.3	91.2
Transfer of Fixed Assets	37.7	61.1	58.5	78.3	71.7	78.4	73.3	79.4	73.2	85.5	79.3	91.2
Financial Account	0.5	29.2	26.1	19.2	36.5	14.9	29.7	9.4	19.9	1.8	31.9	11.9
Direct Investment	5.6	9.7	9.4	10.7	10.0	11.3	10.7	12.0	11.3	12.7	12.0	13.5
Net Portfolio and Other Investment	10.2	18.4	15.6	7.3	25.4	2.4	18.0	-3.8	7.5	-10.9	19.9	-1.5
Public Sector	9.2	19.4	18.7	6.8	26.7	3.6	15.4	-2.0	9.2	-12.1	19.0	-0.8
Disbursement	37.4	32.3	30.5	21.3	41.0	18.3	30.3	23.1	24.1	16.6	32.1	26.6
Of which: Drawings (excl. IMF)	37.4	32.3	30.5	21.3	41.0	18.3	30.3	23.1	24.1	16.6	32.1	26.6
Of which: SDR Allocations	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Amortization	-10.4	-12.9	-11.8	-14.5	-14.4	-14.7	-14.9	-25.1	-14.9	-28.8	-13.1	-27.4
Private Sector (net)	1.0	-1.1	-3.1	0.5	-1.3	-1.3	2.6	-1.8	-1.7	1.2	1.0	-0.7
Banks, Net	1.3	-1.0	-1.0	-1.0	-0.8	-1.0	-1.0	-1.0	-1.0	-1.0	-1.0	-1.2
Other	-0.3	-0.1	-2.1	1.5	-0.4	-0.3	3.6	-0.8	-0.7	2.2	2.0	0.4
Currency and Deposit												0.0
Errors and Omissions	11.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall Balance ("+" indicates a surplus)	16.6	41.9	36.5	41.8	39.6	23.1	39.7	35.5	36.0	24.6	57.4	0.0 40.4
Financing	-16.6	-37.1	-36.5	-41.8	-39.6	-23.1	-39.7	-35.5	-36.0	-24.6	-57.4	-40.4
NFA of Central Bank (increase -)	-31.9	-63.1	-75.5	-82.5	-76.6	-38.0	-70.1	-35.5	-36.0	-24.6	-57.4	-40.4
Foreign Assets	-19.1	-38.7	-33.3	-40.2	-38.0	-21.8	-38.5	-34.6	-35.2	-21.3	-54.1	-37.5
Foreign Liabilities	2.6	1.6	-3.2	-1.6	-1.6	-1.3	-1.2	-0.9	-0.9	-2.9	-2.9	-2.9
Of which: Net IMF Credit (excl. 2023 ECF)	2.6	1.6	-3.4	-1.6	-1.7	-1.3	-1.8	-0.9	-1.9	-3.3	-1.9	-2.9
Program Financing	15.4	26.0	39.0	40.7	37.0	14.9	30.4	0.0	0.0	0.0	0.0	0.0
2023 ECF	9.5	9.6	9.6	9.8	9.6	4.9	4.8	0.0	0.0	0.0	0.0	0.0
Official Budget Support	17.3	26.0	29.4	26.0	20.0	10.0	10.0	0.0	0.0	0.0	0.0	0.0
Concessional Borrowings from Other Donors	-11.4	-9.6	0.0	4.9	7.3	0.0	15.6	0.0	0.0	0.0	0.0	0.0
Memorandum Items:												
Current Account (percentage of GDP)	-2.3	-3.0	-3.1	-3.1	-4.1	-3.7	-3.6	-2.7	-3.0	-3.0	-2.7	0.0
Excluding Transfers	-0.1	-0.1	-0.1	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Exports of Goods and Services (percentage of GDP)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Imports of Goods and Services (percentage of GDP)	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Gross International Reserves (end of period) [2]												
In Millions of U.S. Dollars	326.3	407.8	388.4	463.8	447.8	490.8	499.9	525.6	544.2	549.6	617.3	589.9
In Months of Imports of Goods & Services	7.0	8.4	8.4	9.3	9.5	10.0	10.5	10.0	11.0	10.1	12.0	10.5
Nominal GDP (CF millions)	655,466	702,666	704,086	749,081	747,187	796,387	797,500	844,250	849,533	893,101	900,971	948,644.6
Nominal GDP (millions of U.S. dollars)	1,442	1,616	1,571	1,783	1,670	1,891	1,775	2,001	1,884	2,114	1,998	2,243.9

Sources: Comorian authorities; and IMF staff estimates and projections.

[1] From 2015, net private official transfers include estimates made by the Central Bank of Comoros of debit items other than wire transfers.

[2] From 2021, includes new SDR allocation of $24 million.

Table 4c. Union of the Comoros: Balance of Payments, 2024-2030

(In Percent of GDP, unless otherwise indicated)

	2024	2025		2026		2027		2028		2029		2030
	Act.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.	4th Rev.	Proj.
Current Account	-2.3	-3.0	-3.1	-3.1	-4.1	-3.7	-3.6	-2.7	-3.0	-3.0	-2.7	-2.8
Goods and Services	-25.8	-24.4	-24.5	-22.4	-22.4	-20.4	-20.4	-18.5	-19.1	-18.8	-18.6	-17.9
Trade Balance	-19.0	-18.6	-19.6	-18.1	-18.3	-17.0	-19.8	-15.7	-18.3	-16.1	-18.6	-15.5
Exports	2.2	2.2	2.3	2.2	2.5	2.3	2.5	2.3	2.6	2.6	2.8	2.6
Of which: Vanilla	0.1	0.2	0.2	0.3	0.3	0.2	0.3	0.2	0.3	0.3	0.3	0.3
Cloves	1.3	1.2	1.2	1.2	1.3	1.2	1.3	1.2	1.3	1.4	1.5	1.4
Ylang-ylang	0.2	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Other	0.5	0.7	0.7	0.6	0.8	0.8	0.8	0.7	0.8	0.9	0.9	0.9
Imports (f.o.b.)	-21.2	-20.8	-21.9	-20.3	-20.8	-19.3	-22.3	-18.0	-20.9	-18.7	-21.4	-18.2
of which oil	-7.0	-5.7	-6.4	-5.1	-6.0	-5.0	-5.7	-4.9	-5.4	-4.8	-5.3	-4.8
Services (net)	-6.8	-5.7	-4.9	-4.3	-4.0	-3.4	-0.6	-2.8	-0.8	-2.6	0.0	-2.4
Receipts	8.0	8.2	8.4	8.2	8.3	8.9	8.9	8.8	8.8	8.5	8.5	8.5
Payments	-14.9	-14.0	-13.3	-12.5	-12.3	-12.3	-9.5	-11.6	-9.6	-11.1	-8.4	-10.8
Income (net)	0.6	0.4	0.5	0.5	0.5	0.5	0.6	0.4	0.6	0.5	0.6	0.5
Current Transfers (net)	22.9	21.0	21.0	18.8	17.7	16.2	16.2	15.4	15.4	15.3	15.3	14.6
Government	4.1	2.9	3.2	2.1	1.8	1.2	1.2	1.2	1.2	1.9	1.9	1.9
Private [1]	18.9	18.1	17.7	16.7	15.9	15.0	15.0	14.2	14.2	13.4	13.4	12.7
Capital and Financial Account	2.6	5.6	5.4	5.5	6.5	4.9	5.8	4.4	4.9	4.1	5.6	4.6
Capital Account	2.6	3.8	3.7	4.4	4.3	4.1	4.1	4.0	3.9	4.0	4.0	4.1
Capital Transfers	2.6	3.8	3.7	4.4	4.3	4.1	4.1	4.0	3.9	4.0	4.0	4.1
Transfer of Fixed Assets	2.6	3.8	3.7	4.4	4.3	4.1	4.1	4.0	3.9	4.0	4.0	4.1
Financial Account	0.0	1.8	1.7	1.1	2.2	0.8	1.7	0.5	1.1	0.1	1.6	0.5
Direct Investment	0.4	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6
Net Portfolio and Other Investment	0.7	1.1	1.0	0.4	1.5	0.1	1.0	-0.2	0.4	-0.5	1.0	-0.1
Public Sector	0.6	1.2	1.2	0.4	1.6	0.2	0.9	-0.1	0.5	-0.6	1.0	0.0
Disbursements	2.6	2.0	1.9	1.2	2.5	1.0	1.7	1.2	1.3	0.8	1.6	1.2
Of which: Drawings (excl. IMF)	2.6	2.0	1.9	1.2	2.5	1.0	1.7	1.2	1.3	0.8	1.6	1.2
Of which: SDR allocations												
Amortization	-0.7	-0.8	-0.8	-0.8	-0.9	-0.8	-0.8	-1.3	-0.8	-1.4	-0.7	-1.2
Private Sector (net)	0.1	-0.1	-0.2	0.0	-0.1	-0.1	0.1	-0.1	-0.1	0.1	0.0	0.0
Banks, net	0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	0.0	-0.1	0.0	-0.1	-0.1
Other	0.0	0.0	-0.1	0.1	0.0	0.0	0.2	0.0	0.0	0.1	0.1	0.0
Currency and Deposit												
Errors and Omissions	0.8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall Balance	1.1	2.6	2.3	2.3	2.4	1.2	2.2	1.8	1.9	1.2	2.9	1.8
Financing	-1.1	-2.3	-2.3	-2.3	-2.4	-1.2	-2.2	-1.8	-1.9	-1.2	-2.9	-1.8
NFA of Central Bank (increase -)	-2.2	-3.9	-4.8	-4.6	-4.6	-2.0	-3.9	-1.8	-1.9	-1.2	-2.9	-1.8
Of which: Net IMF Credit (excl. 2023 ECF)	0.2	0.1	-0.2	-0.1	-0.1	-0.1	-0.1	0.0	-0.1	-0.2	-0.1	-0.1
Program Financing	1.1	1.6	2.5	2.3	2.2	0.8	1.7	0.0	0.0	0.0	0.0	0.0
2023 ECF	0.7	0.6	0.6	0.5	0.6	0.3	0.3	0.0	0.0	0.0	0.0	0.0
Official Budget Support	1.2	1.6	1.9	1.5	1.2	0.5	0.6	0.0	0.0	0.0	0.0	0.0
Concessional Borrowings from Other Donors	-0.8	-0.6	0.0	0.3	0.4	0.0	0.9	0.0	0.0	0.0	0.0	0.0
Memorandum Items:												
Current Account (percentage of GDP)	-2.3	-3.0	-3.1	-3.1	-4.1	-3.7	-3.6	-2.7	-3.0	-3.0	-2.6	-2.8
Excluding Transfers	-25.2	-24.0	-24.0	-21.9	-21.8	-19.9	-19.8	-18.1	-18.4	-18.3	-18.0	-17.4
Exports of Goods and Services (percentage of GDP)	10.2	10.4	10.7	10.4	10.8	11.2	11.4	11.1	11.4	11.1	11.2	11.1
Imports of Goods and Services (percentage of GDP)	36.0	34.8	35.2	32.8	33.1	31.6	31.8	29.5	30.5	29.8	29.8	29.0
Gross International Reserves (end of period) [2]												
In Millions of U.S. dollars	326.3	407.8	388.4	463.8	447.8	490.8	499.9	525.6	544.2	549.6	617.3	589.9
In Months of Imports of Goods & Services	7.0	8.4	8.4	9.3	9.5	10.0	10.5	10.0	11.0	10.1	12.0	10.5
Nominal GDP (CF millions)	655,466	702,666	704,086	749,081	747,187	796,387	797,500	844,250	849,533	893,101	900,971	948,644.6
Nominal GDP (millions of U.S. dollars)	1,442	1,616	1,571	1,783	1,670	1,891	1,775	2,001	1,884	2,114	1,998	2,243.9

Sources: Comorian authorities; and IMF staff estimates and projections.

[1] From 2015, net private official transfers include estimates made by the Central Bank of Comoros of debit items other than wire transfers.

[2] End of period. From 2021, includes new SDR allocation of $24 million.

Table 5. Union of the Comoros: Quantitative Performance Criteria and Indicative Targets, March 2025 - December 2026

(Millions of Comorian Francs, Cumulative Since End of Previous Year Unless Otherwise Specified)

	2025							
	End-March				End-June			
	Indicative targets				Performance Criteria			
	Prog.	Adjusted	Actual	Status	Prog.	Adjusted	Actual	Status
Quantitative Performance Criteria[1]								
1. Floor on Tax Revenues	12,497.0		13,068.1	Met	28,118.3		28,640.6	Met
2. Floor on the Primary Domestic Fiscal Balance[2]	-6,292.8		-5,535.3	Met	-8,390.3		-9,749.9	Unmet
3. Floor on the Level of Net International Reserves	112,130.3		124,415.3	Met	112,007.4		127,472.2	Met
4. Ceiling on New Nonconcessional External Debt Contracted or Guaranteed by the Government (millions USD)[3]	0.0		0.0	Met	0.0		0.0	Met
5. Ceiling on Accumulation of New External Arrears (millions USD)[3]	0.0		2.1	Unmet	0.0		1.2	Unmet
Indicative Targets[1]								
6. Ceiling on the Accumulation of New Domestic Payments Arrears, Net	0.0		-853.1	Met	0.0		-1,263.1	Met
7. Floor on Social Cash Transfers[4]	...				...			
8. Floor on Cash-for-work, Livelihood Grants, and Technical Training	353.1	234.5	234.5	Met	585.6	413.7	413.7	Met
9. Ceiling on the Net Domestic Financing of Government[5]								
Memorandum Items								
Ceiling on Contracting and Guaranteeing of New External Concessional Borrowing by the Government (millions USD)[6]	14				14			

	2025								2026				
	End-September				End-December				End-March	End-June	End-September	End-December	
	Indicative targets				Performance Criteria				Indicative targets	Performance Criteria	Indicative targets	Performance Criteria	
	Prog.	Proposed	Actual	Status	Prog.	Proposed	Actual	Status	Prog.	Proposed	Proposed	Prog.	Prog.
Quantitative Performance Criteria[1]													
1. Floor on Tax Revenues	47,552.5		45,567.5	Unmet	65,589.6				17,814.2	16,232.5	34,062.0	51,438.5	71,776.4
2. Floor on the Primary Domestic Fiscal Balance[2]	-6,025.2		-11,601.5	Unmet	-8,033.6				-2,123.0		-3,449.9	-3,980.6	-6,288.6
3. Floor on the Level of Net International Reserves	112,030.4		132,888.0	Met	112,250.0				114,748.2		117,246.5	119,881.1	117,519.1
4. Ceiling on New Nonconcessional External Debt Contracted or Guaranteed by the Government (millions USD)[3]	0.0		0.0	Met	0.0		0.0	Met	0.0		0.0	0.0	0.0
5. Ceiling on Accumulation of New External Arrears (millions USD)[3]	0.0		1.5	Unmet	0.0		0.0	Met	0.0		0.0	0.0	0.0
Indicative Targets[1]													
6. Ceiling on the Accumulation of New Domestic Payments Arrears, Net	0.0		-1,941.5	Met	0.0				0.0		0.0	0.0	0.0
7. Floor on Social Cash Transfers[4]	...				...				...		...	...	...
8. Floor on Cash-for-work, Livelihood Grants, and Technical Training	803.3	413.7	413.7	Met	966.2	622.4	622.4	Met	353.1		585.6	803.3	966.2
9. Ceiling on the Net Domestic Financing of Government[5]	...				...				...		804.6	...	2,438.1
Memorandum Items													
Ceiling on Contracting and Guaranteeing of New External Concessional Borrowing by the Government (millions USD)[6]	27				78				14		14	27	78

Source: IMF Staff.

[1] Definitions of targets and adjustors are provided in the Technical Memorandum of Understanding (TMU).

[2] Starting in 2025, this target accounts for the new definition of the primary domestic fiscal balance as per the TMU.

[3] Continuous performance criteria, cumulative since beginning of calendar year. For external arrears, reported outturn for each quarter corresponds to amount of external arrears accumulated during the calendar year that remain outstanding at the end of the quarter. Starting in 2024, external arrears exclude loans to BADEA and Exim India which are under discussion (see TMU for details).

[4] The cash transfers program ended as of December 31, 2024.

[5] New Indicative Target for end-June and end-December, effective as of end-June 2026.

[6] Cumulative since the start of the program.

Table 6. Union of the Comoros: Proposed Prior Actions and New Structural Benchmarks, 2025–2026	
Proposed Measures	**Proposed Timing**
A. Prior Actions	
The General Directorate of Customs (DGD) to provide documented evidence of: (i) corrections and parameter settings in SYDONIA to ensure application, in line with existing regulations, of (a) the tax base of the consumption tax on fully taxed imported products and (b) the tax base for excise duties on imports; and (ii) the effective application of the ministerial decree limiting the immediate release procedure (IM9) to medicines, perishable or (non-prohibited) hazardous goods	Prior Action
The authorities to provide the IMF with documentations related to payments for airport layoffs, including but not limited to (i) official documents approving the decision to undertake the social protection package; (ii) official documents validating the amounts of the payout; (iii) anonymized list of laid off workers showing their functions, years of service, and payout received; (iv) loan contracts for financing the payout	Prior Action
The Ministry of Finance to adopt a supplementary 2025 budget to regularize the unplanned social spending for fiscal transparency	Prior Action
Submit measures to Parliament to underpin fiscal consolidation in 2026	Prior Action
B. Fiscal Structural Reforms	
Activate tax e-filing and payments for medium and large taxpayers	December 31, 2026
The Ministry of Finance to publish the tax expenditure report completed in 2025 with IMF support	February 27, 2026
Integrate in SYDONIA the settlement of the domestic tax on petroleum products (TIPP) based on monthly statements of withdrawals from fuel depots.	September 30, 2026
Append to the 2027 Budget: (i) the report on the status and evolution of domestic payment arrears owed by the State, and (ii) the report on the financial situation of public enterprises for the year 2025	December 31, 2026
C. Institutional, Governance and Anti-Corruption Reforms	
The Anti-Corruption Chamber will operationalize the asset declaration framework by enabling public access, upon request, to extracts of high-level officials' asset declarations for 2025, in accordance with the anti-corruption law	June 30, 2026

Table 7. Union of the Comoros: Status of Structural Benchmarks, 2023–2025		
Structural Benchmark	**Date**	**Status**
A. Fiscal Structural Reforms		
Tax administration measures		
Establish the Large and Medium Taxpayer Office (Direction des Grandes et Moyennes Entreprises)	July 31, 2023	Met
Remove the fee for getting a NIF (Numero d'Identification Fiscale) and the requirement to renew it every 3 years and ensure that all taxpayers have a NIF adapted to the SIGIT platform	September 30, 2023	Met
Raise the number of active taxpayers by 10 percent at the Large and Medium Taxpayer office (from 543 at the large taxpayer office and the medium and small taxpayer office, as of March 31, 2023) and send all these taxpayers requests to file tax declarations	December 31, 2023	Met
Interconnect the SIGIT and SYDONIA platforms to enable automated exchange of data between DGI and customs	December 31, 2023	Met
The DGI to produce an audit report showing tax adjustments in the second half of 2024, resulting from the identification and taxation of new taxpayers based on data exchanges with customs through the SIGIT-SYDONIA interconnection	June 30, 2025	Met
Deactivate all Tax Identification Numbers (TINs) in SYDONIA that were not recognized by the DGI	July 31, 2025	Met
Raise the number of active taxpayers by 20 percent at the Large and Medium Taxpayer Office (DGME) (from 676 as of September 30, 2024, to at least 811 by the end of 2025) and send all these taxpayers requests to file tax declarations	December 31, 2025	Met
The DGI to interconnect the SIGIT software with the databases of all DGI offices in all three islands	April 30, 2026	
Customs Reforms		
Complete the *de jure transfer* of the management of fuel products taxes to the customs administration after already having completed the transfer *de facto*	June 30, 2024	Met
Issue ministerial decrees to implement the customs code	June 30, 2024	Met
General Directorate of Customs to complete an arrears report, identifying taxpayers with outstanding customs duties under the suspensive regimes as of June 30, 2024, and specifying the due dates on those customs duties	September 30, 2024	Met
The General Directorate of Customs (DGD) to carry out corrections and parameter settings in SYDONIA to ensure application, in line with existing regulations, of: (i) the tax base of the consumption tax on fully taxed imported products; and (ii) the ad valorem base for excise duties on imports	June 30, 2025	Not met; reworded version has become proposed Prior Action, see Table 6
Issue a circular note describing the modalities for settling customs duties and similar taxes (DDA), the consumption tax (TC), and excise duties (DA) on imports	June 30, 2025	Met
The General Directorate of Customs (DGD) to recover from the Comorian Hydrocarbon Company (SCH) at least KMF 1,000 million in arrears of domestic taxes on petroleum products (TIPP), out of a total of KMF 2,587 million in arrears covering the period from 2019 to June 30, 2024	September 30, 2025	Met
General Directorate of Customs to recover at least 50 percent of the uncollected customs duties under the suspensive regimes that were overdue as of June 30, 2024	September 30, 2025	Met
Tax Policy Measures		
Establish a Tax Policy Unit that reports to the Minister of Finance, with TA from FAD	September 30, 2024	Met
Ministry of Finance to conduct tax expenditure analysis starting with customs duties and indirect taxes	October 31, 2025	Met

Table 7. Union of the Comoros: Status of Structural Benchmarks, 2023–2025 (continued)		
Structural Benchmark	**Date**	**Status**
PFM Measures		
Complete the audit of domestic arrears, including cross-arrears between SOEs and the government	December 31, 2023	Met
Appoint Director of the General Directorate of Public Accounting and the Treasury	March 31, 2024	Not met, completed as a Prior Action for 3rd ECF Review
Finalize and promulgate the presidential decree on the Budgetary and Accounting Management Regulations	April 30, 2024	Not met, completed in May 2024
Publish the annual 2024 budget approved by Parliament	April 30, 2024	Met
Ministry of Finance to request BCC to provide daily consolidated statements on all government accounts at the BCC to the General Directorate of Public Accounting and the Treasury (DGCPT), the Union's General Treasury Paymaster, and the IMF	June 30, 2024	Met
Develop a medium-term action plan to clear domestic arrears	September 30, 2024	Met
The Ministry of Finance to formally request from its creditors, and communicate to the IMF, an updated schedule of medium-term debt service (2025-2027) for all disbursed debt as of the end of 2024	December 31, 2024	Met
In accordance with certain provisions of Decree No. 009-081/PR of July 20, 2009, which establishes a Government Cash Flow Plan, adopt a ministerial decree to (i) define the nature and classification of mandatory expenditures, and (ii) create a Treasury Committee responsible for the development and monitoring of the Government Cash Flow Plan, defining its composition and setting out its missions and operating procedures	December 31, 2024	Met
The BCC to provide the DGCPT and the Union's General Treasury Paymaster (TPGU), with a copy to the IMF, the daily balance of each government account held at the BCC, except for accounts related to projects funded by international partners, and those for national security and the presidency	Every workday starting from January 1, 2025	Met
The Debt Directorate at the Ministry of Finance to provide the IMF and the BCC with the external debt situation compiled by the debt management software CSDRMS	15th of the following month, starting from January 15, 2025	Met
The BCC to close the 19 government accounts at the BCC that had zero balances or were inactive as of May 12, 2025, and integrate those balances into the Treasury Single Account	June 30, 2025	Met
Attach to the 2025 Budget Law the detailed cash flow plans specifying the exact payment dates for mandatory expenditures (including salaries and debt service) and the due dates for major taxes and duties (TIPP, TC, IS, ITS) (see example in the TMU)	June 30, 2025	Met
The Ministry of Finance to publish the Government Financial Operations Tables (TOFE) for the four quarters of 2024	August 30, 2025	Met
The General Directorate of Budget to share with the IMF team the macro-budgetary framework, including details on expenditures and revenues, which will serve as the basis for the 2026 Budget Law	September 30, 2025	Met
Finalize the implementing regulations of the Decree on Budgetary and Public Accounting Management Regulations (RGBCP), including: (i) the Government Chart of Accounts (PCE); (ii) specification of supporting documents for expenditures and revenues; (iii) guidelines on Government Accounting; (iv) the roles and responsibilities of public accountants; and (v) list of expenditures that can be paid without prior authorization or prior scheduling	December 31, 2025	Met

Table 7. Union of the Comoros: Status of Structural Benchmarks, 2023–2025 (concluded)		
Structural Benchmark	**Date**	**Status**
B. Financial Sector Reforms		
SNPSF Restructuring		
BCC to set up a resolution unit which is structurally separated from the Supervision Department, and reports separately to the BCC Board	June 30, 2023	Met
Appoint managing director at BPC with management expertise and experience in banking and credit risk management to operationalize the BPC according to the business plan developed under the SMP	August 31, 2023	Met
Submit to BCC an application for a banking license for the Banque Postale des Comores, which would specify a business plan, a management team, and a capital injection plan that are in line with MEFP ¶15 of the ECF Request	August 31, 2023	Met
Submit to Parliament the statutory resolution framework that includes the three points recommended in the MCM TA report, "Operationalization of the Bank Resolution Act of September 2022," to align with international standards	May 31, 2024	Met
BCC to complete onsite inspections to assess the quality of credit portfolios	December 31, 2024	Met
The BCC to issue a banking license for the BPC, with a credit ceiling of KMF 5 million which will only be in place during the establishment of the information system and until the BCC board can review the relevance of this "specific modality" of the banking license when the DSB has validated the operationalization and reliability of this information system	March 31, 2025	Met
The postal bank BPC to be capitalized in cash with the redemption of the Treasury bond payment due in 2025	July 15, 2025	Met
Measures to Enhance BCC's Supervision and Resolution Capacity		
NPL Commission to submit a report to the President on NPL developments and work of the Commission to resolve NPLs during 2024	May 31, 2025	Met
Approval by the BCC of a formal timebound recapitalization plan to be adopted by each Comorian deposit-taking institution in breach of capital adequacy requirements	September 30, 2025	Not met, to be reset to end-June 2026
C. Institutional, Governance and Anti-Corruption Reform		
Adopt into law the draft anti-corruption law that was aligned with the SMP objectives to enhance preventive measures against corruption, strengthen the rules related to conflicts of interest, and improve the asset declaration system for senior public officials, while providing for the creation of an operationally independent and autonomous Anti-Corruption Chamber with the mandate to set up and coordinate implementation of the country's anti-corruption policy priorities	June 30, 2023	Met
Publish the full audit report of spending financed by the IMF emergency support in 2020	June 30, 2023	Met
Operationalize an independent and autonomous anti-corruption agency in line with the draft anti-corruption law	December 31, 2023	Not Met, completed in May 2024
Publish online information on public procurement contracts, including beneficial ownership information, in line with the roadmap published in 2021	Continuous, starting on May 1, 2024	Met
Promulgation by the President of the Union of Comoros of the amended statutes of the BCC in line with IMF staff advice	April 30, 2025	Met

Table 8. Union of the Comoros: Indicators of Capacity to Repay the Fund, 2026-2040

	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040
Fund Obligations Based on Existing Credit															
(SDR millions)															
Principal	1.2	1.2	1.5	3.0	3.5	3.6	3.6	3.2	1.8	0.4	0.0	0.0	0.0	0.0	0.0
Charges and Interest	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Fund Obligations Based on Existing and Prospective Credit															
(SDR millions)															
Principal	1.2	1.2	1.5	3.0	3.5	4.3	6.1	6.1	4.6	3.2	2.1	0.4	0.0	0.0	0.0
Charges and Interest	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Obligations Based on Existing and Prospective Credit															
SDR millions	1.2	1.2	1.6	3.0	3.5	4.3	6.1	6.1	4.7	3.2	2.2	0.4	0.0	0.0	0.0
In millions of CF	701.0	704.1	914.6	1,748.9	2,065.8	2,517.7	3,560.8	3,560.8	2,726.3	1,891.8	1,265.9	222.7	14.1	14.1	14.1
In Percent of Government Revenue	0.9	0.8	0.9	1.7	1.8	2.1	2.8	2.6	1.8	1.2	0.7	0.1	0.0	0.0	0.0
In Percent of Exports of Goods and Services	0.9	0.8	1.0	1.8	2.0	2.2	3.0	2.8	2.0	1.2	0.7	0.1	0.0	0.0	0.0
In Percent of Debt Service	8.1	7.5	6.4	10.7	13.1	14.8	30.0	30.7	21.7	14.6	9.7	1.8	0.1	0.1	0.1
In Percent of GDP	0.1	0.1	0.1	0.2	0.2	0.3	0.3	0.3	0.2	0.1	0.1	0.0	0.0	0.0	0.0
In Percent of Gross International Reserves	0.3	0.3	0.4	0.7	0.8	0.8	1.0	0.9	0.6	0.4	0.2	0.0	0.0	0.0	0.0
In Percent of Quota	6.8	6.8	8.8	16.8	19.8	24.1	34.1	34.1	26.1	18.1	12.1	2.1	0.1	0.1	0.1
Outstanding Fund Credit and Prospective Credit															
In Millions of SDRs	32.3	34.72	33.2	30.2	26.7	22.4	16.4	10.3	5.7	2.5	0.4	0.0	0.0	0.0	0.0
In Millions of CF	18,734.3	20,192.5	19,359.1	17,669.6	15,668.5	13,161.5	9,610.0	6,058.5	3,342.6	1,462.4	208.9	0.0	0.0	0.0	0.0
In Percent of Government Revenue	22.7	22.3	20.1	16.9	14.0	11.2	7.5	4.4	2.2	0.9	0.1	0.0	0.0	0.0	0.0
In Percent of Exports of Goods and Services	24.0	22.7	20.7	17.9	14.9	11.7	8.0	4.8	2.5	0.9	0.1	0.0	0.0	0.0	0.0
In Percent of Debt Service	216.8	216.3	135.7	107.6	99.6	77.5	80.9	52.2	26.7	11.3	1.6	0.0	0.0	0.0	0.0
In Percent of GDP	2.5	2.5	2.3	2.0	1.7	1.3	0.9	0.5	0.3	0.1	0.0	0.0	0.0	0.0	0.0
In Percent of Gross International Reserves	9.3	9.2	8.1	7.0	5.7	4.3	2.8	1.5	0.8	0.3	0.0	0.0	0.0	0.0	0.0
In Percent of Quota	181.7	195.0	186.3	169.7	150.0	126.0	92.0	58.0	32.0	14.0	2.0	0.0	0.0	0.0	0.0
Memorandum Items															
Nominal GDP (millions of CF)	749,080.7	796,386.6	844,249.5	893,100.6	948,644.6	1,004,729.6	1,063,873.3	1,126,557.0	1,192,995.2	1,263,415.6	1,338,059.7	1,417,183.8	1,501,060.1	1,589,977.3	1,684,241.8
Exports of Goods and Services (millions of CF)	77,901.6	89,038.8	93,562.5	98,737.5	105,467.6	112,259.9	119,460.5	127,130.8	135,301.6	160,079.4	169,447.7	179,376.6	189,900.0	201,054.0	212,877.0
Government Revenue (millions of CF)	82,406.4	90,373.2	96,541.1	104,348.9	111,752.3	117,165.8	128,341.8	138,280.6	148,788.9	162,593.7	175,291.9	187,727.1	200,501.2	214,514.3	229,422.2
Debt Service (millions of CF) [1]	8,640.8	9,334.4	14,268.4	16,417.0	15,738.2	16,984.2	11,883.1	11,597.4	12,538.8	12,932.6	13,009.3	12,523.4	13,041.2	13,041.7	13,096.0
CF/SDR (period average)	577.9	580.5	582.9	584.3	586.0	586.0	586.0	586.0	586.0	586.0	586.0	586.0	586.0	586.0	586.0
CF/SDR (end period)	579.2	581.7	583.6	585.1	586.8	586.8	586.8	586.8	586.8	586.8	586.8	586.8	586.8	586.8	586.8

Sources: IMF staff estimates and projections.

[1] Total external debt service includes IMF repurchases and repayments.

Table 9. Union of the Comoros: External Financing Needs and Sources, 2026-2028
(In Millions USD)

	2026	2027	2028
Financing Needs	**72.0**	**86.3**	**79.3**
Current Account Deficit	55.9	70.3	53.3
Public Debt Amortization	16.1	16.0	26.0
Financing Sources	**72.0**	**86.3**	**79.3**
Capital Account	78.3	78.4	79.4
Financial Account (excl. amortization)	51.3	45.3	42.4
Of which: Public Debt (excl. amortization)	38.9	34.0	31.0
Change in reserves (+ = decrease)	-57.6	-37.4	-42.5
Fiscal financing gap/Financing Sources	**40.8**	**15.4**	**10.6**
Budget support from partners (e.g., WB, AfDB, AFD, China, Saudi Arabia)	26.0	10.0	10.0
IMF Financing[1]	9.8	4.9	
in percent of BoP/fiscal gap	24.0	31.9	
Concessional borrowings from other donors[2]	5.0	0.5	0.7
Remaining Financing Gap	**0.0**	**0.0**	**0.0**

Sources: Comorian authorities, and IMF staff projections.
[1] Proposed ECF access of 180 percent of quota over 4 years.
[2] This line reflects potential concessional borrowings; additional budget support would reduce needed borrowings.

Table 10. Union of the Comoros: Schedule of Disbursements, 2023-2027

Availability Date[1]	Disbursement Conditions	SDR Amount	Percent of Quota
05/31/23	Board approval of arrangement.	3,560,000	20.00
09/30/23	Observance of the continuous and end-June 2023 PCs and completion of the first review.	3,560,000	20.00
03/30/24	Observance of the continuous and end-December 2023 PCs and completion of the second review.	3,560,000	20.00
09/30/24	Observance of the continuous and end-June 2024 PCs and completion of the third review.	3,560,000	20.00
03/30/25	Observance of the continuous and end-December 2024 PCs and completion of the fourth review.	3,560,000	20.00
09/30/25	Observance of the continuous and end-June 2025 PCs and completion of the fifth review.	3,560,000	20.00
03/30/26	Observance of the continuous and end-December 2025 PCs and completion of the sixth review.	3,560,000	20.00
09/30/26	Observance of the continuous and end-June 2026 PCs and completion of the seventh review.	3,560,000	20.00
03/30/27	Observance of the continuous and end-December 2026 PCs and completion of the eigth review.	3,560,000	20.00
	Total	32,040,000	180.0

Source: International Monetary Fund.

[1] Based on Board approval upon completion of each review.

Annex I. Implementation of Key Recommendations from the 2023 Article IV Consultation

Recommendations	Implementation
Fiscal Policy and Structural Reforms	
Over the medium-term, maintain a steady increase in tax revenue of around 0.3 percent of GDP per year, supported by structural reforms in tax policy and revenue administration, and reducing investment spending to pre-pandemic levels once committed spending is phased out. By end-2024, achieve a consolidation of 0.5 pp relative to the start of the program. Improve the domestic primary balance to -0.6 percent of GDP by 2027.[1]	After a strong tax revenue performance in 2023, increasing by 0.5 pp of GDP y/y and thereby achieving by a wide margin the goal of at least a 0.3 pp increase in tax revenues, in 2024 fell far short, declining by 0.1 pp (see below on structural revenue reforms). Public investment in 2023 and 2024 (5.1 and 5.7 pp, respectively) dropped to levels far below pre-pandemic levels (8.4 pp in 2019). Domestically financed public investment in 2023 (2.2 pp) was close to pre-pandemic levels (2.1 pp) and in 2024 (1.8 pp), well below. The end-2024 consolidation relative to the start of the ECF (June 2023) fell far short of the Article IV recommendation (-1.2 pp, instead of 0.5 pp). Expectations under current projections are that the objective of achieving a domestic primary balance of -0.6 pp by 2027 would be exceeded (-0.4 pp), primarily due to greater primary recurrent spending control than envisaged at the time of the previous Article IV.
Strengthen domestic revenue mobilization by broadening the tax base and accelerating digitalization in tax and customs while improving policy design.	Authorities established a Large and Medium Taxpayer Office to reach new taxpayers, and created a Tax Policy Unit, which is involved in the ongoing preparation of Comoros' first tax-expenditure report, to eventually be published. The SIGIT–SYDONIA interconnection is in use, with follow-on actions to generate audit trails and to deactivate unrecognized TINs. However, compliance and administrative capacity constraints still weigh on tax revenue performance.
Consolidate customs reforms, including fully transferring fuel-tax administration to Customs and aligning processes and parameters in SYDONIA.	The de jure transfer of fuel-tax administration to Customs was completed in 2024; work is in progress on correcting parameter settings in SYDONIA to ensure proper application of legal tax bases and on recovering legacy arrears on petroleum taxes from the SOE importer.

[1] The domestic primary balance of -0.6 pp is based on the amended perimeter used as of the 3rd review. This corresponds to 0.1 pp at the time of the previous Article IV consultation.

Recommendations	Implementation
Make the TSA fully operational, strengthen cash flow and debt-service planning, and improve fiscal transparency.	There are areas of progress on PFM: Daily BCC account balances are now transmitted to the Treasury and inactive accounts closed, a Treasury Committee has been created, and a decree on budgetary and accounting regulations were adopted. The authorities have published the 2024 TOFE. Delays persist in producing a detailed cash-flow plan, and TSA coverage remains partial.
Complete the audit of domestic and cross-arrears and adopt a credible arrears clearance strategy while avoiding new arrears.	The audit was completed and a clearance strategy was approved in September 2024; implementation has started, including settlement of priority claims (e.g., the pension fund) and steps to halt cross-arrears practices with SOEs, even as financing and process weaknesses continue to pose risks of new arrears.
Prevent the accumulation of external arrears by streamlining and automating the external debt-service payment chain, while concluding clearance arrangements for legacy external arrears.	Corrective actions in late-2023/2024 reduced the size of new external arrears, but did not eliminate their accumulation, and vulnerabilities persist. External arrears as of December 2025 included those to BADEA and Exim India. A first payment of EUR0.64 million has been made as part of the technical level agreement with the French authorities on an arrears clearance plan to clear the arrears to Bpifrance through 2027. New arrears were accumulated in September 2025 to TDB and IDA but were cleared in October 2025. Efforts to tackle the persistent problem of external arrears include support by AfDB on debt-management capacity, among others by helping the authorities migrate to an improved debt management software to enable a more reliable payment process going forward.
Strengthen public investment management to improve project appraisal, selection, and execution.	Implementation remains weak. Public investment plans continue to be over-ambitious, with repeated sizeable gaps between projections and execution. Investment data tracking weaknesses have further obscured spending performance, resulting in errors in the reporting of spending outturns, necessitating ex-post corrections to the TOFE.
Improve SOE oversight and reduce fiscal risks by enhancing reporting, governance, and cost-recovery.	A new SOE governance law was enacted in 2024 and a dedicated directorate for state holdings and performance monitoring was established in 2025. Roll-out of implementing regulations and compliance protocols has begun, and targeted audits are progressing. Chronic financial stress at several SOEs persists.

Recommendations	Implementation
Financial Sector Reforms	
Execute the restructuring of SNPSF and operationalize it on a sound footing.	The BPC received its banking license in January 2025 and the core banking MIS went live in February. SNPSF's license was withdrawn in May and a separate liquidation entity was created by decree, with recoveries of bad loans earmarked to repay the government bonds used for BPC's capitalization. The first bond redemptions were honored in July 2025, and lifting of the initial KMF 5 million credit cap will follow once supervisory conditions are met. The opening balance sheet of the BPC was approved by its Board. The BPC plans to update its recapitalization and business plans before AFD support can be unlocked.
Strengthen supervision and bank-resolution capacity, including amendments to the resolution law and completion of on-site inspections.	Amendments to the resolution and recovery law were promulgated in June 2024, with resolution directorate operational that is now separate from the supervision directorate. Onsite inspections of banks were completed in October 2024 with follow-up enforcement actions. Data- and report-sharing between the supervision and resolution units of BCC shows gaps, and continued training is needed on risk-based supervision.
Stabilize under-capitalized institutions through time-bound recapitalization plans, including undertaking resolution where needed, and carry out measures to reduce NPLs.	The authorities submitted to the President an NPL report with recommendations in May 2025. Detailed NPL external audits were completed for each bank by August 2025, and its recommendations are being considered by the authorities. Vetting recapitalization plans for the institutions in breach of capital adequacy requirements has seen mixed progress, especially in the case of affected weak banks lacking adequate technical capacity. BCC has begun to draft resolution plans for systemic banks and is considering design options for a resolution-funding mechanism.
Develop financial infrastructure (securities market, interbank market, and emergency liquidity assistance) in step with PFM and debt-management prerequisites.	Initial steps have been taken to lay the foundations for domestic market infrastructure—including legal and operational work on Treasury bills—though interbank market activity is still nascent and the emergency liquidity assistance framework is yet to be fully operationalized. Further reforms in PFM and debt management will be critical to support credible implementation.

Recommendations	Implementation
Institutional and Governance Reforms	
Operationalize the new anti-corruption architecture, including an autonomous ACC and an asset-declaration system for high-level officials.	The Anti-Corruption Chamber has been established and, with external support, agreed a roadmap to roll out the asset-declaration system. Capacity constraints remain material, so implementation is phasing in as staffing, processes, and digital solutions are put in place.
Ensure procurement transparency, including publication of beneficial ownership information.	Publication of procurement information has been maintained since May 2024, and staff and authorities are working to ensure that beneficial ownership, rather than just legal ownership, is consistently disclosed online.
Strengthen the AML/CFT framework and risk-based supervision.	A new AML/CFT law aligned with international standards has been advanced and supervisory procedures are being prepared and rolled out. The authorities are updating their national strategy and coordinating follow-up to regional assessments.

Annex II. External Sector Assessment

Overall Assessment: *Staff assesses that Comoros' external position in 2024 was stronger than warranted by fundamentals and desirable policies. The current account gap points to an undervaluation of the real exchange rate of about 18 percent, which, given the fixed exchange rate regime, should be interpreted as reflecting underlying structural competitiveness challenges rather than a need for nominal adjustment. The external position nonetheless remains vulnerable to natural disasters and other exogenous shocks.*

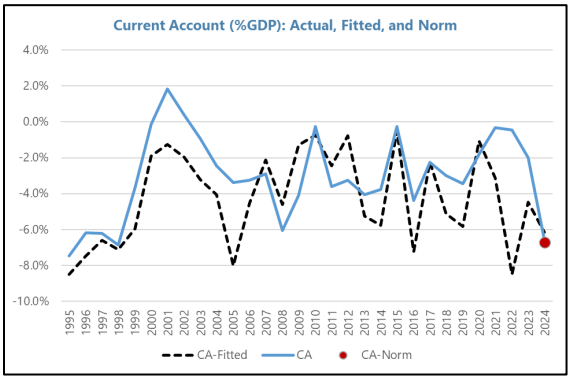
Potential Policy Responses: *Given that the estimated current account gap is driven largely by structural and residual factors rather than policy distortions, policy responses should focus on safeguarding the exchange rate peg and supporting a gradual and growth-friendly narrowing of the current account gap, rather than further import compression. This calls for maintaining fiscal consolidation under the ECF program, anchored in enhanced domestic revenue mobilization, arrears prevention and improved spending quality, while protecting priority social and climate-resilient investment. Prudent liquidity management will help preserve price stability and credit to the private sector, while medium-term reforms to diversify exports, reduce trade costs, and strengthen resilience to climate shocks remain essential. Continued improvements in external sector statistics will also help reconcile model signals and refine future assessments.*

Foreign Assets and Liabilities: Position and Trajectory

Background. The Union of Comoros does not produce international investment position (IIP) data.

Current Account

Background. The current account deficit (CAD) widened to 2.3 percent of GDP in 2024, compared with 1.5 percent in 2023 and an average of 1.5 percent of GDP over 2019–23. The deterioration reflected a weaker trade balance, as rice and petroleum imports rose sharply while exports of cloves and vanilla contracted by 26 and 63 percent (y/y), respectively. Remittances and project grants helped contain the deficit. The capital and financial account surplus (US$38.2 million, mostly concessional) more than financed the CAD, yielding an overall balance surplus of 1.2 percent of GDP. Looking ahead, the CAD is projected to remain moderate, driven by structurally low domestic savings rather than high investment, with continued reliance on remittances and concessional inflows; however, the position remains vulnerable to terms-of-trade shocks from food and fuel imports.



Assessment. There is a divergence in the estimates from the EBA-lite models of the current account gap. The current account deficit widened to 2.3 percent of GDP in 2024, compared with an average of 1.5 percent of GDP over the past five years, mainly reflecting higher imports of rice and petroleum products and weak exports of cloves and vanilla. The current account balance (–2.3 percent of GDP, adjusted CA of -2.4 percent) was stronger than the adjusted CA norm –(-5.2 percent of GDP),[1] implying a positive gap of about 2.9 percent of GDP—stronger than the level consistent with fundamentals and desirable policies and suggesting some REER undervaluation. The EBA-lite decomposition indicates that the estimated current account gap is only partly explained by policy variables, with the policy gap accounting for a relatively small share of the overall deviation from the norm. The large residual reflects structural features of the Comorian economy and model limitations, including the country's small size, high aid and remittance dependence, weak export diversification, data constraints—particularly regarding in-kind grants—and the fixed exchange rate regime. As a result, the estimated gap should be interpreted with caution, and not as evidence of misaligned macroeconomic policies. In contrast, the REER model points to a negative current account gap of about –3.7 percent of GDP, implying a mild REER overvaluation.

[1] The norm was adjusted upward by 1½ percentage points to reflect structural features not fully captured by the EBA-lite model, including large and persistent remittance inflows, reliance on concessional external financing, and temporary import needs expected to normalize over the medium term.

Staff views the large misalignment implied by the CA approach and the overvaluation indicated by the REER model as reflecting data limitations, model uncertainty, and structural characteristics of a small, aid-dependent economy with a fixed exchange rate.

On balance, staff places greater weight on the current account approach and assesses Comoros' external position in 2024 to be stronger than warranted by fundamentals and desirable policies, while remaining vulnerable to external shocks and natural disasters.

Comoros: EBA-lite Model Results, 2024

	CA model 1/	**REER model** 1/
	(in percent of GDP)	
CA-Actual	**-2.2**	
Cyclical contributions (from model) (-)	0.1	
Natural disasters and conflicts (-)	0.0	
Adjusted CA	**-2.3**	
CA Norm (from model) 2/	**-6.7**	
Adjustments to the norm (+)	1.5	
Adjusted CA Norm	**-5.2**	
CA Gap	**2.9**	**-3.7**
o/w Relative policy gap	0.7	
Elasticity	-0.16	
REER Gap (in percent)	**-18.1**	**23.0**

1/ Based on the EBA-lite 3.0 methodology
2/ Cyclically adjusted, including multilateral consistency adjustments.

Real Exchange Rate

Background. The real effective exchange rate appreciated by about 2½ percent in 2024, reflecting somewhat higher domestic inflation (e.o.p. of 6 percent y/y and average of 5 percent y/y for the year) compared to trading partners.

Assessment. Data quality constraints limit the precision of external account analysis in Comoros, particularly regarding the recording of in-kind grants. The EBA-lite model suggests an undervaluation of the REER of around 18 percent, though staff views this estimate as likely overstated given model limitations in small, aid-dependent economies. By contrast, the external sustainability assessment, which indicates a stable net foreign asset position over the medium term, points to only a modest misalignment. The continued build-up of foreign exchange reserves—which exceeded program targets in 2024—reflects strong remittance inflows, official financing, and lower-than-projected import pressures, reinforcing the assessment that the external position is stronger than warranted by fundamentals and desirable policies. On balance, staff assesses the REER to be undervalued, with the external position stronger than warranted by policies and subject to vulnerabilities from external shocks.

Capital and Financial Accounts: Flows and Policy Measures

Background. Comoros receives substantial project grants, which are recorded in the capital account. They reflect predominantly grants by donors to finance their projects. The last available information puts inflows at around 5½ percent of GDP in 2024. After peaking in 2020 at almost 7 percent of GDP, project grants declined to 3.8 percent in 2023. Capital outflows mainly comprise scheduled amortization of 0.9 percent of GDP in 2024.

Assessment. Comoros' heavy reliance on volatile foreign aid is a source of vulnerability but at the same time theses flows are an important non-debt-creating resource to cover CA deficit.

FX Intervention and Reserves Level

Background. Foreign reserves increased by 6.5 percent in 2024, largely driven by remittances and project grants. Gross International Reserves (GIR) increased from around US$320 million in 2023 to about US$340 million in 2024 and further reached US$357 million at end-September 2025.

Assessment. Comoros' reserve level was equivalent to 7.4 months of prospective imports at the end of 2024 and remained above 7 months as of end-September 2025. The optimal level of international reserves for Comoros using the small states classification was determined at 6.8 months of goods and services imports.

Annex III. Risk Assessment Matrix[1]

Sources of Risk	Relative Likelihood	Time Horizon	Impact on Comoros	Policy Responses
Global Risks				
Geopolitical Tensions. Intensification of conflicts, coupled with the weakening of multilateralism, may trigger commodity price volatility, increase migration pressures, reignite inflation, and weigh on growth by undermining confidence, investment, tourism, trade, and supply chains.	**High**	**ST, MT**	**High**	Diversify supply routes and prepare contingency plans, including measures to protect the most vulnerable in case of renewed supply disruptions. Conduct structural reforms to improve competitiveness and promote Comoros as a destination for investment.
Escalating Trade Measures and Prolonged Uncertainty. Rising trade barriers and prolonged policy uncertainty could reduce trade, investment, and growth. Inflationary pressures may re-emerge—especially in countries imposing tariffs. These effects can be amplified by strategic complementarities or bottlenecks in global value chains or inventory overhang.	**High**	**ST, MT**	**High**	Deploy fiscal and monetary policies to stimulate economy during downturns and also create stabilization funds as a buffer against economic shocks.
Commodity Price Volatility. Shifts in supply and demand—driven by geopolitical tensions and conflicts, OPEC+ actions, or the green transition—may fuel commodity price swings, intensifying external and fiscal pressures, social unrest, and macroeconomic instability.	**High**	**ST, MT**	**High**	Improve domestic production, re-prioritize spending to address food insecurity; and prepare contingency plans, including seeking concessional financing and additional budget support to sustain priority spending and critical imports. Intensify structural reforms to enhance Comoros' private-led agricultural production.

[1] Based on the August 2025, G-RAM. The Matrix shows events that could materially alter the baseline path. The relative likelihood is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10 and 30 percent, and "high" a probability between 30 and 50 percent). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly. The conjunctural shocks and scenarios highlight risks that may materialize over a shorter horizon (between 12 to 18 months) given the current baseline. Structural risks are those that are likely to remain salient over a longer horizon.

Sources of Risk	Relative Likelihood	Time Horizon	Impact on Comoros	Policy Responses
Financial Market Volatility and Correction. Stretched asset valuations, easy financial conditions, and subdued volatility in key markets could be significantly affected by a sudden and disruptive shift in investor sentiment or policy stance, triggering market corrections, exchange rate turbulence, spikes in sovereign bond yields, and capital flow volatility. Elevated leverage among Non-Bank Financial Intermediaries further amplifies these risks, as forced deleveraging during periods of stress could exacerbate asset price swings and propagate shocks. Rapid growth of unregulated crypto markets could add to these vulnerabilities by increasing the risk of redemption runs and market dislocations.	High	ST, MT	Low	Safeguard fiscal discipline, maintain adequate reserve buffers to support the euro peg, and strengthen financial sector oversight. In addition, deepening structural reforms to diversify the export base and reduce dependence on remittances and volatile external inflows, can minimize vulnerabilities.
Fiscal Vulnerabilities and Higher Long-Term Interest Rates. Rising public debt and deficit levels may put upward pressure on long-term interest rates and increase the risk of sovereign bond market disruptions. These developments could amplify capital flow volatility, tighten financial conditions, threaten sovereign debt sustainability, and trigger global spillovers. To the extent that major economies are affected, market imbalances (such as reduced investor capacity to absorb sovereign debt) could emerge, exacerbating risks from a close sovereign-financial nexus.	High	ST, MT	Low	Adhere to the fiscal consolidation path, strengthen domestic revenue mobilization, and avoid non-concessional borrowing to preserve debt sustainability.
Decline in International Aid. A further sharp reduction in international financial assistance, including development aid and humanitarian support, could severely affect low-income and fragile countries. Such an additional aid withdrawal would strain public finances, worsen current accounts, increase debt vulnerabilities, and lead to a further deterioration in living conditions and food security.	High	ST, MT	High	Safeguard concessional financing through strong program implementation, intensify domestic revenue mobilization, and reprioritize spending to protect essential social and climate-resilient investment. Additionally, advancing structural reforms to diversify the economy and strengthen resilience.
Rising Social Discontent. High living costs, weak growth, and inequality may	Medium	ST, MT	Medium	Provide support to the most vulnerable and enhance

Sources of Risk	Relative Likelihood	Time Horizon	Impact on Comoros	Policy Responses
fuel social unrest, hinder necessary reforms, and weaken countries' capacity to address domestic and external shocks.				good governance, transparency, inclusivity, and the rule of law.
New Trade Agreements. A breakthrough in trade talks could reduce uncertainty and protectionism, boost investment and productivity, and support broader reforms to lift medium-term growth.	Low	ST, MT	Low	Leverage such an environment by accelerating export diversification (e.g., vanilla, ylang-ylang, and tourism), enhancing the business climate to attract investment and deepening structural reforms to raise productivity and competitiveness.
Cyberthreats. Cyberattacks on physical or digital infrastructure, technical failures, or misuse of AI technologies could trigger financial and economic instability.	High	ST, MT	High	Strengthen cybersecurity infrastructure to protect critical information systems across government, financial sector and other vital sectors.
Climate change. Extreme climate events and rising temperatures could cause loss of life, damage to infrastructure, food insecurity, supply disruptions, and heighten economic and financial instability.	Medium	MT	High	Implement climate adaptation strategies including through investment in climate resilient infrastructure, with assistance from international partners.
Labor Supply Gaps. Tighter restrictions to migration could worsen labor shortages in aging economies, reducing potential output, fueling inflation, and straining fiscal balances through lower revenues.	Medium	MT	Low	Strengthen domestic job creation through private-sector development, vocational training, and investment in agriculture and services, while enhancing social protection to cushion vulnerable households
Domestic Risks				
Policy slippages. Delays in the completion of structural reforms and other program objectives erodes confidence in the economy	Medium	ST, MT	High	Implement macroeconomic policies and structural reforms as described in the ECF program, especially those related to sound public financial management and financial stability.

Annex IV. Capacity Development Strategy

A. Context

1. Comoros is a small, fragile island state with very limited technical implementation capacity. Current Fund engagement under the ECF centers on revenue mobilization, public financial management, restructuring of the postal bank, and governance and anti-corruption reforms. Progress in several of these areas is hampered by significant technical capacity limitations, in addition to staffing, coordination, and other institutional bottlenecks particularly around fiscal data production and bank supervision. The IMF will continue to apply the Fragile and Conflict-affected States (FCS) strategy to ensure that CD is well prioritized and remains properly integrated with the ECF program.

2. Several engagements with the IMF preceded the current ECF program, which is the first in a decade. Comoros received RCF/RFI support in July 2019 following Cyclone Kenneth and again in April 2020 following the outbreak of the COVID-19 pandemic. Comoros also benefitted from CCRT relief (through April 2022). A Staff Monitored Program (SMP) was approved in September 2021 to help Comoros contain and recover from the pandemic and start to overcome fragility, boost inclusive growth, and limit risks. Despite delays in some structural benchmarks, the SMP was completed in April 2023, paving the way to a financing arrangement under the current four-year ECF that was approved in June 2023.

B. Capacity Development Delivered Since the 2023 Article IV Consultation

3. Revenue mobilization. IMF CD on revenue mobilization has broadly shown that substantial revenues can be raised simply by properly enforcing existing tax laws and policies. As such, one of the key messages from CD is the need for vigorous implementation of the existing policies on taxes and customs duties.

- ***Tax administration.*** Since the 2023 Article IV, Fund capacity development in tax administration has added more hands-on operational support to the earlier stronger focus on technical assistance through diagnostics. This is anchored by the authorities' decision to embed an IMF resident advisor in the Ministry to support tax policy and administration under the Fund's GPFP program. The advisor is tasked with helping the DGI craft near-term revenue measures and push forward core administrative reforms, providing day-to-day accompaniment.

- ***Customs administration.*** Data collected during a recent FAD TA mission helped to shed light on the General Directorate of Customs' (DGD) recovery of uncollected customs duties under suspensive regimes that were overdue as of June 30, 2024. This contributed to an assessment of a structural benchmark calling for the collection of at least half this amount. Recent Fund technical assistance by FAD also revealed outdated applications of excise duties and consumption taxes on incorrect bases and overuse of the immediate-release customs clearance procedure (IM9) for imported goods as well as the failure to later collect taxes on those goods

by the customs agency. DGD also benefited at various times between from regional seminars and field-based support on strengthening risk management to build compliance in customs, and methods to investigate anomalies in trade activity data so as to recover lost revenue.

- ***Tax policy.*** FAD provided support in setting up the Tax Policy Unit (TPU) under the Minister of Finance in September 2024, and organizing a peer-learning visit to study Benin's TPU model in January 2025. FAD support embarked in April 2025 on a crucial first step toward the production of a full tax expenditure report, through a partial analysis of tax exemptions. Among other things, this work was valuable in determining and quantifying corrective measures the authorities could take in 2025 to compensate for lackluster revenue performance in 2024. After some delay and rapid turnover, the TPU has been fully staffed with five members including the coordinator, and the unit received a dedicated office space. The September 2025 follow-up FAD mission worked with the new members of the TPU to deepen earlier work in identifying and estimating tax expenditures linked to customs duties and other indirect taxes.

4. Public finance management. Recent FAD technical assistance on public financial management proposed recommendations on fiscal transparency, including on revamping the budget calendar, publishing budget execution reports, and building macroeconomic forecasting capacity. On this basis, the authorities are envisaging a multi-stage reform of the budgetary calendar. The area of fiscal outturns data, in the form of the TOFE, received extensive TA support, with notable successes, including the creation of a TOFE committee, markedly improved quality of the outturns tables (albeit from a low base), and an action plan aimed at enhancing this quality further. Important limitations remain, due to much of the work falling on one individual in the committee, who is stretched across several other responsibilities. The TOFE committee also received STA TA on producing government finance statistics in line with GFSM2014. A newly created directorate tasked with overseeing SOEs has received TA on the development of an action plan. The setup of a Treasury Committee was also supported by FAD TA. The BCC and the Ministry of Finance are working closely to implement a roadmap developed by the Fund's AFRITAC South based on a medium-term debt strategy, toward ultimately having in place a well-functioning securities market. IMF debt management CD support is complemented by key partners' CD. E.g. debt management reforms advanced through the AfDB-supported Public Debt Sustainability Project, which helped replace the outdated CSDRMS software with the Meridian software, train debt management staff, enabled the migration of all loan data into the new system upgrades in IT infrastructure and connectivity. It is hoped that this will enable the authorities to better tackle the persistent problem of external arrears.

5. Monetary policy and financial sector. In the realm of monetary policy and the financial sector, Fund TA recommendations have contributed to the strengthening of BCC's monetary policy toolkit, the liquidity management framework, and risk-based supervision. For example, TA identified a list of collateral eligible for refinancing at the BCC including within the ELA framework. The fixed-rate, full-allotment absorption operations are expected to become feasible in 2026. A July 2025 peer-to-peer visit to BEAC in Cameroon facilitated by AFRITAC South, offered insights into BEAC collateral frameworks for monetary operations and ELA purposes, and is likely to facilitate BCC's

preparedness to handle credit claims as collateral and minimize risks to its balance sheet. Authorities are continuing to reflect on different resolution funding mechanisms, using an IMF MCM TA analytical tool from an August 2024 TA, which allows an estimation of the size of resolution funds needed and the amounts that could be raised from different banks, the government, and international development partners. This followed a previous MCM TA from 2022 that remarked on an appropriate statutory resolution framework aligned with international standards. As a result, the BCC established in June 2023 a bank resolution and regulation directorate (DRRB), which amended the 2020 Financial Institutions Resolution and Recovery Law (LRIF). LEG followed up this work with TA in the second quarter of 2024 that supported the completion of these amendments. Authorities are, however, making relatively slower progress in implementing IMF MCM TA recommendations on risk-based supervision and enhancing staffing and technical capacity in the DSB.

6. Governance and Statistical capacity. Governance and statistical capacity have similarly seen important TA contributions. The Fund's Legal Department (LEG) has helped shape Comoros' anti-corruption agenda. In a June 2025 mission, it guided the Anti-Corruption Chamber (ACC) on a roadmap for operationalizing asset declarations by high-ranking officials, in line with the Anti-Corruption Law. This built on previous support by external partners to establish the ACC. Since its creation, the ACC has actively participated in workshops organized by FAD and LEG in cooperation with AFRITAC South. STA offered extensive CD support for estimating GDP and various other statistical compilations. However, on this front, progress is slowed by a high turnover and a dearth of permanent, qualified staff in the Comoros' main statistics agency, INSEED.

C. Moving Ahead: Priorities in Capacity Building

7. TA in the months and years ahead should sustain the focus on the core pillars of the ECF program, along with attentiveness of the fragile setting. Building on the traction from recent IMF capacity development engagement, technical support to come will concentrate on the same program pillars—revenue mobilization, PFM, monetary policy and financial sector, and anti-corruption and governance issues. An area that has so far received relatively less TA—expenditure policy—should receive new attention, in light of the large spending overruns and sharp wage spending rationalization of the recent periods. Careful prioritization of topics, as well as the level of ambition in the delivery of technical assistance, will be mindful of the still-fragile context and constrained absorption capacity.

8. Revenue mobilization. CD will be considered to support DGI to expand the tax base and the tax audit coverage, streamline and digitalize the core tax procedures, enforce the current legal framework and expand compliance among SOEs and medium/large taxpayers. FAD and AFS will focus their support to the customs on: (i) integrate in SYDONIA the settlement of the domestic tax on petroleum products (TIPP), calibrating SYDONIA according the legal provisions in force, improving economic regime monitoring, developing data analytics skills, and introducing individual performance contracts. An examination of appropriate TA on customs for the next two years was the subject of a recent (September 2025) FAD mission, which based its conclusions on first reviewing all TA provided to DGD during the past three years. Among other things, it found that the customs

agency would benefit from IMF TA that strengthens DGD's analytical capabilities to implement and monitor reforms, as the agency often adopted reforms that did not last and lead to structural change. Ongoing FAD support will be needed to strengthen the TPU and enable it to carry out analytical work. This includes expanding the coverage of the tax expenditure analysis to direct taxes, revising the tax system and, continuing to rationalize tax exemptions and incentives, coupled with training for members of the TPU.

9. Public finance management. IMF support should primarily focus on (i) improving the quality, reliability and timely production of the TOFE, (ii) supporting the Treasury Committee to produce and monitor cash management plans in a timely manner, and (iii) strengthening debt management. Continued support will be necessary, given limited progress so far on PFM reforms. In particular, Fund TA will be needed to maintain momentum on the fiscal transparency agenda and implement key recommendations from the January 2025 FAD TA. This could include support to improve the quality of the TOFEs, ensure their alignment with program parameters, and eventually publish them (as was done for the 2024 quarterly outturns). TA is also needed to implement the authorities' plans to establish a central accounting agency of the Treasury (ACCT) that would ensure financial and accounting centralization. This will advance the gradual transfer of responsibility for managing the TSA from the General Treasury Paymaster (TPGU) to the ACCT. IMF CD by FAD and AFRITAC South will continue to be coordinated with external support, to strengthen the capabilities of the new directorate, DGPEFPS, tasked with overseeing SOEs. Specifically, IMF TA to guide the implementation of the directorate's action plan will complement work by other partners auditing the main SOEs and preparing restructuring plans.

10. Monetary policy and financial sector. Following a December 2025 mission to assess the authorities' readiness to launch a T-bill market, further CD would be helpful as the authorities embark on each step of the phased approach outlined in the December TA, including strengthening debt management and cash forecasting capabilities as a necessary foundation for moving toward a government debt securities market. The IMF will also continue to facilitate the authorities' access to TA by other institutions, notably, France's technical and financial support to the newly restructured postal bank BPC, by monitoring the requirements it would need to fulfill to trigger AFD's provision of this support.

11. Governance and Statistical capacity. Given limited experience and resources, the newly established Anti-Corruption Chamber (ACC) will require ongoing technical input in order to be able to operationalize the asset declaration framework and include the required information in the published information on procurement contracts, and more generally to build up its technical, operational and institutional capacity. Here too, Fund and external (World Bank) assistance will continue to dovetail with one another. The strengthening of statistical capacity remains crucial; however, future support will need to be matched by authorities' own willingness to put in place qualified and permanently posted staff that will be able to absorb IMF and other training in statistical methods and practice.

Annex V. Data Adequacy Assessment for Surveillance

Table 1. Union of the Comoros: Data Adequacy Assessment for Surveillance

Data Adequacy Assessment Rating 1/
C

Questionnaire Results 2/

Assessment	National Accounts	Prices	Government Finance Statistics	External Sector Statistics	Monetary and Financial Statistics	Inter-sectoral Consistency	Median Rating
	C	C	C	C	C	C	C

Detailed Questionnaire Results

Data Quality Characteristics						
erage	C	C	C	B	B	
Granularity 3/	B		C	C	C	
			B		C	
sistency			C	D		C
quency and Timeliness	C	B	D	C	C	

Note: When the questionnaire does not include a question on a specific dimension of data quality for a sector, the corresponding cell is blank.
1/ The overall data adequacy assessment is based on staff's assessment of the adequacy of the country's data for conducting analysis and formulating policy advice, and takes into consideration country-specific characteristics.
2/ The overall questionnaire assessment and the assessments for individual sectors reported in the heatmap are based on a standardized questionnaire and scoring system (see IMF *Review of the Framework for Data Adequacy Assessment for Surveillance* , January 2024, Appendix I).
3/ The top cell for "Granularity" of Government Finance Statistics shows staff's assessment of the granularity of the reported government operations data, while the bottom cell shows that of public debt statistics. The top cell for "Granularity" of Monetary and Financial Statistics shows staff's assessment of the granularity of the reported Monetary and Financial Statistics data, while the bottom cell shows that of the Financial Soundness indicators.

A	The data provided to the Fund are adequate for surveillance.
B	The data provided to the Fund have some shortcomings but are broadly adequate for surveillance.
C	The data provided to the Fund have some shortcomings that somewhat hamper surveillance.
D	The data provided to the Fund have serious shortcomings that significantly hamper surveillance.

Rationale for staff assessment.
National accounts data are provided with significant delays (eight months delay this year) and only once per year. GDP numbers are annual. There is no high frequency GDP data such as quarterly or monthly. A breakdown by production is provided with weak granularity (less than 20 activities), and no breakdown by expenditure or income is provided. A recent TA mission on national accounts has finalized work on rebasing GDP. The TA mission finalized the 2023 GDP figures based on 2019 prices, produced the first preliminary estimates for 2024, and relaunched the compilation of integrated economic accounts. The mission recommended the dissemination of the rebased 2007-2024 series (based on 2019 prices) by December 2025 and the finalization of the integrated economic accounts in 2026. However, authorities have not proceeded with the recommended dissemination of the rebased data. Price data are broadly adequate for surveillance. Monthly inflation data is provided with a two-month delay. Fiscal: Errors, repeated revisions, and delays on fiscal outturn data make it challenging to assess fiscal performance and make sound fiscal projections. The lack of granularity on expenditures obscures the assessment of reasons for their levels and changes. The Budget directorate struggles with several issues, especially properly reflecting below-the-line projections. Debt statistics continue to be shared once a year and are useful for analysis. BoP data are reported on an annual basis. Within the year, only goods trade data are provided, which limits deep analytical work. The trade data are provided on a quarterly basis but with about two months lag. The Central Bank (BCC), the main reporting counterpart, struggles to provide accurate and granular import and export volume data for key products. Financial data on banks are provided with significant delays, resulting in lags in reporting on financial stability and stress test indicators. Weak capacity of some banks entail revisions. A complex restructuring process of a postal bank requires granular data for analysis from multiple sources, which authorities, the bank's management, and their consultants are only able to provide partially and/or with long delays. While external sector statistics are broadly sufficient for program monitoring, the data can be highly volatile in-year, and this coupled with the absence of quarterly BoP data limit the precision of current account estimates and complicate model-based assessments of external sustainability.

Changes since the last Article IV consultation.
The quality of national accounts data does not appear to have noticeably improved since the 2023 article IV. INSEED informed staff that the dissemination of rebased GDP data, as recommended by the National Accounts TA mission, requires the agreement of the hierarchy. Regarding price data, INSEED informed staff that they are currently in the process of rebasing price data. A technical assistance is planned with Afritac south and Afristat, with a focus on the update of weights and the change of software from "Chapeau" to "Phoenix". The quality of the fiscal outturn data (TOFE) has improved significantly since the 2023 Article IV (albeit from a very low base), with intensive IMF TA. A TOFE Committee has been formed, but much of the compilation work falls to one member (the chair). The committee has begun to receive STA support toward moving their data to the GFSM2014 standard. Authorities are trying to produce semi-annual debt statistics since the last Article IV. External debt is now reported. Only annual BOP data is reported, while data on IIP is not reported. A separation of the directorates in the central bank (BCC) responsible for supervision (DSB) and regulation and resolution (DRRB) improved the BCC's work on financial stability, but data flow between these two units, especially from DSB to DRRB, is inadequate.

Corrective actions and capacity development priorities.
The authorities have made a commitment under the current ECF arrangement to address deficiencies in data quality. With TA support from the Fund, efforts are underway to release the recently re-based (to 2019 prices) National Accounts statistics and improve the quality. With the assistance of AfDB, efforts are also underway to improve coverage of fiscal statistics and public sector debt statistics, as well as strengthening the timeliness and reliability of fiscal statistics, in particular the quality of data on domestic arrears. The misson highlighted the need to improve the timeliness of balance of payments data while exploring the possibility of producing quarterly BoP data as well as improve the coverage and timeliness of national accounts data releases. Continued CD support will help the authorities finalize rebasing of National Accounts data and ensuring consistency between production and expenditure data.

Use of data and/or estimates in Article IV consultations in lieu of official statistics available to staff.
Staff does not use any data and/or estimates in the staff report in lieu of official statistics.

Other data gaps.
This Article IV's additional surveillance topics would benefit from data on the breakdown of key commodities' imports by importer and from more granularity on taxes by type of taxpayer and tax tax type.

Table 2. Union of the Comoros: Data Standards Initiatives

Comoros participates in the Enhanced General Data Dissemination System (e-GDDS) and first posted its metadata in February 2013 but is yet to disseminate the data recommended under the e-GDDS.

Table 3. Union of the Comoros: Common Indicators Required for Surveillance
(as of December 31, 2025)

	Data Provision to the Fund				Publication under the Data Standards Initiatives through the National Summary Data Page			
	Date of Latest Observation	Date Received	Frequency of Data[6]	Frequency of Reporting[6]	Expected Frequency[6,7]	Comoros[8]	Expected Timeliness[6,7]	Comoros[8]
Exchange Rates	30-Sep-25	21-Nov-25	Q	Q	D	D	...	D
International Reserve Assets and Reserve Liabilities of the Monetary Authorities[1]	30-Sep-25	21-Nov-25	Q	Q	M	...	1M	...
Reserve/Base Money	30-Sep-25	21-Nov-25	Q	Q	M	M	2M	...
Broad Money	30-Sep-25	21-Nov-25	Q	Q	M	M	1Q	1M
Central Bank Balance Sheet	Sep-25	Nov-25	Q	Q	M	M	2M	...
Consolidated Balance Sheet of the Banking System	Sep-25	Nov-25	Q	Q	M	M	1Q	1M
Interest Rates[2]	9-Jan-26	9-Jan-26	Q	Q	M	D	...	1D
Consumer Price Index	Oct-25	Nov-25	M	Bimonthly	M	M	2M	15D
Revenue, Expenditure, Balance and Composition of Financing[3]–General Government[4]	NA	NA	NA	NA	A	A	3Q	6M
Revenue, Expenditure, Balance and Composition of Financing[3]–Central Government	Jun-25	Jun-25	Q	Q	Q	...	1Q	...
Stocks of Central Government and Central Government-Guaranteed Debt[5]	Dec-25	May-25	A	A	Q	M	2Q	...
External Current Account Balance	Dec-24	May-25	A	A	Q	A	1Q	...
Exports and Imports of Goods and Services	Sep-25	Nov-25	Q	Q	M	M	12W	...
GDP/GNP	Dec-24	Sep-25	A	A	Q	A	1Q	...
Gross External Debt	Dec-25	May-25	A	A	Q	...	2Q	...
International Investment Position	NA	NA	NA	NA	A	...	3Q	...

[1] Includes reserve assets pledged or otherwise encumbered, as well as net derivative positions.
[2] Both market-based and officially determined, including discount rates, money market rates, rates on treasury bills, notes and bonds.
[3] Foreign, domestic bank, and domestic nonbank financing.
[4] The general government consists of the central government (budgetary funds, extra budgetary funds, and social security funds) and state and local governments.
[5] Including currency and maturity composition.
[6] Frequency and timeliness: ("D") daily; ("W") weekly or with a lag of no more than one week after the reference date; ("M") monthly or with lag of no more than one month after the reference date; ("Q") quarterly or with lag of no more than one quarter after the reference date; ("A") annual.; ("SA") semiannual; ("I") irregular; ("NA") not available or not applicable; and ("NLT") not later than.
[7] Encouraged frequency of data and timeliness of reporting under the e-GDDS and required frequency of data and timeliness of reporting under the SDDS and SDDS Plus. Any flexibility options or transition plans used under the SDDS or SDDS Plus are not reflected. For those countries that do not participate in the IMF Data Standards Initiatives, the required frequency and timeliness under the SDDS are shown for New Zealand, and the encouraged frequency and timeliness under the e-GDDS are shown for Eritrea, Nauru, South Sudan, and Turkmenistan.
[8] Based on the information from the Summary of Observance for SDDS and SDDS Plus participants, and the Summary of Dissemination Practices for e-GDDS participants, available from the IMF Dissemination Standards Bulletin Board (https://dsbb.imf.org/). For those countries that do not participate in the Data Standards Initiatives, as well as those that do have a National Data Summary Page, the entries are shown as "..."

Appendix I. Letter of Intent

Moroni, Union of the Comoros, January 28, 2026

Ms. Kristalina Georgieva
Managing Director
International Monetary Fund
Washington, D.C. 20431

Dear Ms. Georgieva,

1. The Government of the Union of the Comoros requests that the IMF Executive Board completes the fifth review under the Extended Credit Facility arrangement and approves waivers for the non-observance of the end-June QPC on the DPB and of the continuous QPC on the non-accumulation of external arrears, to enable the disbursement of the sixth tranche of the ECF arrangement based on corrective actions and the broadly satisfactory implementation of the performance criteria and key structural reform.

2. The recovery that started in 2024 gained further momentum in 2025, amid easing inflation. Real GDP growth is estimated at 3.8 percent in 2025 supported by robust remittances and domestic credit growth. Headline inflation declined to 1.9 percent (y/y) in October, after peaking at 7.3 percent in March, driven by the combined effect of lower import prices and improved supply conditions. In the course of 2025, transfers spending increased significantly as large-scale lay-offs of airport employees following a concession of the Moroni international airport required us to respond to stem social pressures. This exceptional circumstance explains a small slippage of the domestic primary balance relative to the program target for end-June. The external position, however, remains stable, with international reserves covering more than 7 months of imports. While the postal bank SNPSF has been successfully restructured, broader financial sector vulnerabilities persist, including undercapitalization and a large NPL overhang. Reforms are underway to address these legacy vulnerabilities and strengthen the financial safety net. Recognizing the need to further strengthen supervisory capacity, and conduct monetary policy, we would like to reiterate our request for continued support from MCM.

3. Despite some setbacks, the ECF-supported program remains broadly on track. We met three of the five end-June QPCs, notably on tax revenue, international reserves, and non-concessional borrowing. We missed the end-June QPC on the domestic primary balance by a small margin due to spending pressures that we needed to accommodate, while small and temporary payment delays led us to miss the continuous QPC on external arrears. The two end-June indicative targets (ITs) on domestic arrears and social spending were met. Moreover, we have met the two end-December QPCs for which data are available, on non-concessional external debt and net international reserves. In parallel, we made significant progress on the implementation of structural

reforms, with the completion of 13 of the 15 structural benchmarks (SBs) expected between end-June and end-December 2025.

4. As highlighted in the attached MEFP, we have taken corrective actions for the missed QPCs and are working to ensure progress on the missed SBs. With respect to the missed QPC on external arrears, we promptly settled the two missed external debt service payments (one within a day after the grace period expired, the other within a month). In addition, we made a first payment in line with the technical-level agreement with French authorities to clear arrears to Bpifrance. To correct for the missed QPC on the DPB we have submitted to Parliament: (i) a supplementary 2025 budget that regularizes unbudgeted spending for the airport-related social transfers and contains the deficit impact through spending restraint and new revenue mobilization measures (proposed Prior Action, PA); (ii) a 2026 budget that realigns the fiscal consolidation with the programmed path; and (iii) a credible package tax measures to underpin this consolidation (PA). To enhance budget transparency, we are in the process of transmitting key documentation related to the payments for airport layoffs (PA). Regarding the two missed SBs, the DGD has completed the corrections and reparametrized SYDONIA with a delay and will provide documented evidence of these corrections (PA). As more time is needed for two of the banks in breach of capital adequacy requirements to submit credible recapitalization plans that meet minimum standards and for the BCC to iterate on these, we request related SB be reset to a later date.

5. Looking ahead, we reaffirm our commitment to the reform agenda under the ECF-supported program. As we move closer to the end of the ECF program, we are aware that steadfast and continued implementation of the reform agenda remains essential to safeguarding macroeconomic stability and debt sustainability. We will therefore continue to strengthen tax and customs administration and policies, with ongoing support from IMF technical assistance. Similarly, cognizant of persistent weaknesses in fiscal transparency, we will strengthen efforts to improve the quality, reliability, and timely production of the Government Financial Operations Tables (TOFE) and will seek IMF technical assistance to support these efforts. We remain committed to improving governance, fighting corruption and will address impediments to accelerate the full operationalization of the Anti-Corruption Chamber, and rollout of the asset declaration framework. We stand ready to tighten monetary policy in the event of persistent inflation or large outflows of reserves. We remain committed and seek the support of our partners to address the long-term challenges associated with poverty, climate change, gender inequalities, and human capital development.

6. We are optimistic that the measures and policies set forth in the attached MEFP are appropriate to achieve the objectives of the program. We stand ready to take any additional measure that may prove necessary to safeguard the objectives under our economic reform program. We will consult with IMF staff on the adoption of any additional measures and prior to any revisions to the policies contained in the MEFP, in accordance with Fund policies on such consultations. We will hold timely consultations with the IMF on new external borrowing to ensure that it continues to strengthen confidence in the program, does not jeopardize debt sustainability, and is in line with ceilings on non-concessional and concessional performance criteria (Table 1 in the MEFP). To

facilitate program monitoring and assessment, the government undertakes to provide all necessary information to IMF staff on a regular basis and in a timely manner, pursuant to the attached Technical Memorandum of Understanding (TMU).

7. In line with our commitment to transparency, we consent to make public the content of the IMF staff report, including this letter, the attached MEFP, and the TMU. We, therefore, authorize the IMF to publish these documents on its website once the IMF Executive Board approves the completion of the fifth review under the ECF.

Sincerely yours,

/s/	/s/
Ibrahim Mohamed Abdourazak	Younoussa Imani
Minister of Finance and Budget	Governor, Central Bank of Comoros

Attachments:

- Memorandum of Economic and Financial Policies
- Technical Memorandum of Understanding

Attachment I. Memorandum of Economic and Financial Policies

Moroni, Union of the Comoros, January 28, 2026

This Memorandum of Economic and Financial Policies (MEFP) updates and supplements the June 2025 MEFP. It describes recent economic developments, progress in implementing policies and reforms to which we committed to under the ECF-supported program, the macroeconomic outlook, and the government's economic policy objectives and plans for the coming years.

A. Recent Economic Developments and Outlook

1. The economic growth seen in 2024 strengthened further in 2025 and was accompanied by moderate inflation. We estimate the growth rate at end-2025 at 3.8 percent, essentially driven on the supply side by progress in the tertiary and secondary sectors due to greater availability of energy (purchases of additional generators). On the demand side, this performance reflects the resilience of household final consumption, supported by the rise in remittances and the growth in domestic credit (13.5 percent year-on-year) resulting from both increased government borrowing and increased credit to the private sector. At the same time, inflation continued its downward trend, averaging 3.5 percent, reflecting the gradual dissipation of the previous shocks and improvement in domestic supply conditions, particularly in the agricultural sector, as well as a drop in the prices of imported products compared to the previous year.

2. Despite higher-than-expected tax revenues, spending overruns led to a slippage in the domestic primary balance in the first half of 2025. Tax revenues increased by 15 percent year-on-year, driven by a strong increase in income taxes including significant recovery of the Comorian Hydrocarbons Company (SCH) arrears. Budget support declined, in part because some budget support has been delayed to 2026. On the expenditure side, transfers increased sharply (52 percent year-on-year), reflecting primarily exceptional commitments with a large social impact, in particular the payment of severance packages to airport employees in the amount of KMF 1.3 billion as part of the takeover of the airport by an Emirati company under concession, as well as the integration of expenses financed by administrative fees (which were not taken into account in 2024). Investments under domestic financing increased significantly, in particular in connection with adding to energy capacities (purchase of generators), the construction of the El Maarouf hospital, and improved budget transparency by better reflecting administrative fees. Nevertheless, policy trade-offs made it possible to limit the overall increase in domestic investment to 15 percent year-on-year, illustrating efforts to control the budget. These developments put pressure on the domestic primary balance, with a shortfall from the end-June Quantitative Performance Criterion (QPC) of KMF 1.4 billion compared to the end-June target, while higher interest expense and project maintenance costs widened the overall deficit. Data for end-September indicate that the contribution of international trade taxes to tax revenue was lower, while transfer and domestic investment spending continued to increase. The increase in transfer expenditures is due to the

payment of severance packages for airport employees that were paid in the third quarter. As a result, the domestic primary deficit widened significantly with respect to end-June.

3. External sector indicators point to moderate pressures on the balance of payments during the first three quarters of 2025. The goods trade deficit narrowed to 13.9 percent of GDP at end-September from 16 percent in 2024, reflecting a slight contraction of imports (1 percent) and a recovery in exports. The increase in imports of food and capital goods linked to public works and private construction was offset by a decline in energy imports, which fell 17.5 percent owing to lower global oil prices, as well as by a reduction in intermediate goods imports. Merchandise exports increased by about 50 percent driven by a one-off surge in "other products," mainly scrap metal, which more than offset the sharp decline in vanilla and cloves exports, down 57 percent and 23 percent, respectively. Current transfers exceeded KMF110 billion over the first three quarters of 2025, providing a key buffer against the trade deficit. Disbursements from development partners also supported the external position, despite delays with the execution of some donor-funded projects and uneven disbursement profiles. At end-September, gross international reserves stood at about seven months of imports. Overall, external pressures remain contained, but the outlook continues to depend on a recovery in vanilla and clove exports, the timely disbursement of budget and project financing, and the continued inflow of remittances.

4. The medium-term outlook remains favorable, although subject to risks, mainly related to the global environment and climate risks. The modest downward revisions to medium-term growth reflect mostly the postponement of some major public investment. Ongoing geopolitical tensions both within and outside the region could disrupt trade, particularly imports of oil and food products. Weather-related disasters, challenges in domestic revenue collection, and weaknesses in cash management could undermine economic growth and fiscal stability, thereby raising concerns about debt sustainability. Our accession to the World Trade Organization could temporarily reduce government revenues, while a significant decline in official donor support could constrain public investment and social spending. We are committed to mitigating these risks by strengthening domestic revenue mobilization and improving the effectiveness of public spending to safeguard public investment and social priorities. In addition, a contraction in external demand could reduce export earnings, although the resilience of remittances could mitigate this risk. On a more positive note, WTO accession, public investment projects, tourism development and increased foreign direct investment could accelerate growth, provided that economic reforms under the ECF progress satisfactorily.

Economic and Financial Policies Supported by the ECF

Fiscal Policy

5. Fiscal policy remains focused on a sustained consolidation effort over the medium term to reduce debt sustainability risks and financing needs, while creating the

conditions for sustainable and inclusive growth. Fiscal consolidation would be based on: (i) continued increases in revenue mobilization through a gradual reform of the tax system (rationalizing tax exemptions and improving tax collection), as well as strengthening revenue administration (further broadening of the tax base, improving taxpayer compliance, recovery of major tax arrears, accelerating the digitalization of tax and customs procedures, etc.); (ii) a package of measures targeted at current expenditure (rationalization of the wage bill and continued improvement in management of the civil service); (iii) key structural reforms in public financial management (e.g., improving budget execution and transparency, cash and debt management, reform of the Treasury Single Account, restructuring and oversight of SOEs); and (iv) normalization of public investment once existing commitments are cleared. We are committed to implementing this consolidation strategy in accordance with program objectives. Specifically:

- **2025 Supplementary Budget Law (LFR25):** We adopted a 2025 supplementary budget law to bring fiscal consolidation to 1.0 percentage point of GDP, slightly below the level envisaged at the time of the fourth review. This will be achieved through a consistent set of measures to offset the revenue shortfalls recorded in 2024 and most of the exceptional expenditure overruns in 2025 (see ¶2 and ¶10). These include: (i) additional revenue of about KMF 1.4 billion over the revenue projections at the time of the fourth review, notably through the collection of arrears and increased current payments of the domestic petroleum products tax (TIPP) and the corporate income tax (CIT) by the SCH and other private and public enterprises; the adjustment of the taxable base for excise duties (DDA), the tax advance (AI) and the consumption tax (TC) on imports, as well as (ii) expenditure savings of KMF 3.9 billion resulting from the continued rationalization of the wage bill that began in the first half of 2025. We reflected this in the 2025 Supplementary Budget Law (prior action and corrective action).

- **2026 Annual Budget Law (LFA26):** We are determined to correct the slippages, mainly stemming from transfer expenditures recorded in 2025 and planned for 2026, and to return to a solid fiscal path by the end of 2026, in line with the adopted budget. The expected annual growth in tax revenue is explained in particular by the new measures included in the LFA26, whose yield is estimated at KMF 5.5 billion. Most of this revenue, estimated at KMF 4.2 billion, arise from sustainable and high-quality tax policy measures (see ¶9 and Text Table 1). While the remainder are one-off actions, mainly strengthening controls and recovering tax and customs arrears, they are important as they will be accompanied by measures to address long-standing challenges (continued accumulation of arrears and non-compliance with tax obligations and tax payments owed by key state-owned enterprises; see ¶13). We are also committed to implementing other measures to offset the spending overruns in 2025, in particular by continuing actions to rationalize the wage bill relative to the fourth review. Furthermore, we are committed to observing the indicative target on net domestic financing as described in the Technical Memorandum of Understanding, which provides for the possibility of adjusting it in the event of shortfall or excess of grants and external budget support, or in the event of a change in the stock of

domestic arrears relative to the programmed amounts. The measures will result in a faster pace of fiscal consolidation in 2026 of about 0.5 percentage point of GDP. In assuring that we can achieve our fiscal objectives, we have identified and quantified a set of revenue measures to be implemented rapidly in the event of a fiscal slippage during the year 2026 (see "contingency measures" in Text Table 1).

- **Medium Term:** Going forward, the fiscal path will aim at reducing debt-related risks and bringing all debt indicators below their high-risk thresholds by 2028, supported by the continuation of the consolidation strategy. Overall, these policies are expected to improve the domestic primary balance through fiscal consolidation of at least 1.8 percentage points of GDP over the program period. Consolidation is currently projected to take place faster, from -2.7 percent of GDP in 2023 to around -0.4 percent of GDP by the end of the program (both according to the revised fiscal perimeter definition at the time of the fourth review).

6. Despite ongoing consolidation efforts, fiscal deficits and the corresponding external financing needs persist over the medium term. These deficits reflect a number of factors, including the still insufficient level of revenue mobilization, expenditures related to the recapitalization of the postal bank and two other commercial banks, as well as the debt service obligations related to IMF emergency financing for 2019 and 2020, as well as non-concessional borrowing contracted prior to the ECF program. We are committed to mobilizing grants and concessional financing to meet these needs, and we are fully aware that any additional resort to new non-concessional loans would quickly undermine debt sustainability. We therefore commit to abstain from any non-concessional borrowing during the period covered by the program (Quantitative Performance Criterion, QPC). We also recognize the need to assess the fiscal risks associated with the use of Public- Private Partnerships (PPPs). We are committed to strengthening the institutional framework for PPPs. As a first step, with support from the IMF, we will implement the missing regulatory texts. Furthermore, we commit to share with the IMF any financing plans for the 2027 Island Games as they become available, whether or not they are carried out through a public-private partnership, before entering into any contractual agreement.

7. The government is determined to preserving priority social spending and investments and will strive to increase them as tax reforms contribute to creating more fiscal space. We have allocated KMF 3.3 billion to health and KMF 10.3 billion to education during 2024. The majority (92 percent) of education spending was spent on staff salaries, and over 71 percent of health spending was through transfers to the health insurance fund, hospitals, and specific health initiatives. With the support of the World Bank, we have implemented the Resilient and Shock-Reactive Financial Safety Nets Project (PFSS-RRC), which provides cash transfers to the most vulnerable households, as well as transfers related to cash-for-work and subsistence and technical training subsidies. We will continue to collaborate with the World Bank on this important social spending project, and we will work to ensure timely disbursements for the project and have corrected the delay observed for the disbursements

scheduled for September beginning in November. We will also continue to work with development partners to prioritize and implement investment projects envisaged under our National Development Strategy, the *Plan Comores Emergent*, to ensure continued growth and shared prosperity for the Comorian people.

8. All new external arrears accumulated since June 2025 have now been cleared, and efforts are ongoing to resolve the legacy arrears. Despite sustained efforts to ensure regular servicing of the external debt, cash flow and liquidity management constraints, exacerbated by delays in the disbursement of budget support have at times affected the timeliness of payments. With the support of the IMF, we are continuing our efforts to strengthen cash flow planning and improve the availability of domestic financing instruments in order to significantly ease these constraints in the future.

- As a corrective action, external arrears to TDB (US$1.1 million due in September) were cleared in October 2025, one month after the grace period.
- A one-day delay in debt service to the World Bank also occurred due to a technical issue related to the BCC's payment system.
- On legacy obligations, Parliament was expected to ratify a new concessional loan agreement with BADEA in August. However, it requested that a tripartite agreement be signed between the government, BADEA and OPEC. Discussions on this arrangement are ongoing and should be concluded in 2026.
- Regarding Exim India, implementation of the agreement to cancel penalties and restructure arrears over a five-year period was suspended following the authorities' decision not to resume the related project.
- Discussions with the AfDB to seek a legal opinion on this disputed claim are ongoing, albeit slowly.
- The arrears clearance agreement reached at the technical level with the French authorities—covering all outstanding arrears as well as the remaining debt service due to Bpifrance Assurance Export until 2027—remains in effect. To facilitate its implementation, we created and funded a dedicated account and the first payment has been made in accordance with the agreed schedule.
- Finally, we are now current on all our external debt service obligations. For the remainder of the year, we have honored the December 2025 debt service due to the TDB, the World Bank, the Saudi Fund for Development, the African Development Bank, and the Islamic Development Bank.
- At mid-June 2025, gross domestic arrears of KMF 2,680 million had been repaid and KMF 1,417 million had been accumulated, resulting in a significant net repayment and a reduction in the stock of domestic arrears. We are committed to improving the granularity of domestic arrears data, including by separating new arrears from pre-existing arrears for transfers, and fully defining and accounting for investment arrears (e.g., overdue payment

exceeding 90 days); We would welcome technical support in these areas.

- Under the African Development Bank–financed Public Debt Sustainability Support Program (PASDP), we have made significant progress in deploying the new integrated debt management system, MERIDIAN, within the Public Debt Directorate (DDP). This initiative reflects the government's commitment to modernizing public debt management and to strengthening the reliability, transparency, and analytical capacity of debt operations. Deployment has reached an advanced stage, including the acquisition of new IT equipment and the ongoing migration of data from the old CSDRMS system (already about 40 percent validated). Several training sessions have been organized for DDP staff on the external debt and statistical reporting modules. Next steps include finalizing data validation, transferring the system to the ministry's servers, and officially launching the system, scheduled for the first quarter of 2026. Despite this progress, some challenges remain, including the unavailability of certain loan agreements, additional training needs, and human resource constraints within the DDP, which will need to be addressed to ensure full operationalization of the system.

Structural Fiscal Reforms

9. Recognizing that our tax revenues are the lowest among small island states, we are committed to steadily increasing them to scale up public investments in human capital and infrastructure. We will continue to work on the reform of the tax system and the strengthening of the tax and customs administrations. We have put in place performance and objective-based contracts between the Minister of Finance, Budget and Banking Sector and the general directors of taxation and customs. We will continue to seek technical assistance from the IMF and other partners in the area of revenue administration and tax policy in order to identify and implement measures to increase tax revenues and improve the business climate in the short and medium term.

- We have equipped the Tax Policy Unit (UPF), created in September 2024 (SB) with the support of IMF technical assistance, with the necessary capacity to formulate tax policy without jeopardizing the implementation of its action plan. Thus, the following steps were taken: (i) the definition of the organic framework of the UPF; (ii) permanent appointment and assignment of the UPF coordinator and members; (iii) installation of the UPF in premises equipped with the equipment necessary for its operation. With support from the IMF Fiscal Affairs Department (FAD), we (i) developed a matrix of tax and customs exemptions measures and (ii) finalized the tax expenditure report and publish it (new SB end-February 2026). Starting in 2026, we plan to: (i) update the current tax legislation for all domestic direct and indirect taxes; and (ii) pilot the in-depth reform of the additional customs codes. Finally, the UPF will lead projects to reform the tax system, starting with a study on reform of the corporate income tax and the personal income tax. This strategy of compensating for tax and customs revenue losses that could occur during the dismantling of certain taxes collected at the customs border in the context of implementation of the Union of Comoros' WTO post-accession Strategic Plan, the African Continental Free Trade

Area (AfCFTA), the Common Market for Eastern and Southern Africa (COMESA), and Economic Partnership Agreements.

- Regarding tax policy, we will take the following structural measures under the 2026 LFA: (i) revaluation of the bases for calculating the single business tax and business license fees; (ii) application of specific excise duties to locally produced cigarettes and sweetened juices; (iii) application of the External Remuneration Tax (TRE) to contractors established outside the Comoros, etc.; (iv) change in the method of taxing rice import licenses; (v) reform of the single business tax (TPU); and (vi) modification of the provisions on the advance payment of the import tax (AI: *Acompte sur Impot*) by exempting taxpayers registered with the Directorate of Large and Medium Sized Enterprises (DGME) from this advance payment and by taxing all other importers at the rate of 10 percent. For the latter measure, we will periodically send the list of companies exempt from the AI to the Directorate General of Customs (DGD) and issue a certificate attesting to their status. Finally, on the basis of the first report evaluating tax expenditures, we have included in the 2026 budget law a first series of measures aimed at a gradual reduction of tax exemptions and benefits. This involves the removal of consumption tax (TC) exemptions from an initial list of 12 product categories.

Text Table 1. Union of the Comoros: New Tax Measures 2025–26[1]
(KMF millions and % of GDP)

	KMF mn		% du PIB	
	2025	2026	2025	2026
Recettes fiscales	1,387	5,532	0.2	0.7
Mesures permanentes	100	4,178	0.0	0.6
Politique fiscale	0	2,241	0.0	0.3
Application d'un Acompte sur Impôt (AI) au taux de 10% pour les importateurs non répertoriés à la DGME		909		0.1
Accroissement de l'impôt sur les sociétés (IS) suite à la suppression de l'AI pour les contribuables de la DGME		306		
Suppression de l'exonération de la TC sur 12 produits importés		223		0.0
Autres		803		0.1
Administration fiscale	0	1,193	0.0	0.2
Elargissement de la couverture des contrôles fiscaux	0	689	0.0	0.1
Taxation des nouveaux contribuables identifiés (SIGIT-SYDONIA, recensement, autres sources de données)		324		0.0
Autres		180		0.0
Administration douanière	100	745	0.0	0.1
Renforcement du recouvrement de la TIPP auprès de la SCH	100	500	0.0	0.1
Renfrocement de l'évaluation des marchandises importées	0	230	0.0	0.0
Autres	0	15	0.0	0.0
Mesures ponctuelles	1,287	1,354	0.2	0.2
Recouvrement des arriérés d'impôt sur les sociétés (IS) de la SCH	900	540	0.1	0.1
Recouvrement des arriérés fiscaux de la SCP	0	240	0.0	0.0
Recouvrement des arriérés fiscaux de la SONELEC	0	199	0.0	0.0
Autres	387	375	0.1	0.1
Mesures d'urgence	0	1,228	0.0	0.2
Augmentation du reversement des taxes sur les salaires retenues par les entreprises publiques		600		0.1
Application d'une écotaxe et de la redevance sur les déchets ménagers		430		
Taxation des nouveaux contribuables identifiés suite au recensement effectué par la ville de Moroni		140		0.0
Autres		58		0.0

Sources: Comorian authorities and IMF staff estimates.
[1] Net of yields from the corrective actions for the fourth review and those incorporated in the 2025 baseline projections from the previous reviews.

- Concerning the tax administration, we will ensure that the laws in force are correctly applied. We will continue our efforts to continue increasing the number of active taxpayers by at least 20 percent at the DGME by end-2026 after having raised it by the same proportion at end-2025 (SB). We also plan to continue tax audit campaigns based on the

use of customs data collected through the Integrated Tax Management System Automated System for Customs Data (SIGIT-SYDONIA) interconnection in the second half of 2024 to assess the taxation of new taxpayers and to make tax adjustments. To this end, we prepared an initial audit report of these controls by end-June 2025 (SB) and we began to collect some of the results of these controls in the second half of 2025. We also continued cleaning up the taxpayer registry and made the use of the Tax Identification Number (TIN) more secure by sharing with the DGD the list of active taxpayers with valid TINs; and asks the DGD to monitor importers that do not respect their tax obligations or have tax arrears. We will expand the collection of data from third parties (National Electricity Company of Comoros (SONELEC), National Water Company of Comoros (SONEDE), Public Procurement, Commercial Court, National Investment Promotion Agency (ANPI), banks, telephone operators, etc.); and strengthening collaboration with the private sector, particularly in the context of the joint fight against the informal sector, and the widespread of the application of Consumption Tax. Finally, the interconnection of SIGIT and the databases of all Directorate General of Taxes (DGI) offices on the three islands by April 2026 (SB), the implementation of electronic tax filing and payment at the DGME (new SB 31 December 2026), and the widespread payment of duties and taxes by mobile telephone remain our priorities in the months to come.

- Regarding the customs administration, we will continue to ensure proper and strict enforcement of the texts, rules, and tariffs in effect in SYDONIA. Accordingly, we have: (i) adopted a ministerial decree describing the method of settling customs and similar duties (DDA), the Consumption Tax (TC), and the Excise Duties (DAC) on imports by end-June 2025; (ii) made the necessary corrections and settings in SYDONIA to ensure that the consumption tax base on fully taxed products and the ad valorem excise tax base are applied in September 2025 in accordance with the laws in force (prior action for the fifth review, SB and corrective measure for the fourth review). Moreover, to limit the risk of revenue losses through the use of the immediate release procedure (IM9), we will: (i) put in place a mechanism to monitor the application of the terms of the ministerial decree limiting the use of the IM9 procedure to only medicines, perishable foodstuffs, or dangerous goods (not prohibited) (prior action for the fifth review); (ii) publish quarterly on our website the list of declarations that have benefited from the IM9 procedure; (iii) step up efforts to regularize non-regularized IM9s by collecting at least KMF 2 billion of outstanding debts, estimated at KMF 4.2 billion at end-March 2025 (corrective action for the fourth review); and (iv) assess the new stock of arrears following the use of the IM9 procedure not regularized at end-December 2025 and draw up a plan of clearance actions. We will then publish on our website the Tariff of import and export duties and taxes aligned with the SH 2022 version, and we will continue to implement the main provisions of the Customs Code by adopting the necessary implementing regulations. In collaboration with the SCH, we will ensure that SYDONIA is used for the payment and settlement of the TIPP based on monthly reports on the exit of hydrocarbon storage depots (new SB 30 September 2026). In the meantime, with the support of the TPGU, we will conclude an agreement aimed at improving the collection of the TIPP on a monthly basis. The oversight

of conditional relief regimes and exemptions will be strengthened. Since we failed to meet our objectives of recovering at least 50 percent of the duties and taxes owed under the non-regularized suspensive regimes by June 30, 2024 (SB for end-December 2024), we adopted a ministerial decree establishing the method for calculating the duties due following the regularization of the suspensive regimes and a ministerial decree giving the DGD the prerogative of collecting tax and customs duties arrears in the Union of Comoros (prior action and corrective action for the fourth review) and timely recovery from SCH KMF 1,000 million in TIPP arrears, out of a total KMF 2,587 million arrears covering the period 2019 through June 30, 2024 (SB and corrective measure for the fourth review). Furthermore, to ensure secure use of TINs upon import, we deactivated in SYDONIA all TINs not recognized by the DGI as of April 30, 2024 by end July 2025 (SB). Finally, as part of the implementation of our 2024-2027 Strategic Plan, which incorporates a series of actions drawn from the Union of the Comoros' WTO post-accession action plan, we intend to take a series of measures aimed at implementing the agreements on customs valuation and trade facilitation. This notably involves: (i) the implementation of an electronic payment system for import duties and taxes; (ii) the extension of the electronic customs clearance window to all participants on the customs clearance platform; (iii) the establishment of a Joint Committee on Customs Appeals; (iv) strengthening of the dialogue with the private sector; (v) regulating the profession of customs declarants and framing their remunerations; (vi) improvement of procedures for the valuation and clearance of goods; (vii) improving the selection criteria for customs inspection; (viii) increasing from 10 to 19 the number of high-risk products subject to tariff specification codes (CSTs) by the end of 2025; (ix) implementation of ongoing training plans for customs officers; and (x) strengthening of the unit management system, the internal control and decision-making information systems.

- Between the DGI and the DGD, we have identified and quantified a set of measures that we can implement rapidly in order to compensate for any budgetary slippage that may occur during the year. This will allow us to meet all our fiscal targets in the event of shocks, unforeseen spending pressures, or lower-than-expected revenues. These measures include: (i) rectification of the bases for calculating the tax on real estate income; (ii) the conclusion, with the support of the Directorate for the Management of State Holdings and Monitoring of the Financial Performance of Public Institutions and State Owned Enterprises (DGPEPFEEP) and the Union Paymaster General (TPGU), of taxpayer and compliance agreements with the main SOEs (SONELEC, the Comorian Ports Authority (SCP), SONEDE, Comores Telecom, and the National Office for Rice Import and Marketing (ONICOR) aimed at encouraging them to better comply with their reporting and payment obligations; (iii) continuing to expand the tax base by operationalizing new local tax offices (five in Ngazidja, two in Ndzouani, and one in Mwali), by setting up mobile phone payment of taxes, by conducting censuses with the support of the PAGF project, and by making use of information from multiple sources (Moroni City Hall, ONICOR, the French Development Agency (AFD), World Bank, etc.); (iv) recovery of at least 50 percent of the total outstanding amount, assessed at KMF 472 million at end-2024; and (v) continuing to collect the

remaining uncollected taxes relating to pending suspensive arrangements as of June 30, 2024.

10. We recognize that recent unexpected fiscal expenditures point to serious weaknesses in our public financial management, which we will strive to correct and avoid in the future through appropriate measures. In view of the significant financial difficulties encountered by the two state-owned companies Aeroports Des Comores (ADC) and ComAir in managing the country's airports, we have decided to award the concession of the international airport to an Emirati operator, within the framework of a PPP. The decision resulted in the dismissal of 516 employees at Moroni Airport, and it is expected that another 85 to 100 employees at the two regional airports may lose their jobs as well. In order to avoid economic hardship and wider social repercussions, the government decided to pay indemnities, pay back salaries to regional airport staff, and clear the debt of ComAir and ADC. While we consider these actions necessary to avoid instability, we are aware of their adverse fiscal consequences. At end-October 2025, government expenditures related to compensation for dismissed staff at Moroni airport were about KMF 4.5 billion. The expenditure balance of around KMF 2.8 billion should be accommodated in 2026. Of this amount, about KMF 600 million will cover compensation paid to employees of regional airports, and the remainder will be used to repay debt to state-owned enterprises. We are aware that these expenditures, which were unforeseen in the preparation of the 2025 budget, must be borne by the State, which testifies once again to the serious weaknesses of public financial management. We are committed to avoiding such unsustainable spending overruns in the future (see §5).

11. We are committed to accelerating the pace of public financial management reforms to strengthen fiscal transparency and cash flow management to ensure optimal use of available resources. We are fully committed to the implementation of the Public Financial Management Reform Strategy covering the period 2024-2033, and to monitoring the implementation of its first three-year implementation plan. In this context, we have (i) published the 2025 budget approved by Parliament (SB), which are key steps in improving fiscal transparency; (ii) completed the audit of domestic arrears including cross-arrears with state-owned enterprises (SOEs) (SB); (iii) ensured the daily transfer of tax revenues collected by EXIM Bank, on behalf of the DGI, to the Treasury Single Account at the BCC; (iv) strengthened the table of government financial operations (TOFE) elaboration Committee; (v) promulgated in May 2024 the Presidential Decree on Budget and Accounting Management Regulations (RGBCP) (SB); (vi) appointed the Director General of Public Accounting and Treasury (prior action for the third review under the ECF); (vii) appointed the Director of Management of Government Holdings and Monitoring of the Financial Performance of Public Entities and Enterprises; (viii) annexed to the 2025 Budget Law a detailed cash flow plan (SB); (ix) closed 19 treasury accounts at the BCC that were inactive or had a zero balance (SB); and (x) shared with IMF staff in September 2025 on the macro-fiscal framework supporting the draft 2026 budget law (SB).

12. However, we recognize that complex decision-making procedures, limited resources and capacity, and lack of coordination between relevant departments continue to hamper some key Public Financial Management (PFM) reforms. Accordingly, we plan to implement other key measures, including:

- In consultation with IMF staff, we are planning to update the organizational chart of the Directorate General of Budget (DGB) with the primary objective of clarifying responsibilities, supporting cross-cutting functions, and aligning structures with the innovations of the Law on Government Financial Operations (LOFE) and the RGBCP (taking over the macro-fiscal framing function, sectoral skills development, etc.).
- In accordance with our commitments, we transmitted the macro-fiscal framework including the details of expenditures and receipts for 2026 to the IMF team in a timely manner (SB September 30, 2025). Also, in the context of improving the macroeconomic and fiscal framing process, we will establish the Macro Fiscal Unit (UMB) and plan to append the 2027-2029 budget framework to the 2027 budget law with the support of IMF staff. To strengthen transparency in government finances and in accordance with the provisions of the LOFE for a better reporting to Parliament, in addition to the current attachments to the 2026 budget law, we plan to also annex to the 2027 budget law: (i) the report on the status and development of payment arrears owed by the government; and (ii) the report on the financial position of SOEs (new SB for end-December 2026). We also intend to reform the budget timetable for preparation of the draft budget law, with particular emphasis on the consultation phases of citizens and the private sector. To do this, we plan to proceed in stages, beginning with the adoption of a provisional and simplified budget schedule by administrative note or circular, before adopting the decree establishing the budget process at the end of the two-year pilot phase.
- We are committed to continuing the annual production of detailed cash flow plans that will be annexed to the budget laws, specifying the exact dates for payment of mandatory expenditures (including wages and debt service) as well as the deadlines for the main taxes (TIPP, TC, IS, ITS) (SB achieved at end-June 2025).
- The implementation of the DGCPT 2025 action plan is slowed down considerably by the non-adoption of the organic framework of the DGCPT. We plan to quickly rectify this deficiency in collaboration with the Ministry of Civil Service. We are planning to set up a Central Accounting Agency for the Treasury (ACCT) function within the DGCPT. It will ensure financial and accounting centralization within the DGCPT with a view to being able to produce the General Account of Administration and Finance (CGAF) and consolidate financial and accounting information of the Union. In the end, this function will also be responsible for managing the TSA, a function currently still assigned to the TPGU.
- We have adopted a series of implementation texts of the RGBCP (SB, December 2025) aimed at implementing the latest innovations in budgetary and accounting management of the government, local governments, and State-owned enterprises. These include: (i) the government chart of accounts; (ii) classification of supporting documents for expenditures

and revenues; (iii) General Instruction on Government Accounting; (iv) the status of public accountants; and (v) the list of expenditures without payment authorization and without prior authorization. With the support of our partners, we will continue the adoption of a series of implementation texts, including: (i) the code for the collection of public claims; (ii) the organization of the Public Treasury accounting network; and (iii) the regulations on the reporting of management accounts of the principal government and municipal accounting officers and the accounting officers of public enterprises.

- In the context of continued improvement of the operation of the Treasury Single Account (TSA), in compliance with the legal framework provided for by the Convention of November 27, 2014 on the procedures for the operation and management of the TSA at the BCC, we plan to continue the gradual extension of coverage of the TSA to public administrative entities and transactions relating to extrabudgetary entities. Since January 2025, the BCC has been providing the General Directorate of Public Accounting and the Treasury (DGCPT), the Treasury Paymaster General of the Union (TPGU) and the IMF team daily with consolidated statements of all public accounts held at the BCC (SB). We closed 19 accounts opened at the BCC showing a zero or inactive balance between January and end-March 2025 and integrated the corresponding balances into the Treasury Single Account (SB). We are also committed to closing all government accounts in commercial banks.
- We acknowledge that the Cash Flow Committee created by Order No. 24-074/MFBSB/CAB of December 31, 2024, has not yet fully fulfilled its role of developing the cash flow plan following the recommendations of IMF staff, namely: (i) ensuring consistency between the pace of collection of the main tax revenues of the quarterly cash flow plan and the profile of mandatory expenditure authorizations in the commitment plan; (ii) ensure proper handling of external debt service payments; and (iii) and faithfully track the evolution and the settlement plan for domestic payment arrears owed by the government.
- Even though we published the TOFEs for the four quarters of 2024 by August 30, 2025 (SB), we recognize that the availability, consistency, and quality of budgetary and financial information in the TOFE continue to be an ongoing challenge for our staff. The reforms include the creation of a TOFE elaboration Committee, the adoption of an Action Plan to improve TOFE quality, and the appointment of the Director of the Directorate of Economic and Financial Studies and Reforms, whose responsibilities include supervising the preparation and monitoring of the TOFE. However, these reforms have still not sufficiently improved the process of (i) developing, validating, and transmitting the TOFE to IMF staff no later than 45 days after the quarter under review, in accordance with Article 3 of the order establishing the TOFE elaboration Committee, and (ii) revising, in consultation with IMF staff; and complete finalization of the quarterly TOFEs by the deadlines specified in the Technical Memorandum of Understanding. In this regard, we would like to reiterate our request for assistance in the effective implementation of key reforms concerning the production and publication of the TOFE and cash flow management through the appointment of a resident advisor in Moroni. This expert's immediate tasks will be as follows: (i) assist the TOFE Committee in stabilizing, validating, and improving the quality of

the data and the availability of the TOFE; and (ii) support the Cash Flow Committee in steering and monitoring the cash flow plan.

- We will continue efforts to strengthen the management of the wage bill in accordance with the recommendations of IMF and other partner capacity development missions. This reform aims to: (i) detect "ghost" civil servants and strengthen physical checks of agents; (ii) manage attendance and hours worked; and (iii) optimize the processing and payment of salaries. To achieve this, we have strengthened the regular physical screening of civil servants and the enrollment of all civil servants with their biometric data in the new information system (MX-ID), which is set to replace the current government personnel management information system (GISE). We plan to complete the enrollment process for all employees by end-December 2025 and to begin training employees and deploy the PAYE module of the MX-ID in the first selected pilot sites.
- By end-September 2024, we validated the domestic arrears clearance strategy for 2009-2020 (SB). We have started to clear the arrears between the State and the entities concerned, starting with the Pension Fund. We will continue to implement the clearance strategy while ensuring that cross-arrears settlement practices between the State and the main SOEs are ceased.

13. We intend to continue our efforts to improve governance and strengthen oversight of the state-owned enterprises. The appointment in April 2025 of the Director of the Directorate for the Management of State Holdings and for Monitoring the Financial Performance of Public Institutions and State-Owned Enterprises (DGPESPFEEP), who supervises public institutions and public enterprises, in consultation with the supervisory ministries, made it possible to produce the first expected results of the reform of governance of SOEs. Major SOEs now have boards of directors and agreements on meeting future tax liabilities and settling tax and customs arrears have been concluded. With the support of the IMF, we intend to prepare and have adopted implementing regulations for Law N°24-014/AU of August 27, 2024, on the governance of companies in the Comoros in which the state holds public shareholdings, particularly on the role and composition of boards of directors, the role and responsibility of oversight structures, and the state's shareholder strategy, the compensation rules for officers and directors, and the Code of Ethics for Directors. We will request support from the IMF to strengthen the capacities of DGPESPFEEP staff in the use of the tool for monitoring the performance of SOEs (the State-Owned Enterprise Health Check Tool, or SOE HCT) developed by the IMF Fiscal Affairs Department.

14. We plan to establish and have the main State-owned enterprises accept taxpayer compliance agreements. The DGPESPFEEP, in close collaboration with the DGI, DGD, DGCPT, and DGB, has begun a constructive dialogue with SCH, Comores Telecom, SCP, SONELEC, and SONEDE with a view to preparing a contractual document requiring them to comply with their reporting and payment obligations under the current texts relating to customs duties, taxes, duties, and levies and nontax revenue. This dialogue will be gradually extended to all the main SOEs. Using the information collected under these protocols, we plan to eventually improve

our methods for projecting tax and nontax revenue owed by SOEs. Finally, we will ensure that the main SOEs systematically submit their annual balance sheets and profit and loss statements certified by an external auditor within the stipulated deadlines, while ensuring the standardization of financial information and documents in accordance with the rules of the Organization for the Harmonization of Business Law in Africa (OHADA).

15. We plan to continue the financial audit of SOEs by the General Inspectorate of Finance (IGF) with the support of the DGESPFEEP. After performing the audits of Comores Telecom, ONICOR, and OCOPHARMA, the IGF plans to conduct audits of SONEDE, the National Regulation Authority of Information and Communications Technology (ANRTIC), and the National Agency of Maritime Affairs (ANAM). We undertake to ensure strict monitoring of the implementation of the recommendations arising from those audits and to propose restructuring plans to be implemented with the support of the World Bank. These plans will contain: (i) performance contracts with a view to improving the quantity and quality of services provided; (ii) financial targets; (iii) a workforce adjustment plan; and (iv) reasonable compensation plans for the directors of the SOEs.

Monetary and Financial Policies

16. Monetary policy will continue to safeguard the peg and maintain stability. After reducing the ceiling on liquidity absorption from KMF 15 billion to KMF 10 billion in July, the BCC's Monetary Policy and Reserves Management Committee (MPC) lowered the reserve requirement ratio from 12.5 percent to 10 percent and raised the liquidity absorption ceiling from KMF 10 billion to KMF 12.5 billion in October. It subsequently reduced the maximum interest rate on liquidity tenders from 3 percent to 2.5 percent in January 2026, while again increasing the liquidity absorption ceiling to KMF 15 billion. This decision was motivated by a tightening of liquidity in certain institutions, in a context where banks with surplus liquidity continue not to lend to banks facing liquidity shortages. We will continue to publish the schedule of planned liquidity absorption operations as well as the auction results (amounts offered by the market, amounts absorbed, the marginal rate, and the weighted average accepted bids). The BCC also reaffirms its commitment to strengthening its operational framework. Against this backdrop, we will continue to (i) publish the calendar of planned liquidity absorption operations and their results, and (ii) conduct our monthly liquidity absorption operations at the policy rate. We are committed to implementing the fixed-rate full-allotment, subject to approval by the Monetary Policy Committee, in order to improve monetary policy transmission.

17. The government remains committed to preserving external stability. As of end-September 2025, gross international reserves (GIR) stood around US$357 million, equivalent to about 7.6 months of imports of goods and services and an increase of about US$ 5million compared to end-2024. Cognizant of the importance of maintaining a sufficient level of reserves to effectively cushion against external shocks, we will continue to closely monitor balance of payments developments and consult with the IMF in the event of emerging difficulties, while

avoiding any measures or policies that could create or exacerbate such difficulties. The BCC also stands ready to defend the parity against the euro in the event of significant reserve outflows.

18. Our banking system continues to face significant structural challenges:

- **Weaknesses in the judicial framework continue to constrain the provision of credit to the economy and adversely affect the quality of financial assets.** Difficulties in enforcing collateral and recovering nonperforming loans slow the resolution of impaired assets, discourage private sector financing, and result in a high concentration of credit risk.
- **The lack of financial infrastructure hampers the development of the interbank market**. The interbank market remains inactive owing to the absence of lending instruments and readily available collateral (neither the government nor the BCC issues securities). Against this background, the BCC has established a monthly liquidity absorption mechanism alongside a marginal lending facility. Institutions with excess liquidity regularly participate in these operations through tenders and now hold high-quality collateral, such as the BCC's time deposits, which can serve as eligible collateral for refinancing at the BCC's marginal lending window. With the aim of strengthening refinancing infrastructure for solvent banks with eligible collateral, BCC staff visited the Central Bank of West African States (BCEAO) to draw on its experience, as well as the BEAC to support the operationalization of the emergency liquidity assistance framework, the development of refinancing instruments, and the stimulation of the interbank market.

19. To strengthen the financial sector, the government intends to undertake the following measures:

- **Improve the operating environment of banks by reducing nonperforming loans (NPLs).** Following the report on NPLs as of end-2024 submitted to the President in May (SB), an individual and consolidated audit of the NPLs of the nine banks, finalized in August, included recommendations on, inter alia: (i) the share of NPLs that each bank should write off; (ii) the reform and reactivation of the Court of Arbitration of the Comoros (CACOM), established in 2012; (iii) the establishment of a one-stop shop for the formalization and registration of collateral; and (iv) the creation of a joint public-private asset recovery agency potentially endowed with extrajudicial powers to expedite asset recovery. The BCC will initiate discussions with (i) the banks to obtain their consent to write-off some of the interest and penalties, (ii) development partners for possible support, and (iii) debtors to commit to repaying the remaining amount.
- **Strengthen the financial safety net.** Following IMF technical assistance, we are implementing the new law on the resolution and recovery of financial institutions (LRIF). We are in the process of preparing resolution plans, which will be based on recovery plans prepared by banks based on a model developed with technical support from the World Bank. To date, three banks have submitted their recovery plans. With the support of the IMF, we are also in the process of evaluating the appropriate structure of a resolution funding mechanism and estimating the financing needs. To this end, we will prepare two

draft presidential decrees—one on the financing approach of the ex-ante resolution and the other ex-post—that will be submitted to the government for review and discussion, with a view to selecting the final decree. In addition, the BCC will endeavor to strengthen liquidity management, and over the medium term, will operationalize its emergency liquidity assistance function by establishing a formal emergency liquidity facility (ELA) framework.

- **Strengthen supervision.** On-site inspection reports were finalized in October 2024 for eight banks (except the National Postal and Financial Services Company/Postal Bank of Comoros (SNPSF/BPC), which is undergoing restructuring) by the Directorate of Banking Supervision (DSB). Sanctions have been imposed on banks' management and/or boards for governance and/or financial breaches. We plan to verify the follow-up on recommendations from inspection reports by means of on-site visits for the four banks inspected in 2024. MCM technical assistance over three years will support supervision and capacity building in on-site and off-site supervision. We also need technical assistance both in anti money laundering/combating the financing of terrorism (AML/CFT) supervision and in fintech supervision and regulation. An initial technical assistance mission was conducted by MCM in November for risk-based supervision and will focus on the methodology for evaluating and rating banks. The BCC is also working with its partners, notably the UNDP, to establish a legal and regulatory framework governing insurance activities, oversight of which was recently transferred from the MFBSB to the BCC (DSB). We also need technical assistance to establish the system for supervision of insurance activities.
- **Stabilizing the financial sector.** Three credit institutions in breach of capital requirements are in the process of developing recapitalization plans (end-September SB, proposed to be rephased to end-June 2026). The recapitalization plan for one credit institution has already been validated by the Banking Regulation and Resolution Directorate (DRRB). Those of the other two are in the process of being validated by the DRRB and have recently commissioned audit firms to review their financial statements and draft recapitalization plans. A fourth bank is already under resolution, with ongoing discussions about potential foreign investor participation, while the fifth—the SNPSF—has been restructured into BPC. Recapitalization plans will need to be credible and, in the event of divestments, this should be preceded by thorough restructuring and recapitalization, supported by budgetary resources, and accompanied by sound governance reforms. We will consider the possibility of proposing for resolution those institutions that are unable to meet these deadlines, insolvent, or nonviable. Any use of public budgetary resources should be subject to conditions that minimize the risk of moral hazard and should include that: (i) the provision of temporary funding is necessary to protect financial stability and will allow the implementation of the resolution option best suited to achieving the resolution objectives; (ii) private funding sources have been exhausted or would not allow for the achievement of those objectives; (iii) losses are imposed first on shareholders and, where appropriate, on creditors and the financial industry.
- **Strengthen financial infrastructure.** We are aware that a certain number of prerequisites

must be met for the development of a government securities market in coordination with the Treasury Directorate. Obstacles persist, such as: (i) insufficient cash management; (ii) absence of a unit responsible for issuing Treasury securities within the Debt Directorate of the MFBSB; (iii) insufficient human and technical resources; and (iv) capacity for debt management and liquidity forecasting that needs strengthening; (v) the preparation of a medium-term debt strategy, and (vi) the development of a sufficiently broad and diversified investor base., In parallel, we benefited from technical assistance from the IMF to issue short-term (1-month) treasury bills to cover our cash flow needs. The first treasury bill operations will be conducted on a monthly basis during the pilot phase, which is expected to last 6 months to 1 year, as soon as the preconditions agreed with the technical assistance mission have been met. In accordance with the mission's recommendations, and as a precautionary measure to avoid undermining the credibility of the securities market, during this pilot phase, the issuance volumes will be subject to a prudent ceiling. Depending on the results of the pilot phase, the ceiling on outstanding treasury bills could be raised, and longer maturities (3, 6, and 12-month bills) could then be issued in stages.

20. We are continuing with the restructuring of the SNPSF:

- The granting of the banking license to BPC in January 2025 (end-March SB) marked a key milestone in the restructuring of the SNPSF, and the withdrawal of its license to operate as an authorized financial intermediary in May 2025.
- The final audit of the financial statements of the former postal bank SNPSF has been completed. It estimated SNPSF losses at KMF 1.8 billion at end-December 2024. The audit also provided the opening balance sheets of BPC, La Poste, and SNPSF Liquidation as at January 1, 2025, as well as the new recapitalization requirement of BPC.
- The government has begun to repay the maturities of the Treasury bills for the recapitalization of BPC—in the amounts of KMF 3.38 billion and KMF 600 million issued in October and December 2024, respectively, to be repaid over 4 years (SB as of July 15).
- The defeasance vehicle (SNPSF Liquidation), created by presidential decree in March 2025 and to which we appointed a manager in September, plans to use the proceeds from collection of NPLs to repay these Treasury bills. In October, we assigned 10 BPC officers to the SNPSF Liquidation to work on the recovery of impaired assets of the SNPSF within a five-year horizon at the latest.

21. We are committed to operationalizing BPC

- We have combined all of the BPC accounts previously sequestered with the BCC into two—an operational account and an investment account—so that BPC can begin the process of purchasing equipment for its operations.
- We are continuing to apply the cap on bank loans at KMF 5 million, even though this is weighing on the profitability of the BPC. Removal of the cap will be considered only after the new information system (IS) is fully operational and the internal AML/CFT procedures

have been approved by the new BPC Board (appointed in October).

- According to the opening balance sheet of January 1, 2025 prepared by the Mazars firm, a recapitalization requirement of KMF 5.459 billion was identified. Taking into account the KMF 3.982 billion bond issued by the government, there emerged a gap of KMF 1.477 billion to be covered by the shareholder. However, the BCC prefers to await the validation of BPC's accounts closed at December 31, 2025, by Pluriex. This validation will make it possible to comprehensively assess the new overall gap to be recapitalized, taking into account both fixed asset investments committed during 2025 and losses that will be recorded. Following this, the BPC will update the recapitalization plan, which will allow us to close the financing gap through issuance of a new Treasury bond.
- BPC is preparing all the components required by the AFD to unlock the planned support for capitalization and technical assistance, the needs of which were assessed in June by an AFD mission. In particular, the BPC should validate internal procedures relating to anti-money laundering and combating the financing of terrorism, certify its opening balance sheet, and update its capitalization plan and five-year business plan.

Strengthening Governance and Reducing Vulnerabilities to Corruption

22. The government will continue to take measures to improve governance and reduce vulnerabilities to corruption:

- **Rule of law:** Our legal system needs to be strengthened to secure property rights and enforce contracts, with a view to supporting private sector development and improving the business climate. We have taken steps to strengthen the efficiency of the judicial system, including by upgrading its equipment. These efforts have helped speed up the processing of court cases and strengthen the integrity and efficiency of the system with the support of the EU.
- **Fiscal transparency.** The measures discussed above on strengthening public financial management (PFM) and improving oversight of SOEs will be important contributors to strengthening governance, as will our efforts to improve financial accounting and reporting. In June 2023 we published the results of the audit of expenditures of IMF emergency financing provided under the RCF and the April 2020 RFI. To further enhance fiscal transparency, we are regularly publishing comprehensive information on all public procurement contracts, including beneficial ownership information, whenever available, starting May 1, 2024 (continuous SB). We laid the foundation for these publications by issuing a circular regarding the submission to a nominated procurement agency of documentation on all public procurement contracts along with the names of awarded companies and the name(s) of their beneficial owners. We will ensure the continued implementation of these requirements and follow-up on their publication. We have published for the first time the four quarterly tables of the TOFE for 2024 (SB for end-August 2025) and we are committed to publishing the TOFEs regularly and on a timely basis in the coming years.

- **Anti-corruption.** We adopted a new anti-corruption law in June 2023 and established the Anti-Corruption Chamber (ACC) in May 2024. With technical assistance from the IMF, we finalized in June 2025 a roadmap for the implementation of the asset declaration framework under the mandate of the ACC. Based on this roadmap, and while adjusting its ambitions with the help of available donors, the ACC will operationalize the asset declaration framework by end-June 2026, allowing the public on-demand access to extracts of the asset declarations of senior public officials for 2025, in line with the anti-corruption law (proposed end-June 2026 SB). We plan to request a governance diagnostic, which could help identify macro-critical governance and corruption vulnerabilities (DG) to help identify macro-critical governance and corruption vulnerabilities. The DG's recommendations will inform our future reform agenda aimed at strengthening governance, the rule of law and the fight against corruption. In addition, following the efforts of the Anti-Corruption Chamber and the political will displayed by the authorities, the Union of the Comoros is rejoining the UN Anti-Corruption Mechanisms. In this regard, the government is preparing to conduct the next assessment cycle and, to that end, has appointed government experts as part of this United Nations Office on Drugs and Crime (UNODC) process. In this vein, and with support from the UNDP, the Chamber has just developed a National Anti-Corruption Strategy in November 2025. This strategy will be made public by His Excellency the President of the Republic during an official ceremony.
- **Management of the civil service.** Our civil service is facing capacity constraints, and we are taking steps to strengthen it. We will continue our efforts to combat absenteeism and recover wages paid to "ghost workers". To this end, we have stepped up physical screening of agents at their workstations and are continuing efforts to computerize the government personnel management system. We are also exploring the possibility of strengthening recruitment through a competition/entrance examination in all sectors of the civil service; strengthening the training of civil servants by creating a national public administration school; and establishing a performance management system. We will avoid staff hiring that is not provided for in the budget laws or that does not comply with legal texts and procedures.

23. The government will strengthen the effectiveness of the AML/CFT framework. The AML/CFT law, aligned with international standards and developed with support from the World Bank, was adopted by Parliament and promulgated in July. In October, our Financial Intelligence Unit sent to the Intergovernmental Action Group against Money Laundering in West Africa (GIABA) a report on our efforts to improve our technical compliance with the FATF standard that will be discussed in plenary in May 2026, which will facilitate GIABA's follow-up on our technical compliance. We continue to seek partners' support for the implementation of our priority action plan to incorporate the GIABA recommendations.

24. The Central Bank continues to make steady progress in implementing the 2023 safeguards assessment recommendations. This includes resuming financial statement preparation in accordance with international standards and addressing remaining system constraints to enhance transparency. Following recent amendments to our Charter, we are also

rolling out broader governance reforms. In coordination with IMF staff, we have initiated a repayment plan of the long-term loan linked to the 2021 IMF SDR allocation. Parallel efforts to strengthen the internal audit function, improve oversight mechanisms, and ensure the timely publication of the annual financial statements are also ongoing. To consolidate these reforms, we are investing in capacity building for our internal audit staff. To that end, we engaged an external firm to provide IFRS training and requested technical assistance from development partners. These initiatives are expected to strengthen the internal audit department's ability to conduct risk-based audits and provide enhanced assurance on financial reporting. In line with safeguards recommendations, we are also in the process of revising the Internal Audit Charter to formalize the functional reporting of the Internal Audit Unit to the Audit Committee and its administrative reporting to the Governor. This reform will help strengthen the independence and effectiveness of the internal audit function and better align our governance framework with international best practices.

Data Improvement

25. The government recognizes that Comoros' economic and financial data have serious deficiencies in almost all sectors that impede economic analysis and policy formulation and implementation. The government commits to ensure that the National Institute of Statistics and Economic and Demographic Research (INSEED) will have sufficient qualified financial and human resources to collect timely price data and update the national accounts, in connection with the project from the World Bank, the IMF, and other partners to support the statistical capacities.

Program Monitoring

26. The program is monitored through prior actions, quantitative performance criteria, indicative targets, and structural benchmarks as listed in Tables 1-3. The program is subject to semi-annual reviews. The sixth and seventh reviews will take place on or after March 30, 2026 and September 30, 2026, and will be based on the test dates of end-December 2025 and end-June 2026, respectively. The technical memorandum of understanding describes the definitions of the key indicators as well as the data reporting requirements.

Table 1. Union of the Comoros: Quantitative Performance Criteria and Indicative Targets, March 2025 – December 2026

(Millions of Comorian francs; Cumulative Since End of Previous Year, Unless Otherwise Specified)

	2025							
	End-March				End-June			
	Indicative targets				Performance Criteria			
	Prog.	Adjusted	Actual	Status	Prog.	Adjusted	Actual	Status
Quantitative Performance Criteria[1]								
1. Floor on Tax Revenues	12,497.0		13,068.1	Met	28,118.3		28,640.6	Met
2. Floor on the Primary Domestic Fiscal Balance[2]	-6,292.8		-5,535.3	Met	-8,390.3		-9,749.9	Unmet
3. Floor on the Level of Net International Reserves	112,130.3		124,415.3	Met	112,007.4		127,472.2	Met
4. Ceiling on New Nonconcessional External Debt Contracted or Guaranteed by the Government (millions USD)[3]	0.0		0.0	Met	0.0		0.0	Met
5. Ceiling on Accumulation of New External Arrears (millions USD)[3]	0.0		2.1	Unmet	0.0		1.2	Unmet
Indicative Targets[1]								
6. Ceiling on the Accumulation of New Domestic Payments Arrears, Net	0.0		-853.1	Met	0.0		-1,263.1	Met
7. Floor on Social Cash Transfers[4]	...				...			
8. Floor on Cash-for-work, Livelihood Grants, and Technical Training	353.1	234.5	234.5	Met	585.6	413.7	413.7	Met
9. Ceiling on the Net Domestic Financing of Government[5]								
Memorandum Items								
Ceiling on Contracting and Guaranteeing of New External Concessional Borrowing by the Government (millions USD)[6]	14				14			

	2025								2026				
	End-September				End-December				End-March	End-June	End-September	End-December	
	Indicative targets				Performance Criteria				Indicative targets	Performance Criteria	Indicative targets	Performance Criteria	
	Prog.	Proposed	Actual	Status	Prog.	Proposed	Actual	Status	Prog.	Proposed	Proposed	Prog.	Prog.
Quantitative Performance Criteria[1]													
1. Floor on Tax Revenues	47,552.5		45,567.5	Unmet	65,589.6				17,814.2	16,232.5	34,062.0	51,438.5	71,776.4
2. Floor on the Primary Domestic Fiscal Balance[2]	-6,025.2		-11,601.5	Unmet	-8,033.6				-2,123.0		-3,449.9	-3,980.6	-6,288.6
3. Floor on the Level of Net International Reserves	112,030.4		132,888.0	Met	112,250.0				114,748.2		117,246.5	119,881.1	117,519.1
4. Ceiling on New Nonconcessional External Debt Contracted or Guaranteed by the Government (millions USD)[3]	0.0		0.0	Met	0.0		0.0	Met	0.0		0.0	0.0	0.0
5. Ceiling on Accumulation of New External Arrears (millions USD)[3]	0.0		1.5	Unmet	0.0		0.0	Met	0.0		0.0	0.0	0.0
Indicative Targets[1]													
6. Ceiling on the Accumulation of New Domestic Payments Arrears, Net	0.0		-1,941.5	Met	0.0				0.0		0.0	0.0	0.0
7. Floor on Social Cash Transfers[4]	...				...				...		...	...	...
8. Floor on Cash-for-work, Livelihood Grants, and Technical Training	803.3	413.7	413.7	Met	966.2	622.4	622.4	Met	353.1		585.6	803.3	966.2
9. Ceiling on the Net Domestic Financing of Government[5]	...				...				...		804.6	...	2,438.1
Memorandum Items													
Ceiling on Contracting and Guaranteeing of New External Concessional Borrowing by the Government (millions USD)[6]	27				78				14		14	27	78

Source: IMF Staff.

[1] Definitions of targets and adjustors are provided in the Technical Memorandum of Understanding (TMU).

[2] Starting in 2025, this target accounts for the new definition of the primary domestic fiscal balance as per the TMU.

[3] Continuous performance criteria, cumulative since beginning of calendar year. For external arrears, reported outturn for each quarter corresponds to amount of external arrears accumulated during the calendar year that remain outstanding at the end of the quarter. Starting in 2024, external arrears exclude loans to BADEA and Exim India which are under discussion (see TMU for details).

[4] The cash transfers program ended as of December 31, 2024.

[5] New Indicative Target for end-June and end-December, effective as of end-June 2026.

[6] Cumulative since the start of the program.

Table 2. Union of the Comoros: Proposed Prior Actions and New Structural Benchmarks, 2025–26	
Suggested Measures	**Proposed Timeline**
A. Eligible actions	
The General Directorate of Customs (DGD) to provide documented evidence of: (i) corrections and parameter settings in SYDONIA to ensure application, in line with existing regulations, of (a) the tax base of the consumption tax on fully taxed imported products and (b) the tax base for excise duties on imports; and (ii) the effective application of the ministerial decree limiting the immediate release procedure (IM9) to medicines, perishable or (non-prohibited) hazardous goods	Prior Action
The authorities to provide the IMF with documentations related to payments for airport layoffs, including but not limited to (i) official documents approving the decision to undertake the social protection package; (ii) official documents validating the amounts of the payout; (iii) anonymized list of laid off workers showing their functions, years of service, and payout received; (iv) loan contracts for financing the payout	Prior Action
The Ministry of Finance to adopt a supplementary 2025 budget to regularize the unplanned social spending for fiscal transparency	Prior Action
Submit measures to Parliament to underpin fiscal consolidation in 2026	Prior Action
B. Fiscal Structural Reforms	
Activate tax e-filing and payments for medium and large taxpayers	December 31, 2026
The Ministry of Finance to publish the tax expenditure report completed in 2025 with IMF support	February 27, 2026
Integrate in SYDONIA the settlement of the domestic tax on petroleum products (TIPP) based on monthly statements of withdrawals from fuel depots.	September 30, 2026
Append to the 2027 Budget: (i) the report on the status and evolution of domestic payment arrears owed by the State, and (ii) the report on the financial situation of public enterprises for the year 2025	December 31, 2026
C. Structural governance and anti-corruption reform	
The Anti-Corruption Chamber will operationalize the asset declaration framework by enabling public access, upon request, to extracts of high-level officials' asset declarations for 2025, in accordance with the anti-corruption law	June 30, 2026

Table 3. Union of the Comoros: Status of Structural Benchmarks, 2023–25		
Structural Benchmark	**Date**	**Status**
A. Fiscal Structural Reforms		
Tax Administration Measures		
Establish the Large and Medium Taxpayer Office (Direction des Grandes et Moyennes Entreprises)	July 31, 2023	Met
Remove the fee for getting a NIF (Numero d'Identification Fiscale) and the requirement to renew it every 3 years and ensure that all taxpayers have a NIF adapted to the SIGIT platform	September 30, 2023	Met
Raise the number of active taxpayers by 10 percent at the Large and Medium Taxpayer office (from 543 at the large taxpayer office and the medium and small taxpayer office, as of March 31, 2023) and send all these taxpayers requests to file tax declarations	December 31, 2023	Met
Interconnect the SIGIT and SYDONIA platforms to enable automated exchange of data between DGI and customs	December 31, 2023	Met
The DGI to produce an audit report showing tax adjustments in the second half of 2024, resulting from the identification and taxation of new taxpayers based on data exchanges with customs through the SIGIT-SYDONIA interconnection	June 30, 2025	Met
Deactivate all Tax Identification Numbers (TINs) in SYDONIA that were not recognized by the DGI	July 31, 2025	Met
Raise the number of active taxpayers by 20 percent at the Large and Medium Taxpayer Office (DGME) (from 676 as of September 30, 2024, to at least 811 by the end of 2025) and send all these taxpayers requests to file tax declarations	December 31, 2025	Met
The DGI to interconnect the SIGIT software with the databases of all DGI offices in all three islands	April 30, 2026	
Customs Reforms		
Complete the *de jure transfer* of the management of fuel products taxes to the customs administration after already having completed the transfer *de facto*	June 30, 2024	Met
Issue ministerial decrees to implement the customs code	June 30, 2024	Met
General Directorate of Customs to complete an arrears report, identifying taxpayers with outstanding customs duties under the suspensive regimes as of June 30, 2024, and specifying the due dates on those customs duties	September 30, 2024	Met
The General Directorate of Customs (DGD) to carry out corrections and parameter settings in SYDONIA to ensure application, in line with existing regulations, of: (i) the tax base of the consumption tax on fully taxed imported products; and (ii) the ad valorem base for excise duties on imports	June 30, 2025	Not met; reworded version has become proposed Prior Action, see Text Table 6
Issue a circular note describing the modalities for settling customs duties and similar taxes (DDA), the consumption tax (TC), and excise duties (DA) on imports	June 30, 2025	Met

Table 3. Union of the Comoros: Status of Structural Benchmarks, 2023–25 (continued)		
Structural Benchmark	**Date**	**Status**
The General Directorate of Customs (DGD) to recover from the Comorian Hydrocarbon Company (SCH) at least KMF 1,000 million in arrears of domestic taxes on petroleum products (TIPP), out of a total of KMF 2,587 million in arrears covering the period from 2019 to June 30, 2024	September 30, 2025	Met
General Directorate of Customs to recover at least 50 percent of the uncollected customs duties under the suspensive regimes that were overdue as of June 30, 2024	September 30, 2025	Met
Tax Policy Measures		
Establish a Tax Policy Unit that reports to the Minister of Finance, with TA from FAD	September 30, 2024	Met
Ministry of Finance to conduct tax expenditure analysis starting with customs duties and indirect taxes	October 31, 2025	Met
PFM Measures		
Complete the audit of domestic arrears, including cross-arrears between SOEs and the government	December 31, 2023	Met
Appoint Director of the General Directorate of Public Accounting and the Treasury	March 31, 2024	Not met, completed as a Prior Action for 3rd ECF Review
Finalize and promulgate the presidential decree on the Budgetary and Accounting Management Regulations	April 30, 2024	Not met, completed in May 2024
Publish the annual 2024 budget approved by Parliament	April 30, 2024	Met
Ministry of Finance to request BCC to provide daily consolidated statements on all government accounts at the BCC to the General Directorate of Public Accounting and the Treasury (DGCPT), the Union's General Treasury Paymaster, and the IMF	June 30, 2024	Met
Develop a medium-term action plan to clear domestic arrears	September 30, 2024	Met
The Ministry of Finance to formally request from its creditors, and communicate to the IMF, an updated schedule of medium-term debt service (2025-2027) for all disbursed debt as of the end of 2024	December 31, 2024	Met
In accordance with certain provisions of Decree No. 009-081/PR of July 20, 2009, which establishes a Government Cash Flow Plan, adopt a ministerial decree to (i) define the nature and classification of mandatory expenditures, and (ii) create a Treasury Committee responsible for the development and monitoring of the Government Cash Flow Plan, defining its composition and setting out its missions and operating procedures	December 31, 2024	Met

Table 3. Union of the Comoros: Status of Structural Benchmarks, 2023–25 (continued)		
Structural Benchmark	**Date**	**Status**
The BCC to provide the DGCPT and the Union's General Treasury Paymaster (TPGU), with a copy to the IMF, the daily balance of each government account held at the BCC, except for accounts related to projects funded by international partners, and those for national security and the presidency	Every workday starting from January 1, 2025	Met
The Debt Directorate at the Ministry of Finance to provide the IMF and the BCC with the external debt situation compiled by the debt management software CSDRMS	15th of the following month, starting from January 15, 2025	Met
The BCC to close the 19 government accounts at the BCC that had zero balances or were inactive as of May 12, 2025, and integrate those balances into the Treasury Single Account	June 30, 2025	Met
Attach to the 2025 Budget Law the detailed cash flow plans specifying the exact payment dates for mandatory expenditures (including salaries and debt service) and the due dates for major taxes and duties (TIPP, TC, IS, ITS) (see example in the TMU)	June 30, 2025	Met
The Ministry of Finance to publish the Government Financial Operations Tables (TOFE) for the four quarters of 2024	August 30, 2025	Met
The General Directorate of Budget to share with the IMF team the macro-budgetary framework, including details on expenditures and revenues, which will serve as the basis for the 2026 Budget Law	September 30, 2025	Met
Finalize the implementing regulations of the Decree on Budgetary and Public Accounting Management Regulations (RGBCP), including: (i) the Government Chart of Accounts (PCE); (ii) specification of supporting documents for expenditures and revenues; (iii) guidelines on Government Accounting; (iv) the roles and responsibilities of public accountants; and (v) list of expenditures that can be paid without prior authorization or prior scheduling	December 31, 2025	Met
B. Financial Sector Reforms		
SNPSF Restructuring		
BCC to set up a resolution unit which is structurally separated from the Supervision Department, and reports separately to the BCC Board	June 30, 2023	Met
Appoint managing director at BPC with management expertise and experience in banking and credit risk management to operationalize the BPC according to the business plan developed under the SMP	August 31, 2023	Met
Submit to BCC an application for a banking license for the Banque Postale des Comores, which would specify a business plan, a management team, and a capital injection plan that are in line with MEFP ¶15 of the ECF Request	August 31, 2023	Met

Table 3. Union of the Comoros: Status of Structural Benchmarks, 2023–25 (concluded)		
Structural Benchmark	**Date**	**Status**
Submit to Parliament the statutory resolution framework that includes the three points recommended in the MCM TA report, "Operationalization of the Bank Resolution Act of September 2022," to align with international standards	May 31, 2024	Met
BCC to complete onsite inspections to assess the quality of credit portfolios	December 31, 2024	Met
The BCC to issue a banking license for the BPC, with a credit ceiling of KMF 5 million which will only be in place during the establishment of the information system and until the BCC board can review the relevance of this "specific modality" of the banking license when the DSB has validated the operationalization and reliability of this information system	March 31, 2025	Met
The postal bank BPC to be capitalized in cash with the redemption of the Treasury bond payment due in 2025	July 15, 2025	Met
Measures to Enhance BCC's Supervision and Resolution Capacity		
NPL Commission to submit a report to the President on NPL developments and work of the Commission to resolve NPLs during 2024	May 31, 2025	Met
Approval by the BCC of a formal timebound recapitalization plan to be adopted by each Comorian deposit-taking institution in breach of capital adequacy requirements	September 30, 2025	Not met, to be reset to end-June 2026
C. Institutional, Governance and Anti-Corruption Reform		
Adopt into law the draft anti-corruption law that was aligned with the SMP objectives to enhance preventive measures against corruption, strengthen the rules related to conflicts of interest, and improve the asset declaration system for senior public officials, while providing for the creation of an operationally independent and autonomous Anti- Corruption Chamber with the mandate to set up and coordinate implementation of the country's anti-corruption policy priorities	June 30, 2023	Met
Publish the full audit report of spending financed by the IMF emergency support in 2020	June 30, 2023	Met
Operationalize an independent and autonomous anti-corruption agency in line with the draft anti-corruption law	December 31, 2023	Not Met, completed in May 2024
Publish online information on public procurement contracts, including beneficial ownership information, in line with the roadmap published in 2021	Continuous, starting on May 1, 2024	Met
Promulgation by the President of the Union of Comoros of the amended statutes of the BCC in line with IMF staff advice	April 30, 2025	Met

Attachment II. Technical Memorandum of Understanding

Moroni, Union of the Comoros, January 28, 2026

This Technical Memorandum of Understanding (TMU) defines the concepts, adjustment mechanisms, and data reporting requests relating to the quantitative targets provided in Table 1 of the Memorandum on Economic and Financial Policies (MEFP).

A. Definitions and Computation Methods

1. For the purposes of this TMU, external and domestic are defined on a residency basis, and the program exchange rate is the average rate projected in 2023 as of end-April 2023, specifically 462.8 KMF per U.S. dollar, 491.97 KMF per euro, 617.32 KMF per SDR, and 612.44 KMF per AfDB Accounting Unit.

2. Unless otherwise indicated, the term government refers to the central government of the Union of the Comoros. Local governments, the Central Bank of Comoros (BCC), and any public entity with independent legal status, including state-owned enterprises, are excluded from the definition of government.

3. Government domestic revenue comprises all tax and non-tax revenue of the government as reported in the Table of Government Financial Operations (TOFE) reported by the Ministry of Finance, Budget, and the Banking Sector. Revenue is assessed on a cash basis. It includes any tax revenue withheld by the Treasury at the source (such as on the salaries of civil servants) but not tax revenue withheld by SOEs in compensation for services provided to, or debt owed by, the government. Revenue includes recovered tax arrears but excludes outstanding tax arrears. Proceeds from grants, loans, and asset sales do not count as domestic revenue. Starting in 2025, non-tax revenue no longer includes the CCIA (tax to support the Chamber of Commerce, Industry and Agriculture) collected by the General Directorate of Customs.

4. Government domestically financed expenditure comprises all government spending including spending financed by budget support grants or loans, non-concessional loans, and loans contracted for spending on El Maarouf hospital, but excludes expenditure financed by all other project-specific external grants or concessional loans (such as technical assistance, project maintenance, vaccines, World Bank financing for strengthening the social safety net, external funding related to the African Union presidency, or investments in fixed assets). Recapitalization and restructuring costs of state-owned enterprises, such as the BPC/SNPSF, are also excluded from expenditure; recapitalization costs are instead recorded as acquisition of assets under "financing" (i.e., "below the line"). Spending is assessed on a payment-order basis but includes also spending executed before payment authorization and not regularized. Starting in 2025, domestically financed expenditure also includes spending related to the Redevance Administrative Unique (RAU)

collected by the General Directorate of Customs and which were not previously part of the budgetary spending or budget regularization processes.[1]

5. The domestic primary fiscal balance is defined as domestic revenue less domestically financed expenditure, defined above, excluding interest payments.

6. Net domestic (¶1) **financing** (**NDF**) **of the government** (¶2) is defined as the sum of: (i) the change in net domestic bank credit to the government; and (ii) net domestic non-bank financing of the government.

- **Net domestic bank credit to the government** is defined as the government's financial liabilities (¶7) net of financial claims vis-a-vis the BCC and domestic banks, where:
  - Financial liabilities include all debt: (i) to the BCC (i.e., statutory advances and other loans or debt instruments), excluding BCC on-lending of IMF credit; and (ii) to domestic commercial banks (i.e., salary-related loans and other loans or debt instruments), excluding debt instruments issued for recapitalization purposes.
  - Financial claims comprise deposits and other financial assets of the government held with the BCC and domestic financial institutions, excluding: (i) the net acquisition of financial assets arising from the recapitalization of domestic banks; (ii) earmarked accounts funded by external loans or grants; and (iii) any other accounts whose counterpart is a non-resident entity.
- **Net domestic non-bank financing of the government** is defined as the sum of: (i) the change in the stock of government domestic debt not held by the banking sector; and (ii) proceeds from the sale or privatization of non-financial assets.

7. Net international reserves (NIR) of the BCC are defined for program-monitoring purposes as reserve assets of the BCC minus short-term external liabilities at remaining maturities and all credit outstanding from the IMF. Reserve assets are defined as external assets readily available to, and controlled by, the BCC and exclude pledged or otherwise encumbered external assets, assets used as collateral or guarantees for third-party liabilities, or assets that are not fully convertible. Securities whose market value on the last day of the year differs by over 20 percent from their original nominal issue price will be assessed at their market value as reported by the BCC. When calculating NIR, all values are to be converted to the actual mid-point market exchange rates prevailing at the test date.

8. Debt is defined as in ¶8 of the Guidelines on Public Debt Conditionality in Fund Arrangements, adopted by Decision No. 16919-(20/103) of the Executive Board (October 28, 2020). "Debt will be understood to mean a current, i.e., not contingent, liability, created under a contractual agreement through the provision of value in the form of assets (including currency) or services, and which requires the obligor to make one or more payments in the form of assets

[1] This definition impacts the end-March 2025 indicative target and end-June 2025 quantitative performance criterion on the domestic primary balance and for the remainder of the program.

(including currency) or services at some future point(s) in time; these payments will discharge the principal and/or interest liabilities incurred under the contract."

9. A debt is considered concessional if it includes a grant element of at least 35 percent, and non-concessional otherwise. The grant element is the difference between the nominal value of the debt and its net present value, expressed as a percentage of the nominal value. The net present value of the debt at the date on which it is contracted is calculated by discounting the future stream of debt service payments due using a 5 percent discount rate.

10. Domestic (external) payment arrears of the government are defined as any of the following: (i) invoices that a spending ministry has received from a resident (non-resident) supplier of goods and services and for which payment has not been made within 90 days from the date the payment order (*ordonnancement*) was cleared, unless it can be ascertained that the goods and services in question were not delivered; (ii) in the case of specific contracts between resident (non- resident) parties and the government, any obligations (including debt service) that have not been paid at the time stipulated in the contracts, including any applicable grace period; (iii) tax credits confirmed by the proper authorities after review, and not paid within 90 days from the date when the payment order was issued; or (iv) wages and salaries and any payments to a government employee that were due to be paid in a given month but remained unpaid on the 30th day of the following month. Arrears exclude debt service **that the creditor has forgiven or rescheduled to a later date.**

11. Social cash transfers refer to cash transfers supporting vulnerable households that have a direct effect on reducing poverty, including those financed by international development partners. Transfers related to cash for work, livelihood grants, and technical training refer to cash transfers that support vulnerable households in livelihood and income-generating activities supported by the World Bank's Shock Responsive and Resilient Social Safety Net Project (PFSS-RRC) in Comoros.

B. Quantitative Performance Criteria and Indicative Targets

12. Unless otherwise stated, all quantitative targets (MEFP Table 1) will be assessed cumulatively from the beginning of the calendar year.

13. The floor on tax revenue is the tax portion of government domestic revenue described in ¶3. Thus, the sought-after increase in tax revenue specified in Table 1 of the MEFP will have to be realized entirely in the cash portion of domestic revenue.

14. The floor on the domestic primary fiscal balance (as defined in ¶5) will be adjusted as follows:

- The end-2025 and end-2026 floor on the domestic primary fiscal balance will be fully adjusted downward (i.e., more negative) for unexpected spending on COVID-19 vaccinations that is not financed by support for vaccinations from development partners such as the World Bank.

- The quarterly floor on the domestic primary fiscal balance will be adjusted upward (i.e., less negative) by one half of the amount by which domestic revenue (tax and non-tax) exceeds expectations. As a result, the authorities will be able to spend half of any excess revenue. For reference, domestic revenue at end-December 2025 is projected to reach KMF 73,655.8 million. For end-March, end-June, end-September, and end-December 2026, the domestic revenues are projected to reach KMF 18,381.1 million, KMF 38,671.0 million, KMF 60,349.7 million, and KMF et 82,406.4 million, respectively.
- Given the definition of domestic revenue (¶3), the floor on the domestic primary fiscal balance will not be adjusted for unexpected changes in budget grants and loans. This implies that any additional budget support above expectations must be saved or used to reduce debt, while any shortfall in budget support would not require raising revenue or cutting spending to offset the lower budget support. Note that the previous bullet continues to apply even if budget support is lower than expected.

15. The ceilings on NDF of the government (defined in ¶6) will be adjusted:

- Upward (downward) by the amount of any shortfall (excess) of actual relative to programmed external budget support, defined as grants and loans.
- Upward (downward) by the **net change in the stock of domestic arrears** below (above) programmed amounts.

16. The floor on net international reserves of the BCC will not be adjusted for unexpected changes in budget grants and loans. The reason is that the current level of reserves is adequate, hence significant further accumulation is not needed, but their level should not fall below the floor of 6.8 months of imports that is assessed be adequate for Comoros.

17. The ceiling on domestic arrears applies to the net accumulation of domestic arrears from the beginning of the calendar year. This accumulation will be assessed by subtracting clearance of arrears incurred in the current year or earlier from gross accumulation of new arrears in the current year. The **ceiling on external arrears** applies continuously to the gross accumulation of new external arrears from the beginning of the calendar year (in other words, there should be no new external arrears accumulated at any point in time). Starting from January 1, 2024, the program definition of new external arrears exclude debt to the Arab Bank for Economic Development in Africa (BADEA), for which an alternate creditor has been found, and debt to Exim Bank India, which relates to a power plant project under dispute and for which the Comorian authorities are seeking solutions with the Indian government. These exclusions are made on a temporary basis for these specific loans that are under discussion/dispute. This continuous performance criterion will be monitored continuously by the authorities and any nonobservance will be reported promptly to the Fund. For reference, the net accumulation of domestic arrears up to the end of 2024 is estimated at -4,494 million KMF (i.e. a net decumulation).

18. The floors on social cash transfers and transfers related to cash for work, livelihood grants, and technical training (as defined in ¶10) will be adjusted downward for shortfalls in the

disbursements of World Bank grants for these projects. Similarly, they will be adjusted upward for disbursements above the projected amounts. For reference:

- The cumulative amount expected for social cash transfers at end-December 2025 is US$ 2,087,726 (or KMF 966.2 million at the program exchange rate defined in ¶1).
- The cumulative amounts expected for transfers related to cash for work, livelihood grants, and technical training are as follows:

Text Table 1. Union of the Comoros: Disbursements by the World Bank for the PFSS-RRC Transfers for Cash for Work, Livelihood Grants, and Technical Training
(Cumulative Since Start of the Year)

	U.S. dollars	Millions KMF at the program exchange rate defined in ¶1
End-March 2025	506,698	234.5
End-June 2025	1,265,341	390.6
End-September 2025	1,735,739	472.0
End-December 2025	2,087,727	966.2
End-March 2026	762,965	353.1
End-June 2026	1,265,341	585.6

19. The ceiling on the contracting or guaranteeing of new non-concessional debt by the government or the BCC will be assessed continuously and excludes IMF credit. Normal short-term import and supplier credits (e.g., revolving credit lines) are excluded, these being self-liquidating operations, because the sales of imports are used to repay the debt. Debt being rescheduled or restructured is excluded from this ceiling to the extent that such non-concessional debt is used for debt management operations that improve the overall public debt profile. A debt is considered contracted on the signature date of the contract. This continuous performance criterion will be monitored continuously by the authorities, and any nonobservance will be reported promptly to the Fund.

20. Standard continuous performance criteria include prohibitions on (1) the imposition or intensification of restrictions on making of payments and transfers for current international transactions; (2) the introduction or modification of multiple currency practices; (3) the conclusion of bilateral payments agreements that is inconsistent with Article VIII; and (4) the imposition or intensification of import restrictions for balance of payments reasons.

C. Reporting Requirements

21. The authorities will report to Fund staff the information and data in the form mutually agreed with the reporting agency and the frequency described in the table below. The authorities will transmit promptly to Fund staff any data revisions and consult Fund staff regarding

any and all information or data not specifically addressed in this TMU but necessary for monitoring the program.

22. To ensure transparency, internal consistency, and effective monitoring of program conditionality, the Debt Management Office (DMO) shall report monthly data on domestic public debt stocks and flows, in gross and net terms, with the following minimum disaggregation:

- By instrument (e.g., Treasury bills, Treasury bonds, salary-related loans, advances, overdrafts, non-bank loans, buybacks, and other domestic debt instruments);
- By holder (banking sector vs. non-bank sector);

These data shall be reported no later than 45 days after the end of each month and shall be fully reconciled with:

- The change in net domestic credit to the government as reported in the monetary survey; and
- The domestic financing items reported in the TOFE.

Any discrepancies between DMO data, the monetary survey, and the TOFE shall be identified, explained, and resolved prior to program review discussions.

Table 1. Union of the Comoros: Periodic Data Required for the Extended Credit Facility			
Real Sector			
Agency	**Data**	**Frequency**	**Deadline**
INSEED	Consumer Price Index.	Monthly	1 month
INSEED	National accounts, including GDP deflator (historical data and projections).	Annually	9 months
INSEED/BCC	Economic bulletin / note, including data in Excel file.	Quarterly	3 months
SONELEC/INSEED	Electricity production and consumption.	Quarterly	1 month
SONOLEC	Financial statement	Annually	3 months
SCH	Financial statement	Annually	3 months
ONICOR	Financial statement	Annually	3 months
Monetary Sector			
Agency	**Data**	**Frequency**	**Deadline**
BCC	Monetary statistics, government net position, BCC accounts and consolidated accounts of other depository corporations, and reserve position.	Monthly	45 days
Fiscal Sector			
Agency	**Data**	**Frequency**	**Deadline**
TOFE Committee	TOFE (including a file detailing social spending: education, health, support for the most vulnerable)	Quarterly	3 months
Directorate of Public Accounting and the Treasury	Treasury cash flows	Monthly	2 weeks
Debt Directorate	Monitoring of public debt (contracted debt, disbursed debt, interest payments, principal repayment) due to external creditors and domestic financial institutions.	Quarterly	1 month
Debt Directorate	External debt arrears	As soon as incurred	As soon as incurred
Debt Directorate	Debt arrears with domestic financial institutions.	Monthly	1 month
Debt Directorate	Debt bulletin	Quarterly	3 months

Table 1. Union of the Comoros: Periodic Data Required for the Extended Credit Facility (concluded)			
Debt Directorate	Domestic public debt stocks and flows, in gross and net terms	Monthly	45 days
Customs	Imports in detail (volume, value and corresponding revenue for each tax and duty)	Monthly	1 month
Customs	Exports in detail (volume, value and corresponding revenue for each tax and duty)	Monthly	1 month
General Planning Commission (CGP)/CREF	Monitoring of projects by donor, specifying the terms of project financing (loans or grants) and their nature (investment or current expenditure)	Quarterly	45 days
External Sector			
Agency	**Data**	**Frequency**	**Deadline**
BCC	Imports including all petroleum products (volume, value)	Quarterly	2 months
BCC	Exports (volume, value)	Quarterly	2 months
BCC	Balance of payments	Annually	4 months
Financial Sector			
Agency	**Data**	**Frequency**	**Deadline**
BCC/Banking supervision	Financial soundness indicators of the banking system	Quarterly	1 month
BCC/ Banking supervision/ Banking Resolution	Monitoring reports of BPC/SNPSF, BDC and BFC	Quarterly	1 month

INTERNATIONAL MONETARY FUND

UNION OF THE COMOROS

January 29, 2026

STAFF REPORT FOR THE 2025 ARTICLE IV CONSULTATION, FIFTH REVIEW UNDER THE EXTENDED CREDIT FACILITY ARRANGEMENT, AND REQUEST FOR WAIVERS OF NONOBSERVANCE OF PERFORMANCE CRITERIA—INFORMATIONAL ANNEX

Prepared By

The African Department (in consultation with other departments)

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RELATIONS WITH THE FUND

(As of December 31, 2025)

Membership Status: Joined: September 21, 1976

General Resources Account	SDR Million	%Quota
Quota	17.80	100.00
IMF's Holdings of Currency (Holdings Rate)	14.64	82.26
Reserve Tranche Position	3.17	17.80

SDR Department	SDR Million	%Allocation
Net cumulative allocation	25.56	100.00
Holdings	24.68	96.54

Outstanding Purchases and Loans:	SDR Million	%Quota
RCF Loans	5.05	28.39
ECF Arrangement	17.80	100.00

Latest Financial Commitments
Arrangements:

Type	Date of Arrangement	Expiration Date	Amount Approved (SDR Million)	Amount Drawn (SDR Million)
ECF	Jun. 01, 2023	May 31, 2027	32.04	17.80
ECF [1]	Sep. 21, 2009	Dec. 23, 2013	13.57	13.57
SAF	Jun. 21, 1991	Jun. 20, 1994	3.15	2.25

Outright Loans:

Type [2]	Date of Commitments	Date Drawn/Expired	Amount Approved (SDR Million)	Amount Drawn (SDR Million)
RCF	Apr. 22, 2020	Apr. 24, 2020	2.97	2.97
RFI	Apr. 22, 2020	Apr. 24, 2020	5.93	5.93
RCF	Jul. 24, 2019	Aug. 01, 2019	2.97	2.97

[1] Formerly PRGF.

[2] Undrawn outright disbursements (RFI and RCF) expire automatically 60 days following the date of commitment, i.e. Board approval date.

Overdue Obligations and Projected Payments to Fund (SDR Million; based on existing use of resources and present holdings of SDRs)[3]

	Forthcoming				
	2026	**2027**	**2028**	**2029**	**2030**
Principal	1.19	1.19	1.55	2.97	3.50
Charges/ Interest	0.02	0.02	0.02	0.02	0.02
Total	1.21	1.21	1.57	2.99	3.52

Implementation of HIPC Initiative

	Enhanced Framework
Commitment of HIPC assistance	
Decision point date	July 2010
Assistance committed	
by all creditors (US$ Million) [4]	144.80
Of which: IMF assistance (US$ million)	4.27
(SDR equivalent in millions)	2.89
Completion point date	December 2012
Disbursement of IMF assistance (SDR Million)	
Assistance disbursed to the member	2.89
Interim assistance	-
Completion point balance	2.89
Additional disbursement of interest income [5]	0.07
Total disbursements	**2.97**

[3] When a member has overdue financial obligations outstanding for more than three months, the amount of such arrears will be shown in this section.

[4] Assistance committed under the original framework is expressed in net present value (NPV) terms at the completion point, and assistance committed under the enhanced framework is expressed in NPV terms at the decision point. Hence these two amounts cannot be added.

[5] Under the enhanced framework, an additional disbursement is made at the completion point corresponding to interest income earned on the amount committed at the decision point but not disbursed during the interim period.

Implementation of Multilateral Debt Relief Initiative (MDRI)

Not applicable

Implementation of Catastrophe Containment and Relief (CCR):

Date of Catastrophe	Board Decision Date	Amount Committed (SDR Million)	Amount Disbursed (SDR Million)
N/A	Apr. 13, 2020	0.97	0.97
N/A	Oct. 02, 2020	0.81	0.81
N/A	Apr. 01, 2021	0.65	0.65
N/A	Oct. 06, 2021	0.64	0.64
N/A	Dec. 15, 2021	0.02	0.02

As of February 4, 2015, the Post-Catastrophe Debt Relief Trust has been transformed to the Catastrophe Containment and Relief (CCR) Trust.

Decision point - point at which the IMF and the World Bank determine whether a country qualifies for assistance under the HIPC Initiative and decide on the amount of assistance to be committed.

Interim assistance - amount disbursed to a country during the period between decision and completion points, up to 20 percent annually and 60 percent in total of the assistance committed at the decision point (or 25 percent and 75 percent, respectively, in exceptional circumstances).

Completion point - point at which a country receives the remaining balance of its assistance committed at the decision point, together with an additional disbursement of interest income as defined in footnote 2 above. The timing of the completion point is linked to the implementation of pre-agreed key structural reforms (i.e., floating completion point).

Safeguards Assessments

An update safeguards assessment for Comoros was completed in October 2023. The Banque Centrale des Comores (BCC) continues to advance implementation of the assessment recommendations, with progress on financial reporting, governance, and internal audit reforms. Preparation of financial statements in line with IFRS has resumed and efforts are underway to address remaining system challenges to improve transparency, data quality, and timely publication. Amendments to the BCC Charter are being operationalized through broader governance enhancements, and a repayment plan for the long-term loan linked to the 2021 SDR allocation is underway. Accounting, Internal audit, and oversight functions are being strengthened through external IFRS training, and revisions to the Internal Audit Charter. Efforts to ensure that internal audit can provide assurances on program monetary data submitted to the Fund remain ongoing.

Exchange Rate Arrangement

The currency of Comoros is the Comorian franc, which is pegged to the Euro at €1 = CF 491.97. The de facto and de jure exchange rate arrangements are classified as “conventional peg. Comoros has accepted the obligations of Article VIII, Sections 2, 3, and 4, and maintains an exchange system that is free of restrictions on the making of payments and transfers for current international transactions and multiple currency practices.

Article IV Consultations

Comoros is currently on the standard 24-month cycle for Article IV consultations for program countries. The last Article IV consultation was concluded on December 15, 2023

Resident Representative

Rima A. Turk, since April 2023

Table 1. Union of the Comoros: Fund Technical Assistance

Department	Date	Subject
AFS	20-Jan	Customs regional seminar on data analysis
FAD	20-Feb	Improving the management and governance of SOEs
AFS	20-Jul	Large taxpayers office's audit capacity
FAD, AFS	20-Sep	Financial management of COVID-19 related operations
AFS	20-Sep	Customs risk-based compliance management program
AFS	20-Oct	Tax arrears collection
AFS	20-Nov	Tax administration information system management
AFS	20-Nov	Tax administration database (ISORA)
AFS	20-Dec	Customs management and control of excise duties on oil products
AFS	21-Jan	Taxpayer registration
AFS	21-Mar	Customs regional seminar on business continuity and recovery plan
FAD	21-Apr	Tax administration reforms
AFS, LEG	21-Apr	Customs regulatory framework of new customs clearance procedures
AFS	21-Apr	Customs regional seminar on leadership and management development
FAD, AFS	21-May	PFM organic Law on State Finances (LOFE)
AFS	21-Jun	Tax compliance improvement plan
FAD	21-Jun	Tax Policy: towards a simple and efficient tax system
AFS	21-Jun	Customs goods valuation
FAD, AFS	21-Jun	PFM organic Law on State Finances (LOFE)
AFS	21-Sep	Customs risk-based compliance management program
AFS	21-Sep	Taxpayer registration
FAD	21-Sep	Customs management and control of exemptions
AFS	21-Oct	Treasury Single Account (TSA)
AFS	21-Nov	Tax administration database (ISORA)
FAD, AFS	22-Jan	Wage bill management
AFS	22-Jan	Tax compliance improvement plan
FAD	22-Jan	Customs risks analysis, offences central database and key performance indicators
AFS	22-Feb	Tax administration information system management
AFS, LEG	22-Feb	Customs regulatory framework of new customs clearance procedure
FAD	22-Apr	State's financial operations and SOEs' oversight
AFS	22-Apr	Customs post-clearance audit
MCM	22-Apr	Supervision Reform - Prudential Reporting
MCM	22-Apr	Basel II/III Reform Implementation - Regulation Development
MCM	22-Apr	Local Currency Bond Markets (LCBM)
MCM	22-Apr	Liquidity Management, Collateral and ELA Frameworks

Table 1. Union of the Comoros: Fund Technical Assistance (continued)

Department	Date	Subject
FAD	26-Feb	Enforcement- Strengthening Risk Management – Exploitation of Mirror Data Analysis 3
STA	27-Mar	CPI Updating
FAD	26-Apr	Treasury Reforms and Cash Management
FAD	26-Feb	Budget Preparation
FAD	26-Apr	Fiscal Risk Management
FAD	26-Feb	TPU Training
FAD	22-Jul	State's financial operations and SOEs' oversight
AFS	22-Jul	Customs goods valuation
MCM	22-Jul	Monetary Policy Implementation Follow Up
FAD	22-Aug	Customs clearance procedures standard operations plan
FAD	22-Sep	Tax administration reforms
FAD	22-Oct	State's financial operations and SOEs' oversight
FAD	22-Oct	Customs' administration reforms
AFS, LEG	22-Nov	Customs regulatory framework of control of excise duties on oil products
AFS	22-Dec	Treasury Single Account (TSA)
AFS	22-Dec	Budget preparation and execution user's guide
AFS	22-Dec	Tax administration organizational arrangement
MCM	22-Dec	Collateral/ELA
FAD, AFS	23-Jan	SOEs supervision and fiscal risks
AFS, LEG	23-Jan	Customs regulatory framework of new customs clearance procedures
FAD, AFS	23-Feb	Customs risk-based compliance management program
FAD, STA	23-Apr	Table of Statement of Financial Operations (TOFE) and public finance statistics (GFS)
STA	23-May	National Accounts Rebasing
MCM, AFS	23-May	Government Securities Issuance Follow-Up
FAD	23-Jun	Management of customs offences and control of exemptions
FAD	23-Jun	Public enterprises legal framework
FAD	23-Jun	Customs clearance procedures, special regimes and exemptions controls
MCM	23-Jun	Basel II/II Reform Implementation - Regulation and guideline reform
AFS, LEG	23-Jul	Customs regulatory framework of control of excise duties on oil products
MCM	23-Aug	Monetary Policy Implementation
AFS	23-Sep	General account of financial information (CGAF)

Table 1. Union of the Comoros: Fund Technical Assistance (concluded)

Department	Date	Subject
FAD	23-Sep	Tax administration strategic reform plan and Large and medium taxpayers office
MCM, AFS	23-Sep	Basel II/II Reform Implementation - Regulation and guideline reform
STA	23-Sep	National Accounts Rebasing
AFS	23-Oct	Customs risk-based compliance management program
FAD	23-Nov	SOEs governance and legal framework
STA	25-April	TA - eGDDS
FAD	25-Jan	Tax Procedures and Modernization
FAD	26-Jan	Reform Strategy and Strategic Management
FAD	26-Jan	Performance Contracts
MCM	25-Jul	Collateral Frameworks and Credit claims mobilization
MCM	26-Jan	MPIO, Market Development and Collateral Frameworks
STA	25-Sep	National Accounts Rebasing
STA	25-Dec	CPI-Updating
STA	24-Jan	Financial Soundness Indicators
STA	24-May	GFS – Improving Institutional Coverage
MCM	24-Sep	Risk Based Supervision – Training and Review
MCM	25-Nov	Risk Based Supervision – Framework Enhancement – Risk Rating
FAD	25-Oct	Cash Management – Follow-up Mission
FAD	25-Oct	Strengthening SOEs supervision capabilities
FAD	25-Sep	TEA Follow-up
MCM	25-Dec	Treasury Bill Market Development

WORK PROGRAM WITH PARTNER INSTITUTIONS

1. **The Fund and partner institutions collaborate closely.** Staff from the World Bank and other development institutions regularly participate in IMF missions. The World Bank's analyses and advice on growth-enhancing structural reforms, including those related to poverty reduction, health, education, and energy, informs the Fund's recommendations. The Fund coordinates its capacity building and technical assistance with development partners, with whom the Fund holds regular meetings in Moroni.

2. **The World Bank work program can be found on the following website:**
https://www.worldbank.org/en/country/comoros

3. **The African Development Bank work program can be found on the following website:**
https://www.afdb.org/en/countries/east-africa/comoros

INTERNATIONAL MONETARY FUND

UNION OF THE COMOROS

January 29, 2026

STAFF REPORT FOR THE 2025 ARTICLE IV CONSULTATION, FIFTH REVIEW UNDER THE EXTENDED CREDIT FACILITY ARRANGEMENT, AND REQUEST FOR WAIVERS OF NONOBSERVANCE OF PERFORMANCE CRITERIA—DEBT SUSTAINABILITY ANALYSIS

Approved By

Costas Christou and S. Jay Peiris (IMF); Hassan Zaman and Manuela Francisco (IDA)

The Debt Sustainability Analysis (DSA) was prepared jointly by the staff of the International Monetary Fund (IMF) and the International Development Association (IDA)

Risk of external debt distress	*High*
Overall risk of debt distress	*High*
Granularity in the risk rating	*Sustainable*
Application of judgement	*Yes*

Despite some improvement in debt sustainability indicators (compared to the 2024 Debt Sustainability Analysis), Comoros' risk of external and overall public debt distress remains assessed as high, mainly due to persistent liquidity constraints and recurrent as well as unresolved legacy external arrears.[1] Nonetheless, debt is assessed to be sustainable, including over the medium term, contingent on continued fiscal consolidation and reliance on highly concessional financing.[2] Under the baseline scenario, one of the four external debt burden indicators—the external debt service-to-exports ratio—breaches its threshold in 2029, albeit one-off and marginal. Under stress tests scenarios, two indicators—the present value of debt to exports ratio and debt service to exports ratio—breach their thresholds. Though consistent with a moderate external risk rating, staff apply judgment to maintain a high risk rating given: (i) structural liquidity vulnerabilities rooted in low revenue mobilization, no market access, limited fiscal buffers, and a dependency on external inflows; (ii) recurring external arrears, with successive breaches of the corresponding continuous quantitative performance criterion under IMF's Extended Credit Facility (ECF), reflecting persistent weaknesses in liquidity and debt management; and (iii) elevated macroeconomic and climate vulnerabilities.[3] Mitigating factors include the authorities' reform agenda supported by the ECF and World Bank Development

[1] Unresolved legacy external arrears are in reference to BADEA, Exim India and Bpifrance.

[2] Comoros' debt carrying capacity is assessed as medium, given a Composite Indicator of 2.85 based on October 2025 WEO projections and the 2024 Country Policy and Institutional Assessment (CPIA) rating of 2.7.

[3] Staff will revisit the factors warranting the application of judgement in the next DSA.

Policy Operations (DPOs), as well as the consistently strong performance of remittances, which supports external sustainability. The overall assessment is contingent on: (i) progress in domestic resource mobilization and sustained fiscal consolidation, (ii) avoidance of additional non-concessional borrowing, and (iii) stronger financial oversight of SOEs. Stress tests suggest that Comoros' external debt remains susceptible to export and contingent liability shocks.

PUBLIC DEBT COVERAGE

1. Comoros' public and publicly guaranteed (PPG) debt coverage includes all financing from the central bank to the Treasury (Text Table 1). The coverage of external debt includes the entire public sector, namely external debt of the central government, the central bank borrowing on behalf of the government, and government-guaranteed debt of SOEs. Subnational government entities cannot take up external debt on their own, and they have not taken on domestic debt. SOEs cannot access the external debt market without a government guarantee. Domestic debt includes central government, SOE's guaranteed debt from domestic banks, and on-lending from the Central Bank of Comoros (BCC) to the government, including statutory advances and loans connected to the IMF SDR allocation.

Text Table 1. Union of the Comoros: Public Debt Coverage

	Subsectors of the public sector	Sub-sectors covered
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	

Sources: Comorian authorities, and IMF staff

Text Table 2. Union of the Comoros: Coverage of the Contingent Liabilities Stress Test

1	The country's coverage of public debt	The central government, central bank, government-guaranteed debt		
		Default	Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0 percent of GDP	4.5	Audited estimate of domestic arrears.
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	2.0	
4	PPP	35 percent of PPP stock	0.0	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	7.3	Potential recapitalizing/resolving undercapitalized banks
	Total (2+3+4+5) (in percent of GDP)		13.8	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

Sources: Comorian authorities, and IMF staff

2. Contingent liabilities remain a risk (Text Table 2). The magnitude of the contingent liabilities shock is 13.8 percent of GDP. First, the coverage for other elements of the general government not captured in the baseline stock of debt is set at 4.5 percent of GDP to reflect the potential impact of legacy domestic arrears. Second, the contingent liabilities shock from SOE debt is set at the default of 2 percent of GDP. Third, exposures to PPPs are set at zero, as PPPs in

Comoros are insignificant as a proportion of GDP. Last, the coverage for the contingent liabilities from the financial sector is set at 7.3 percent of GDP, exceeding the standard LIC-DSF default of 5 percent. The additional 2.3 percentage points reflect country-specific vulnerabilities, including persistent undercapitalization in parts of the banking system, legacy asset quality weaknesses, and the potential fiscal cost of recapitalization or resolution under adverse scenarios.[4]

BACKGROUND

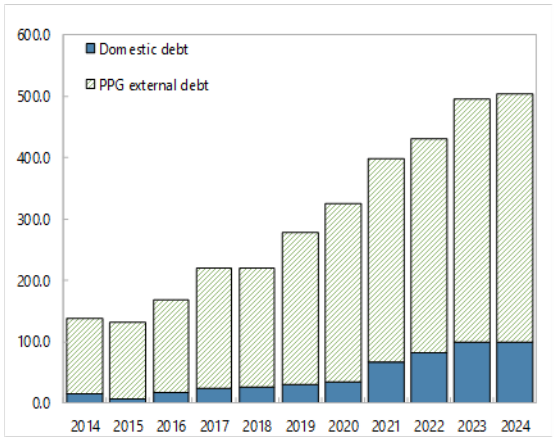
A. Recent Debt Developments

3. Comoros' PPG debt is estimated at 35 percent of GDP at end-2024. The debt stock declined from around 37 percent in 2023, mainly due to lower-than-expected and delayed loan disbursements. External debt, which accounted for about 81 percent of public debt (28.2 percent of GDP), is broadly in line with the 2021–23 average and is estimated to remain broadly unchanged as a share of GDP in 2025. Domestic debt declined by 0.7 percentage points to 6.8 percent of GDP in 2024 and is estimated to decline further to 6 percent of GDP in 2025.

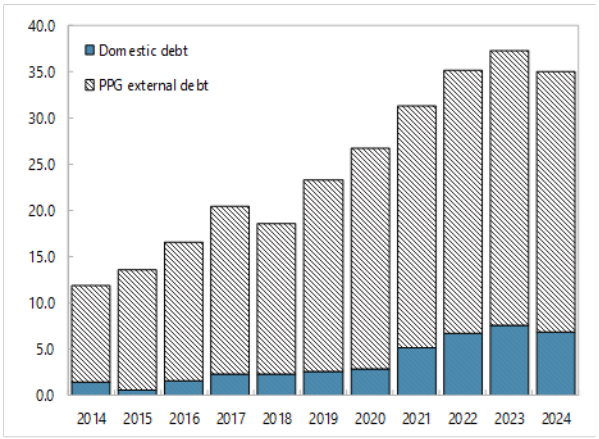
4. External public debt in 2024 was dominated by official creditors. Multilateral lenders accounted for the largest share (about 54 percent), led by the World Bank (IDA), followed by the IMF and the African Development Bank. Bilateral creditors represented the remaining 46 percent. While most borrowing is on concessional terms, non-concessional debt linked to the construction of the Galawa Hotel is expected to rise in the coming years as disbursements commence[5].

Text Figure 1. Union of Comoros: Debt Stock 2014-24

(In US$ mn)



(In Percent of GDP)



Source: IMF staff and authorities

[4] Currently, three credit institutions are in breach of the minimum capital requirements and are in the process of developing recapitalization plans.

[5] This is a non-concessional debt linked to the construction of the Galawa Hotel, which reflects a potential and contingent operation and hence does not constitute a firm government borrowing plan.

5. Legacy arrears remain unresolved. Total external arrears (as of end 2025) amounts to around US$11.2 million (0.7 percent of 2025 GDP). A large share of the outstanding stock of external arrears relates to loans from the Arab Bank for Economic Development in Africa (BADEA) and Exim Bank India, where arrears clearance discussions remain stalled despite earlier indications by the authorities that credible resolution plans were in place.[6] BADEA's arrears amounts to around US$7.3 million (0.45 percent of 2025 GDP), of which US$1.7 million (1.1 percent of GDP) accumulated since the start of the ECF program in June 2023. Arrears to Exim Bank India amounts to around US$2.6 million (0.16 percent of GDP), of which US$0.69 million (0.04 percent of GDP) accumulated since the ECF program approval. On official bilateral loan and arrears with Bpifrance Assurance Export (pre-IMF ECF program approval and during the program of about US$1.4 million in total (0.1 percent of GDP), the Comorian and French authorities have agreed on an arrears clearance plan for the accumulated arrears and a restructuring of the remaining debt, to be paid between December 2025 and December 2027. The authorities made the first payment of EUR0.64 million, of which EUR0.3 million funded from French budget support, consistent with the technical level agreement with the French authorities. The persistent accumulation of external arrears—constituting a breach of the conditionality under the ECF program—underscores tight liquidity constraints and longstanding weaknesses in debt management capacity. On legacy domestic arrears, a medium-term strategy to clear domestic arrears amounting to KMF 27.1 billion (3.9 percent of 2025 GDP) accumulated between 2009-20 was finalized in September 2024.[7] The strategy prioritized the clearance of pension and wage arrears, with payments for the former having already started prior to the finalization of the strategy. Given liquidity constraints, clearance of the largest arrears—those to SOEs—will begin only in 2027 and is expected to span about 10 years.[8]

6. Domestic debt consists mainly of short-term Treasury advances and ad hoc borrowings from Comorian banks. Treasury issuances in 2024 had an average maturity of about 24 months and carried an average interest rate of around 6 percent. The government also guarantees domestic borrowings by key SOEs, including the restructured loans to the rice importer ONICOR.

7. The authorities are seeking to complete the construction of the El Maarouf Hospital with concessional financing. The last estimated cost to complete the hospital was around US$ 55 million, which is included in the baseline.

B. Macroeconomic Forecasts

8. The current DSA baseline reflects the latest macroeconomic developments and assumes active policy implementation under the ECF (Text Table 3). It incorporates a

[6] At the fourth review, the authorities reported plans to ratify a new concessional loan agreement which would replace the BADEA loan and effectively clear those arrears. A tripartite agreement between the authorities, BADEA and OPEC Fund is now expected to be reached in 2026. An agreement in principle had also been reached with Exim India in 2024 to cancel penalties and restructure the arrears over a five-year period, but discussions have stalled and the authorities are seeking legal advice from AfDB.

[7] This was an end-September 2024 Structural Benchmark under IMF ECF Program.

[8] See full discussion in the Staff Report of the Third ECF Review.

substantial increase in tax revenue supported by structural reforms in revenue administration and tax policy, a normalization of public investment, and a broadly stable wage bill averaging about 5 percent of GDP. Under this baseline, public debt dynamics are projected to remain manageable, conditional on sustained fiscal consolidation and continued reliance on concessional financing.

- Real GDP growth is projected to rise from 3.3 percent in 2024 to 3.8 percent in 2025, unchanged from the previous DSA. Real GDP growth is projected to increase from 3.3 percent in 2024 to 3.8 percent in 2025, unchanged from the previous DSA. The near-term pick-up is driven by stronger domestic demand, supported by an acceleration in domestic credit growth and a temporary fiscal expansion in the first half of 2025. Higher absorption of domestically financed investment, with positive effects on construction, trade-related activities, and import demand, further supported the recovery that began in 2024. Over the medium term, growth is projected to peak at 4.1 percent in 2027 before moderating and converging to its potential of around 3.6 percent by 2029, reflecting a more conservative assessment than in the previous DSA. The projection takes into account persistent structural constraints, implementation capacity limitations, and delays in key private investment projects. The growth impact of fiscal consolidation under the ECF is expected to be muted, given the relatively small size of the public sector, households' continued reliance on remittances, and the significant role of external grants in financing investment. Over the long term, growth is assumed to stabilize at around 3.6 percent, underpinned by gradual gains in productivity and private capital accumulation. These gains are expected to be supported by World Bank–financed transport and energy projects—including the Inter-Island Connectivity and Solar Energy Access projects—as well as reforms under the ECF and DPOs aimed at strengthening public investment management, improving the business environment, and gradually easing financial intermediation constraints, while recognizing that access to credit will remain a binding constraint to private-sector-led growth..
- Inflation is projected to ease from 5.0 percent in 2024 to 3.5 percent in 2025, representing an upward revision from the 1.8 percent forecast in the previous DSA. The revision reflects stronger domestic demand and a slower-than-expected disinflation. Inflation is expected to further decline to 2.4 percent in 2026, stabilizing around 2 percent over the medium term. This medium-term inflation outlook remains anchored by the euro exchange rate peg, subdued monetary policy transmission, and Comoros' high dependence on imports. .
- The fiscal baseline reflects the adjustment scenario under the ECF program during 2023–27. Tax revenue is projected to rise steadily by about 0.5 percentage points of GDP per year, supported by tax administration and policy reforms (QPC). Tax revenue is estimated at 8.9 percent of GDP in 2025 up from 8.1 percent in 2024 but below the 9.3 percent envisaged at the fourth ECF review. However, a significant DRM effort underpins the fiscal adjustment in 2026, bringing tax collection and the primary balance back to the levels targeted in the previous DSA. The latter is supported by lower primary expenditure (0.3 ppts between 2025 and 2027) and higher grants. The domestic primary deficit is projected to narrow from 2.3 percent of GDP in 2024 to 1.3 percent in 2025 (1.5 percent in the previous DSA), before declining further to 0.8 percent in 2026 (unchanged from the previous DSA).

- The current account deficit (CAD) is projected to widen modestly from 2.3 percent of GDP in 2024 to 3.0 percent in 2025, reflecting stronger import demand associated with the recovery in domestic activity and rising private-sector credit. This outturn is narrower than envisaged in the previous DSA (4.4 percent), largely due to continued robust remittance inflows from the diaspora and a modest improvement in the goods trade balance. Over the medium term, the CAD is projected to converge to 2.7 percent of GDP by 2028, supported by sustained remittance inflows, which are expected to continue financing a significant share of the trade deficit.

Text Table 3. Union of Comoros: Assumptions for DSA

	2022 Act.	2023 Act.	2024 Prel.	2025 Proj.	2026 Proj.	2027 Proj.	2028 Proj.	2029 Proj.	2030 Proj.	Long Term[1]
GDP Growth Rate (percent)										
Previous DSA	2.6	3.0	3.3	3.8	4.3	4.5	4.3	3.8	3.8	3.8
Current DSA	2.6	3.0	3.3	3.8	4.1	4.1	3.8	3.6	3.6	3.6
Inflation, average (percent)										
Previous DSA	12.4	8.5	5.0	1.8	1.9	1.9	1.9	1.9	1.9	1.9
Current DSA	12.4	8.5	5.0	3.5	2.4	2.1	2.1	2.1	2.1	2.1
Government Revenues (percent of GDP)										
Previous DSA	9.9	10.2	10.1	10.6	11.0	11.3	11.5	11.8	12.1	13.4
Current DSA	9.9	10.2	9.7	10.5	11.0	11.3	11.4	11.7	11.8	13.3
Domestic Primary Balance (percent of GDP)										
Previous DSA	-1.9	-2.0	-1.2	-0.9	-0.3	-0.1	-0.1	-0.1	-0.1	-0.1
Current DSA	-1.9	-2.7	-2.3	-1.3	-0.8	-0.4	-0.4	-0.4	-0.5	-1.0
FDI (percent of GDP)										
Previous DSA	0.3	0.4	0.5	0.6	0.6	0.6	0.6	0.6	0.6	0.6
Current DSA	0.3	0.4	0.4	0.6	0.6	0.6	0.6	0.6	0.6	0.6
Current Account Deficit (Percent of GDP)										
Previous DSA	-0.5	-2.0	-3.5	-4.4	-4.0	-4.1	-3.7	-3.6	-3.2	-2.9
Current DSA	-0.4	-1.5	-2.3	-3.0	-3.1	-3.7	-2.7	-2.9	-2.8	-1.5
Export of Goods and Services (annual percentage growth)										
Previous DSA	73.7	-43.0	19.7	7.5	8.8	12.4	10.6	15.2	8.4	8.2
Current DSA	73.7	-43.0	-5.1	9.0	5.6	13.1	3.0	20.9	8.7	9.8
Import of Goods and Services (annual percentage growth)										
Previous DSA	20.3	7.0	-4.5	15.6	1.3	5.4	7.0	7.0	8.3	6.5
Current DSA	20.3	7.0	2.1	5.5	3.7	1.3	-1.3	10.0	3.2	3.9
Investment (percent of GDP)										
Previous DSA	16.9	17.7	17.9	18.2	18.3	18.4	18.5	19.1	19.0	19.1
Current DSA	16.9	17.7	18.0	18.2	18.4	18.6	18.8	19.4	19.3	19.8
Net Current transfers (percent of GDP)										
Previous DSA	24.7	24.3	18.5	18.5	16.6	15.6	14.8	14.8	14.8	14.9
Current DSA	24.7	24.4	22.9	21.0	18.8	16.2	15.4	15.3	14.6	10.1

Source: IMF staff

[1]Covers the period 2031-45 for current DSA, and 2029-43 for the previous DSA.

9. This DSA assumes that the authorities will adopt a prudent borrowing strategy. The assumption is that the government mobilizes mostly external financing, with an average borrowing mix of 95 percent for external borrowing over the projected horizon.

- **Foreign financing**: Staff assume that disbursements from already contracted loans will continue in line with the authorities' borrowing plans. The government remains committed to concessional borrowing under the ECF-supported program and has not breached this requirement since program approval. IDA financing, including investment projects, is projected

to average about US$22 million annually during 2025–28. The baseline also includes US$4.1 million from the AfDB, US$10 million from Saudi Arabia over two years, and the Galawa Hotel loan[9]. Additional projected disbursements include US$4 million from the IsDB and US$29.5 million from OPEC, of which US$12 million is earmarked for the El Maarouf Hospital and US$17 million to assume BADEA arrears. For the purposes of this DSA, staff assume that any fiscal financing gap will be filled through grants and concessional loans. These assumptions reflect financing under the ECF and DPO programs, which catalyze multilateral and bilateral support, as well as Comoros' commitment to limiting non-concessional borrowing under the ECF and in line with the SDFP's PPA. The average grant element of new borrowing is estimated at about 40 percent.

Text Table 4. Union of Comoros: Summary Table of Projected External Borrowing Plan
(US$ Million)

PPG external debt	2025		2026		2027		2028	
	USD million	Percent	USD million	Percent	USD million	Percent	USD million	Percent
By sources of debt financing	**76.1**	**100.0**	**83.8**	**100**	**52.7**	**100**	**23.1**	**100**
Concessional debt, of which	**71.3**	**93.8**	**26.4**	**31.5**	**25.9**	**49.1**	**23.1**	**100.0**
Multilateral debt	66.3	87.2	21.0	25.0	20.8	39.4	21.1	91.6
Bilateral debt	5.0	6.6	5.0	6.0	5.0	9.5	2.0	8.7
Other	0.0	0.0	0.4	0.5	0.1	0.2	-0.1	-0.2
Non-concessional debt, of which	**4.8**	**6.2**	**57.4**	**68.5**	**26.8**	**50.9**	**0.0**	**0.0**
Semi-concessional[1]	4.8	6.2	14.3	17.1	4.8	9.1	0.0	0.0
Commercial terms	0.0	0.0	43.1	51.5	22.0	41.8	0.0	0.0
By Creditor Type	**76.1**	**100.0**	**83.8**	**100.0**	**52.7**	**100.0**	**23.1**	**100.0**
Multilateral debt	71.1	93.4	35.3	42.1	25.6	48.5	21.1	91.6
Bilateral debt	5.0	6.6	5.0	6.0	5.0	9.5	2.0	8.7
Commercial terms	0.0	0.0	43.1	51.5	22.0	41.8	0.0	0.0
Other	0.0	0.0	0.4	0.5	0.1	0.2	-0.1	-0.2
		0.0		0.0		0.0		0.0
Uses of debt financing	**76.1**	**100.0**	**83.8**	**100.0**	**52.7**	**100.0**	**23.1**	**100.0**
Infrastructure	40.8	53.6	25.0	29.8	24.8	47.0	22.1	95.9
Budget Financing	4.8	6.2	14.3	17.1	4.8	9.1	0.0	0.0
Other	30.5	40.1	44.5	53.1	23.1	43.9	0.9	4.1
1/ Projected ECF disbursements								
Memo Items								

- **Domestic financing:** Domestic borrowing in this DSA primarily reflects the rollover of SOE debt, assumed to be medium-term with an average nominal interest rate of about 6 percent. These assumptions do not pose risks to debt sustainability (Text Figure 2). The domestic debt-to-GDP ratio is projected to decline as SOE operations improve, although the domestic debt service-to-revenue ratio rises over the medium term as SOEs repay obligations to commercial banks. Risks from domestic debt are limited by the absence of a domestic securities market and shallow depth of the financial market.

[9]The DSA assumes that disbursements will commence in 2026. .

10. The DSA's toolkit to assess the realism of the macroeconomic forecast does not raise concerns considering historical experience and comparisons with peers. (Figures 3 and 4).

- **Drivers of debt dynamics (Figure 3).** Over 2019–24, external debt increased by about 8 percent of GDP, driven mainly by current account deficits and interest costs, partly offset by real GDP growth and favorable valuation effects. The sizeable residual points to data gaps and possible stock–flow adjustments. Looking ahead, external debt is projected to decline by 2.7 percent of GDP over 2025–35. Although the current account deficits persist, it is mitigated by real GDP growth and valuation effects. Public debt rose more sharply in 2019–24—by 11.8 percent of GDP—largely due to sizeable primary fiscal deficits, with growth and concessional borrowing terms providing some offset; residuals suggest weaknesses in coverage and recording. Over 2025–35, public debt is projected to increase by about 13.5 percent of GDP, with large primary deficits the dominant driver, partly offset by real GDP growth, concessional financing, and residual adjustments linked to fiscal consolidation and donor support. Overall, the decomposition underscores that persistent fiscal and external imbalances remain the key sources of debt accumulation, even as concessional borrowing, growth, and technical adjustments help contain debt trajectories.

- **Realism of planned fiscal adjustment (Figure 4).** The realism tool indicates that planned fiscal consolidation is moderate by LIC standards. The largest projected improvement in the primary balance is about 1.7 percent of GDP over 2022–25, which lies within the historical experience of LIC adjustment episodes. However, the primary balance is projected to remain in deficit throughout the forecast horizon, and periods of modest fiscal loosening are expected in the outer years. This implies that debt reduction will rely more on sustained growth and concessional financing than on a sharp fiscal effort. Given Comoros' narrow revenue base and recurrent expenditure pressures, strong revenue mobilization and spending discipline will be essential to underpin the projected adjustment path and safeguard debt sustainability.

C. Country Classification and Determination of Stress Test Scenarios

11. Comoros is assessed to have medium debt carrying capacity, unchanged from the 2024 DSA (Text Table 5), with a Composite Indicator (CI) of 2.85 based on October 2025 WEO projections and the 2024 Country Policy and Institutional Assessment (CPIA) rating of 2.7. As a result, this DSA continues to use the same external debt burden thresholds and total public benchmarks for countries with medium debt carrying capacity (Text Table 5). The relevant thresholds indicating high risk are 40 percent for the PV of debt-to-GDP ratio, 180 percent for the PV of debt-to-exports ratio, 15 percent for the debt service-to-exports ratio, and 18 percent for the debt service-to-revenue ratio. These thresholds are applicable to the public and publicly guaranteed external debt. For the PV of total public debt-to-GDP ratio, the benchmark is 55 percent.

Text Table 5. Union of Comoros: Calculation and Contribution of the CI Score Components

Calculation of the CI Index

Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.385	2.681	1.03	36%
Real growth rate (in percent)	2.719	3.092	0.08	3%
Import coverage of reserves (in percent)	4.052	57.963	2.35	82%
Import coverage of reserves^2 (in percent)	-3.990	33.597	-1.34	-47%
Remittances (in percent)	2.022	15.463	0.31	11%
World economic growth (in percent)	13.520	3.035	0.41	14%
CI Score			2.85	100%
CI rating			Medium	

Applicable thresholds

APPLICABLE	
EXTERNAL debt burden thresholds	
PV of debt in % of	
Exports	180
GDP	40
Debt service in % of	
Exports	15
Revenue	18

APPLICABLE	
TOTAL public debt benchmark	
PV of total public debt in percent of GDP	55

Source: LIC DSF

12. Standardized stress tests use default settings. In addition to the contingent liability stress test which assumes a shock of 13.8 percent of GDP—4.5 percent of GDP for risks associated with other elements of the general government, the default value of 2 percent for SOE debt , zero for PPPs exposure as PPPs in Comoros are insignificant as a proportion of GDP and 7.3 percent of GDP for risks associated with financial sector (see paragraph 2)—Comoros qualifies for the natural disaster scenario given that it is exposed and vulnerable to natural disaster shocks, such as cyclones and eruptions of the Karthala volcano. The tailored stress test assumes a one-off natural disaster shock of 10 percent of GDP to external PPG debt-GDP ratio in the second year of the projection period. The scenario further assumes that output and export growth are 1.5 and 3.5 percentage

points below baseline projections in the shock year. The financing cost of all shocks is set to the default values of the models.

DEBT SUSTAINABILITY

A. External Debt Sustainability Analysis

13. External debt as a share of GDP is projected to remain broadly unchanged in 2025, driven solely by external public debt (Table 3). Under the baseline scenario, the ratio of PPG external debt to GDP is estimated at 28.2 percent in 2025, unchanged from 2024. This reflects Comoros' continued reliance on external borrowing to finance its current account deficits, albeit mitigated by real GDP growth and valuation effects. PPG external debt-to-GDP ratio is expected to decline to 13.6 percent by 2045. The projected gradual decline in external public debt 2027–30 assumes a reduction of about 0.3 percentage points of GDP in the current account deficit (excluding interest payments), which is subject to downside risks if export performance or remittance inflows fall short of expectations (see ¶21).

14. Staff maintain the high risk of external debt distress based on prudent judgement, despite the mechanical rating of moderate (see ¶20). Under the baseline macroeconomic assumptions underlying this assessment, only one of four external debt burden indicators breaches its threshold (Figure 1). The breach is temporary (only in 2029) and not of significant importance. Nonetheless, underlying vulnerabilities materially elevate the risk profile. First, persistent liquidity constraints and recurring external arrears continue to signal material vulnerabilities in Comoros' debt-servicing capacity. As of mid-2025, unresolved external arrears are estimated at about 0.5 percent of GDP, including to BADEA, Exim India, and other bilateral creditors. While this magnitude does not meet the threshold for classifying the country as in debt distress (i.e., arrears exceeding 1 percent of GDP accompanied by an absence of a credible clearance strategy). The limited progress toward durable resolution of these arrears and the recurrence of new external arrears—leading to five consecutive breaches of the continuous quantitative performance criterion under the ECF—point to persistent weaknesses in liquidity and debt management despite ongoing reforms. This is confirmed by recent AFRITAC South TA and DeMPA assessments that highlight significant gaps in cash planning, coordination between the Debt Directorate and the BCC, and timely debt-service execution. Second, liquidity and financing constraints are structural: Comoros remains a fragile, small island economy with no market access, a narrow export base, and limited fiscal buffers that is prone to external and climate shocks. Its capacity to absorb shocks and maintain uninterrupted debt service depends critically on external budget support and grants. The baseline financing mix is therefore fragile: modest delays in donor disbursements could trigger renewed liquidity pressures and arrears accumulation as observed in the past. These factors are consistent with the DSF's guidance on applying judgment—specifically, when institutional weaknesses and liquidity constraints materially elevate debt-servicing risks even in the absence of sustained mechanical breaches. Finally, macroeconomic uncertainty and climate vulnerability compound these risks. The narrow economic base and high exposure to exogenous shocks (weather-related disruptions; price volatility for key commodity exports such as vanilla, cloves, and ylang-ylang; and

donor-financing delays) amplify downside risks to both fiscal and external positions. Against this backdrop, results of the external debt sustainability assessment can be summarized as follows:

- The PV of external debt-to-GDP ratio is still below the threshold and is expected to decline along a similar trajectory of the 2024 DSA. Similarly, the PV of debt-to-export ratio is below the threshold.

- The debt service-to-exports ratio breaches its threshold in 2029 and remains at or below its threshold thereafter, while the debt service-to-revenue ratio is below the threshold throughout the entire projection period.

15. Stress tests indicate that at most two indicators will breach the thresholds under exports or one-time depreciation shocks (Figure 1). The PV of PPG external debt-to-exports ratio and debt service-to-exports ratio exceed their thresholds during the entire projection period under the export shock scenario, signaling Comoros' relatively narrow export base relative to external financing and the need to boost its domestic exports. Debt service to revenue ratio experiences a one-off breach of its threshold in 2029 under a one-time depreciation shock scenario.

16. Comoros' elevated vulnerability to climate change jeopardizes external debt burden indicators in the medium term. The World Bank 2025 Country Climate and Development Report (CCDR) estimates Comoros GDP growth under pessimistic climate scenario with no climate adaptation to reach 3.2 percent on average between 2025 and 2050. Consistent with a standard pessimistic climate shock scenario tailored for Comoros, a one-off shock to public debt of 10 percent of GDP in 2027 and a decrease in real GDP and exports by 1.5 and 3.5 pp respectively in 2026 are assumed. Under the baseline none of the external debt indicators consistently breaches their thresholds.[10] However, the tailored stress test indicates that two indicators (Figure 5 and Figure 6), the present value of debt to exports ratio and debt service to exports ratio breach their respective thresholds under the climate shock scenario for four consecutive years before coming back below such thresholds for the rest of the projection years, further confirming the mechanical risk rating of moderate risk of debt distress.

17. Further analysis suggests Comoros' external debt remains sustainable including over the medium term. Except for a one-off breach in 2029, the debt service-to-revenue ratio is below the threshold throughout the projection horizon indicating that continued domestic revenue mobilization efforts are expected to facilitate a steady decline in the debt service-to-revenue ratio.

B. Total Public Debt Sustainability Analysis

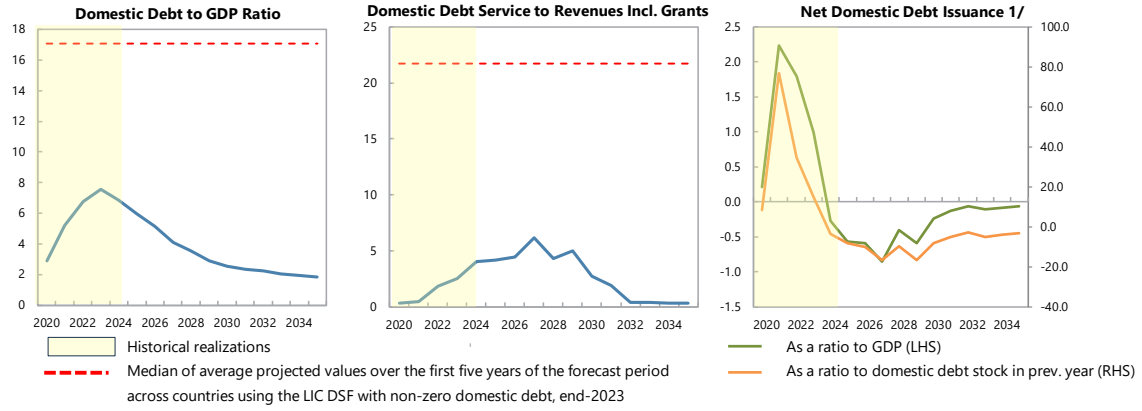
18. Overall public debt is projected to decline progressively, remaining well below its indicative benchmark under the baseline and stress tests (Table 2). The dominant driver of public debt in the short-to-medium term will be the large primary deficits but partly offset by real GDP growth, concessional financing, and residual adjustments linked to concessional financing and

[10] Only debt service to exports ratio breaches the threshold in 2029 but the breach is singular and marginal.

donor support. However, the projected decline in the public debt ratio over the medium-term hinges on a strong fiscal adjustment of about 1.2 percentage points of GDP in the primary deficit between 2025 and 2030, which is subject to downside risks if revenue mobilization or expenditure control underperform (see ¶21).

19. Under the baseline, domestic debt is projected to decline, supported by fiscal consolidation and a moderate improvement in SOEs' financial position from more favorable commodity prices. After peaking at 7.5 percent of GDP in 2023, the domestic debt-to-GDP ratio declined to 6.8 percent in 2024, and it is expected to continue to decline further from 2025 onwards. The domestic debt service-to-revenue ratio (including grants) is expected to peak at around 6 percent in 2027 as several short-term domestic loans mature. Given that both solvency and liquidity indicators are well below the medians among peers, Comoros does not face domestic debt vulnerabilities (See Text Figure 2).

Text Figure 2. Union of the Comoros: Indicators of Public Domestic Debt 2020-2034



Borrowing Assumptions (average over 10-year projection)	Value
Shares in new domestic debt issuance	
Medium and long-term	15%
Short-term	85%
Borrowing terms	
Domestic MLT debt	
Avg. real interest rate on new borrowing	3.8%
Avg. maturity (incl. grace period)	1
Avg. grace period	0
Domestic short-term debt	
Avg. real interest rate	0.6%

Sources: Country authorities; and staff estimates and projections.

1/ Net domestic debt issuance is an estimate based on the calculated public gross financing need net of gross external financing, drawdown of assets, other adjustments and domestic debt amortization. It excludes short-term debt that was issued and matured within the calendar year.

C. Risk Assessment and Vulnerabilities

20. Comoros external and overall debt are sustainable, and mechanical signals suggest a moderate risk of debt distress. Both ratings on the external public debt and overall public debt are determined by the levels and trajectories of debt, together with any breaches of the debt indicators. The levels and trajectories continue to be assessed as sustainable. Given that none of the debt indicators breach the threshold under the baseline and at least one debt indicator breaches the

threshold under stress test scenarios (present value of debt to exports ratio, debt service to exports ratio and debt service to revenue ratio), the mechanical risk rating suggests a moderate risk rating.

21. However, several factors and country-specific considerations trigger the application of judgment under the LIC DSF to maintain the high risk of debt distress. As a fragile and climate-vulnerable country with no market access, the macroeconomic baseline for Comoros is subject to considerable uncertainty. Persistent liquidity constraints and limited debt management capacity have led to unresolved creditor arrears as well as the recurrence of external arrears which breach the performance criterion under the IMF's ECF program[11]. These liquidity constraints—stemming from high dependence on volatile external inflows (especially grants), weak revenue mobilization, and limited access to domestic and external financing on predictable terms—significantly amplify debt repayment risks. While the stock of arrears currently remains below the 1 percent of GDP threshold, the recurrence and persistence of arrears point to endemic liquidity constraints rather than isolated, temporary slippages. Over the medium term, the country's ability to preserve debt sustainability hinges on continued support from multilateral and bilateral partners through program and grant financing, highlighting the fragility in the financing mix assumption under the baseline. These vulnerabilities, combined with narrow revenue and export bases, and a weak institutional framework that constrains shock absorption capacity and effective debt management, warrant the application of judgment to maintain the high DSA risk rating. Factors that mitigate the risk include the authorities' economic reform program supported by the ECF and the World Bank's DPOs, which are expected to catalyze grant and concessional financing. Another factor is the consistently strong performance of remittances, which supports external sustainability. While debt vulnerabilities are projected to decline over the medium term, this overall assessment is contingent on (i) progress on domestic resource mobilization and gradual but sustained fiscal consolidation over the medium term, (ii) no additional non-concessional borrowing, and (iii) enhanced financial oversight of SOEs. The use of judgement in determining the risk rating will be reviewed in the next DSA.

22. Risks to the baseline are tilted to the downside. Extreme weather-related shocks are an ever-present threat to growth and public finances. Shortfalls in domestic revenue mobilization, combined with cash management weaknesses, could undermine the fiscal consolidation agenda and increase arrears, threatening debt sustainability. External risks arise from continued global geoeconomic fragmentation that could negatively impact trade, particularly fuel and food imports—although given Comoros's narrow export base and limited integration in global value chains, the direct transmission of global trade shocks is expected to be muted. Sharper-than-expected declines in official development assistance (ODA) could constrain public investment and social spending, which rely on external support, while weaker external demand could affect export revenues and FX inflows. Upside risks include faster-than-expected gains from WTO accession and public investment projects. Increased tourism or FDI inflows, under strengthening ECF program implementation, could also lift growth above baseline.

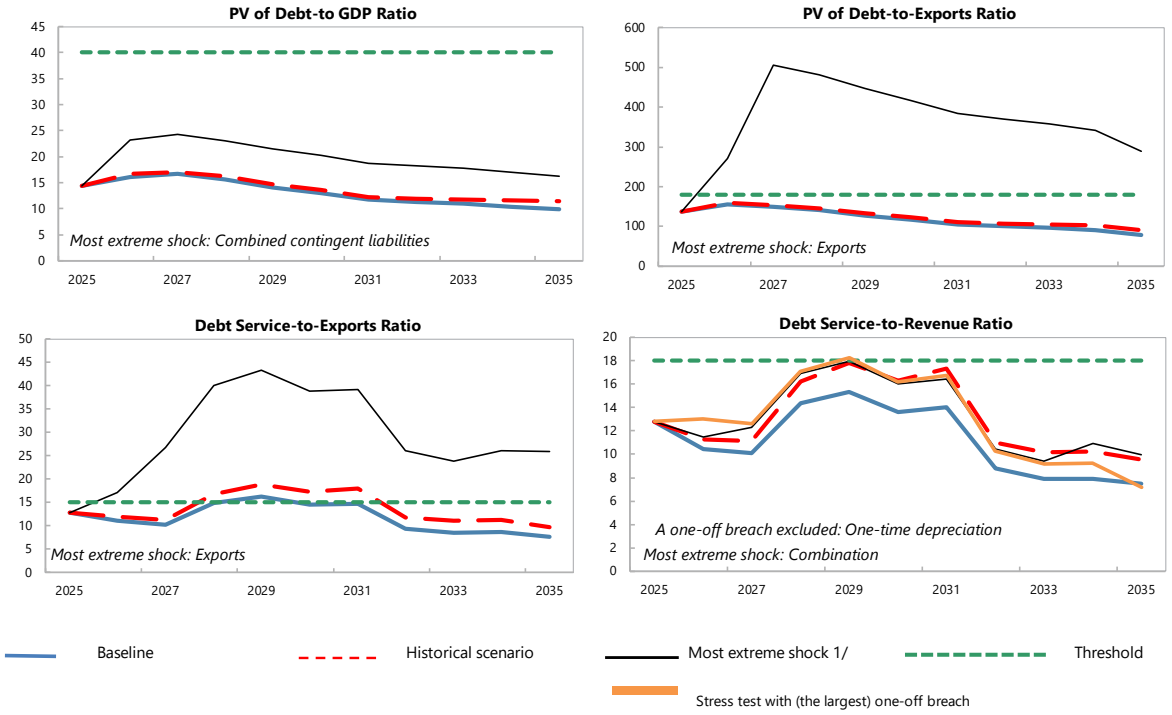
[11] In the context of the ECF-supported program, engagement with the World Bank, and support from the African Development Bank, the authorities are working to gradually improve debt management capacity.

23. Mitigating risks to public debt requires several policy actions: Reforms under the ECF program that will help mitigate risks to public debt via (i) making faster progress on domestic resource mobilization and ensuring gradual but sustained fiscal consolidation over the medium term, (ii) avoiding additional non-concessional borrowing, (iii) enhancing financial oversight of SOEs, which should help reduce the size of a contingent liability shock should it materialize. Risks could also be mitigated through the implementation of reforms under the World Bank's DPOs and the SDFP as follows: (i) the compulsory reporting of SOE financial performance and the audit of financial statements; and (ii) the enhanced regulatory framework for the issuance of public guarantees and on-lend credit. Additional measures related to the diversification of the export base could help further lessen debt vulnerabilities as underscored by the sensitivity analysis.

Authorities' Views

24. The authorities broadly agreed with staff's assessment of debt sustainability. They agreed that sustaining fiscal consolidation efforts and advancing structural reforms under the ECF program are critical to preserve debt sustainability and achieve their objective of reducing the risk of debt distress to moderate over the medium term. They aim to improve their debt management practices with the support of development partners.

Figure 1. Indicators of Public and Publicly Guaranteed External Debt Under Alternative Scenarios, 2025-2035



Customization of Default Settings

Tailored Stress	Size	Interactions
Combined CL	Yes	
Natural disaster	No	No
Commodity price 2/	n.a.	n.a.
Market financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*

	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	1.4%	1.4%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	32	32
Avg. grace period	7	7

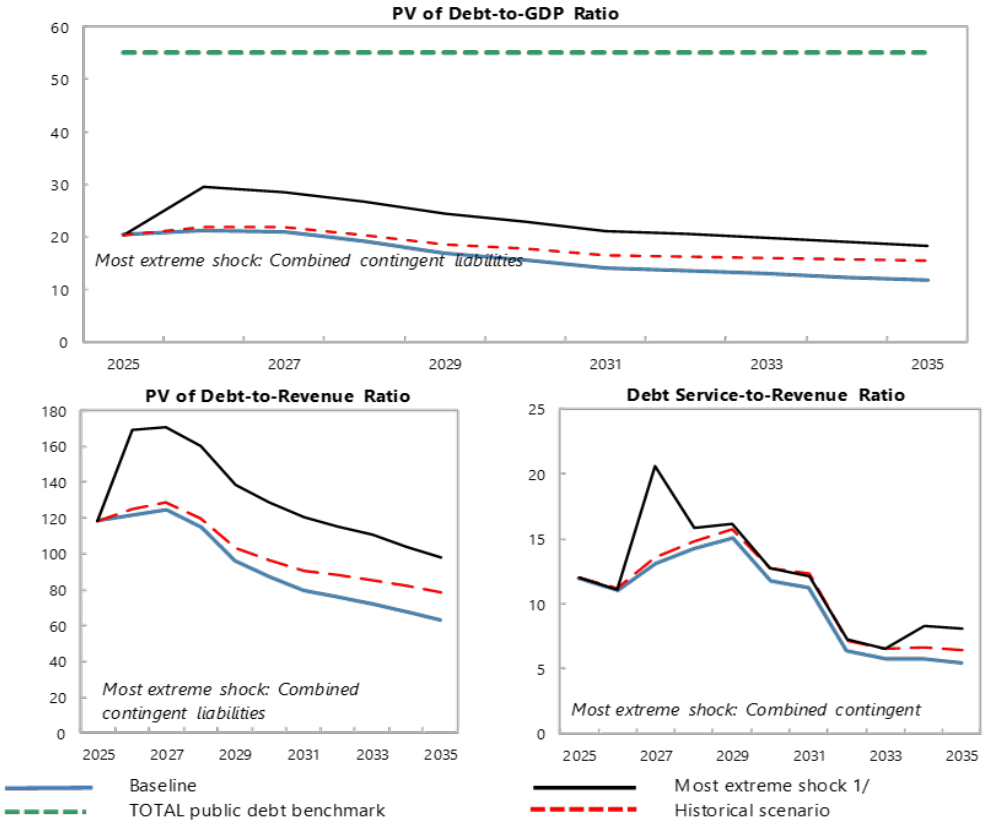
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2035. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Indicators of Public Debt Under Alternative Scenarios, 2025-2035



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	92%	92%
Domestic medium and long-term	1%	1%
Domestic short-term	7%	7%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.4%	1.4%
Avg. maturity (incl. grace period)	32	32
Avg. grace period	7	7
Domestic MLT debt		
Avg. real interest rate on new borrowing	3.8%	3.8%
Avg. maturity (incl. grace period)	1	1
Avg. grace period	0	0
Domestic short-term debt		
Avg. real interest rate	0.6%	0.6%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

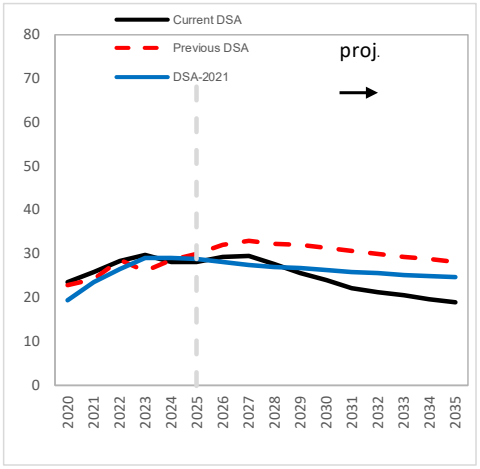
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2035. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

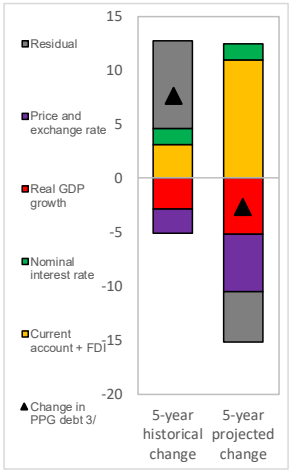
Figure 3. Drivers of Debt Dynamics—Baseline Scenario

External Debt

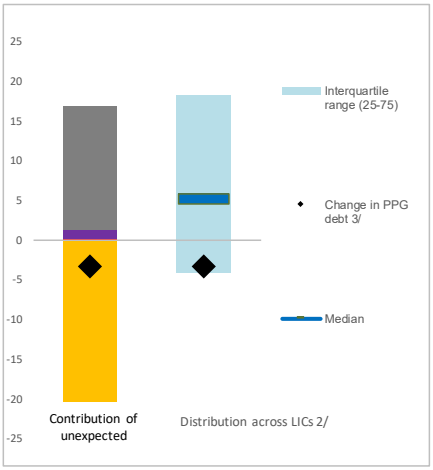
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating Flows
(percent of GDP)

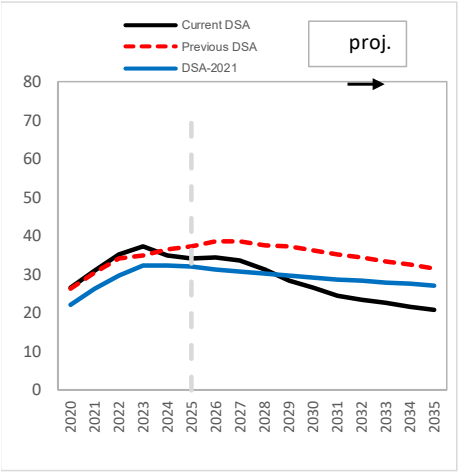


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

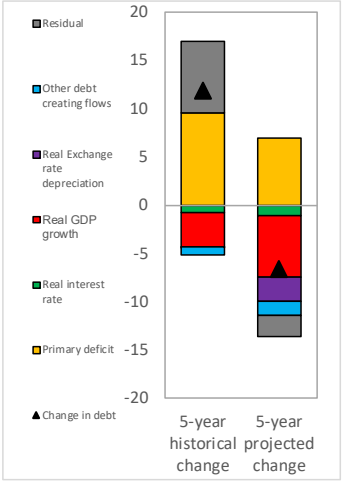


Public Debt

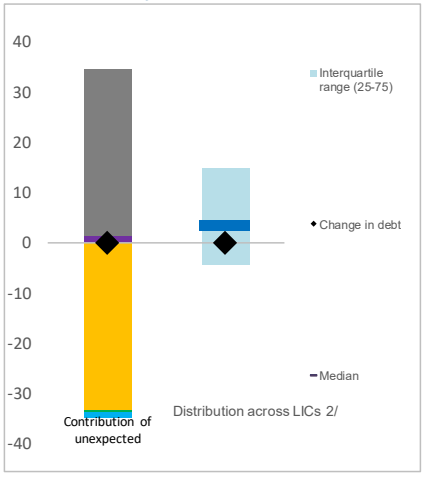
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating Flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

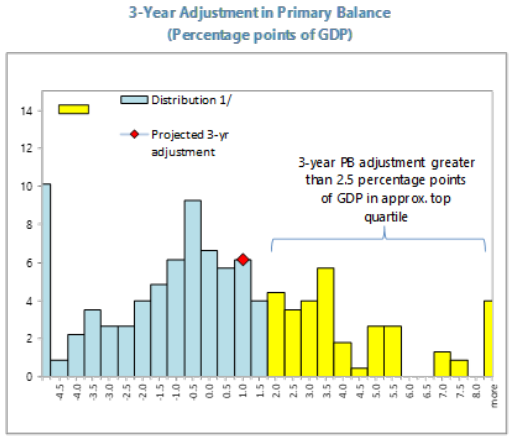


1/ Difference between anticipated and actual contributions on debt ratios.

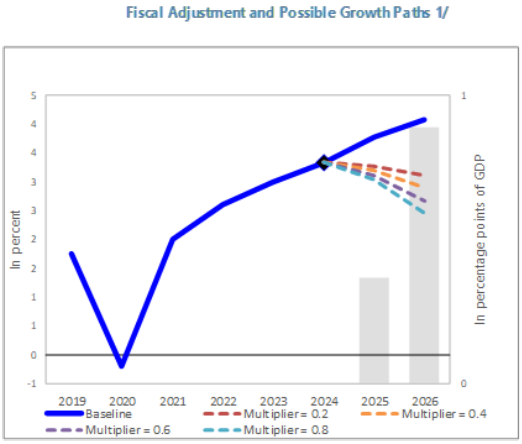
2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

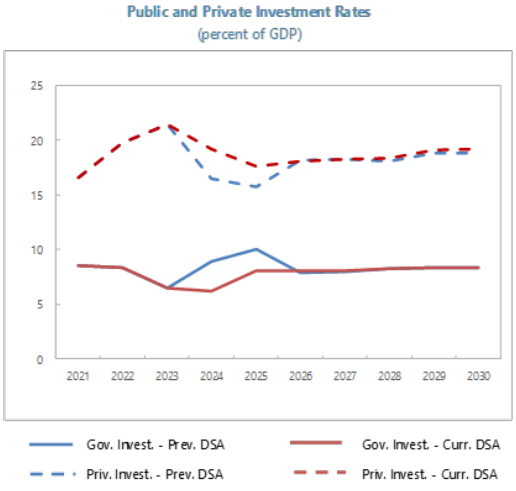
Figure 4. Realism Tools



1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).



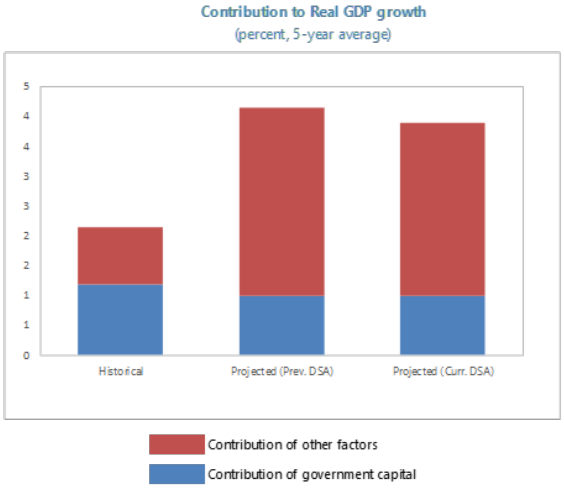


Figure 5. Indicators of Public and Publicly Guaranteed External Debt Under a Pessimistic Climate Change Scenario, 2025-2035

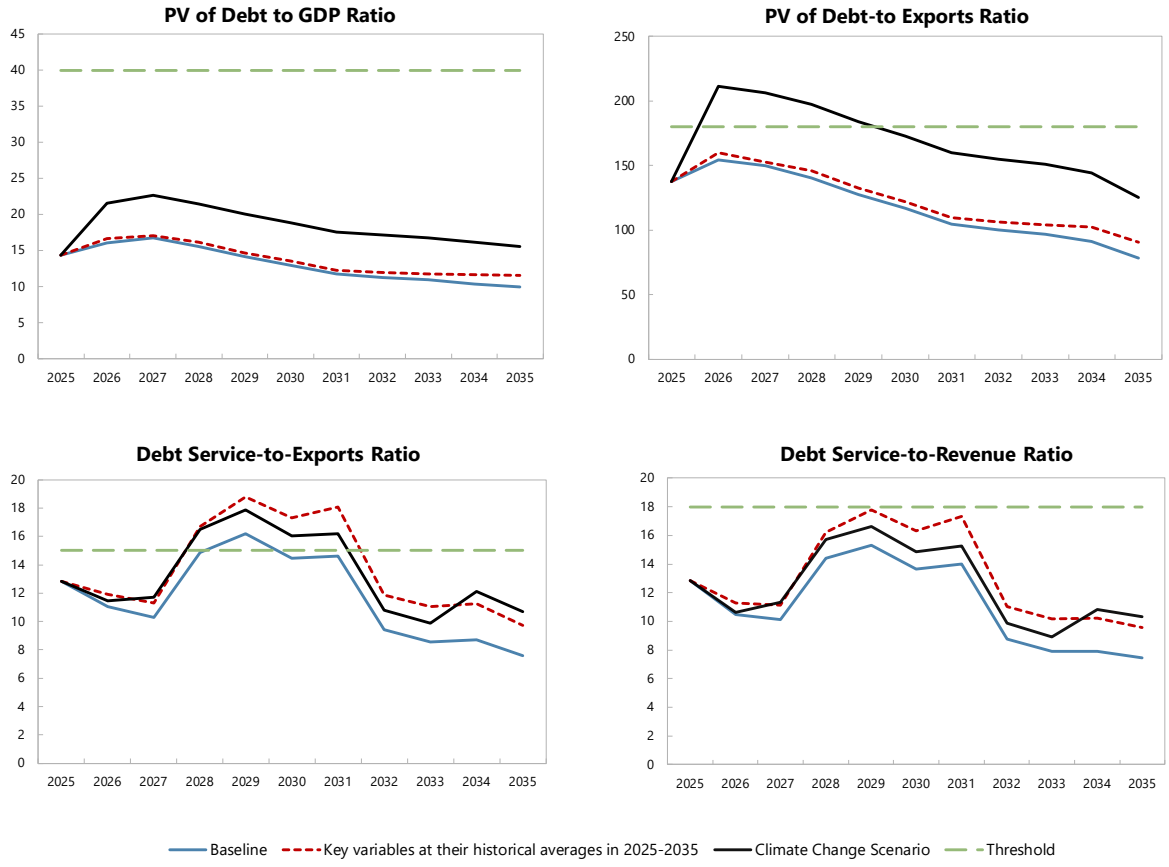


Figure 6. Indicators of Public Debt Under a Pessimistic Climate Change Scenario, 2025-2035



Table 1. Union of Comoros: Decomposition of Public Debt 2024-26[1]

	Debt Stock (end of period)			Debt Service					
	2024			2024	2025	2026	2024	2025	2026
	(In US$)	(Percent total debt)	(Percent GDP)	(In US$)			(Percent GDP)		
Total	504.1	100.0	35.0	23.8	19.8	17.8	2.0	1.6	1.5
External	405.5	80.4	28.1	23.8	19.8	17.8	2.0	1.6	1.5
Multilateral creditors[2]	216.9	43.0	15.0	12.8	9.1	6.8	1.1	0.8	0.6
IMF	28.8	5.7	2.0	7.3	3.6	1.8	0.6	0.3	0.1
World Bank	102.1	20.3	7.1	0.6	0.6	0.6	0.0	0.0	0.0
ADB/AfDB/IADB	26.2	5.2	1.8	0.2	0.2	0.2	0.0	0.0	0.0
Other Multilaterals	59.8	11.9	4.2	4.7	4.8	4.2	0.4	0.4	0.3
o/w: BADEA	28.0	5.6	1.9	0.0	0.0	0.0	0.0	0.0	0.0
o/w: TDB	14.6	2.9	1.0	4.4	3.8	3.1	0.4	0.3	0.3
o/w: IsDB	6.6	1.3	0.5	0.1	0.1	0.1	0.0	0.0	0.0
Bilateral Creditors	188.6	37.4	13.1	11.0	10.6	11.0	0.9	0.9	0.9
Paris Club	1.5	0.3	0.1	0.1	0.1	0.5	0.0	0.0	0.0
o/w: France	1.5	0.3	0.1	0.1	0.1	0.5	0.0	0.0	0.0
Non-Paris Club	187.1	37.1	13.0	10.9	10.5	10.5	0.9	0.9	0.9
o/w: China	97.5	19.3	6.8	6.5	6.4	5.3	0.5	0.5	0.4
o/w: Saudi Arabia	37.4	7.4	2.6	1.0	0.8	1.8	0.1	0.1	0.1
o/w: India	29.5	5.8	2.0	2.2	2.2	2.3	0.2	0.2	0.2
o/w: Kuwait	22.7	4.5	1.6	1.1	1.1	1.1	0.1	0.1	0.1
Bonds	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Commercial creditors	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic	98.6	19.6	6.8	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
Held by residents, total	98.6	19.6	6.8	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
Held by non-residents, total	0.0	0.0	0.0						
T-Bills	0.0	0.0	0.0						
Bonds	0.0	0.0	0.0						
Loans	0.0	0.0	0.0						
Memo items:									
Collateralized debt[3]	0.0	0.0	0.0						
o/w: Related	0.0	0.0	0.0						
o/w: Unrelated	0.0	0.0	0.0						
Contingent liabilities	N.A.								
o/w: Public guarantees	N.A.								
o/w: Other explicit contingent liabilities[4]	N.A.								
Nominal GDP	1442								

1/As reported by Country authorities according to their classification of creditors, including by official and commercial.

2/ "Multilateral creditors" are simply institutions with more than one official shareholder and may not necessarily align with creditor classification under other IMF policies (e.g. Lending Into Arrears)

3/ Debt is collateralized when the creditor has rights over an asset or revenue stream that would allow it, if the borrower defaults on its payment obligations, to rely on the asset or revenue stream to secure repayment of the debt. Collateralization entails a borrower granting liens over specific existing assets or future receivables to a lender as security against repayment of the loan. Collateral is "unrelated" when it has no relationship to a project financed by the loan. An example would be borrowing to finance the budget deficit, collateralized by oil revenue receipts. See the joint IMF-World Bank note for the G20 "Collateralized Transactions: Key Considerations for Public Lenders and Borrowers" for a discussion of issues raised by collateral.

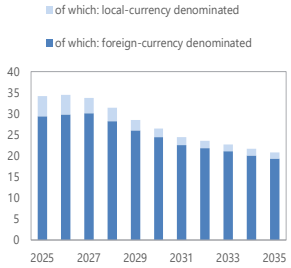
4/ Includes other-one off guarantees not included in publicly guaranteed debt (e.g. credit lines) and other explicit contingent liabilities not elsewhere classified (e.g. potential legal claims, payments resulting from PPP arrangements).

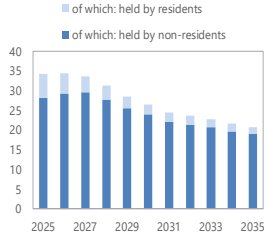
Table 2. Union of Comoros: Public Sector Debt Sustainability Framework, Baseline Scenario, 2022-2045

	Actual			Projections								Average 6/	
	2022	2023	2024	2025	2026	2027	2028	2029	2030	2035	2045	Historical	Projections
Public sector debt 1/	**35.1**	**37.3**	**35.1**	**34.2**	**34.4**	**33.6**	**31.3**	**28.4**	**26.5**	**20.8**	**16.3**	**25.7**	**27.4**
of which: external debt	**28.4**	**29.7**	**28.2**	**28.2**	**29.3**	**29.5**	**27.7**	**25.5**	**23.9**	**19.0**	**13.6**	**21.8**	**24.3**
Change in public sector debt	4.0	2.1	-2.2	-0.9	0.3	-0.8	-2.3	-2.9	-1.9	-0.9	-0.1		
Identified debt-creating flows	**4.4**	**-1.1**	**-0.2**	**0.1**	**-0.8**	**-0.4**	**-0.1**	**-0.6**	**-0.4**	**0.1**	**0.5**	**0.9**	**-0.2**
Primary deficit	**3.7**	**1.0**	**2.4**	**2.0**	**1.1**	**1.4**	**1.6**	**0.8**	**0.8**	**1.0**	**1.0**	**1.5**	**1.2**
Revenue and grants	14.5	16.5	16.5	17.2	17.4	16.8	16.6	17.7	17.8	18.6	20.8	**17.0**	**17.6**
of which: grants	4.5	9.5	7.4	6.7	6.4	5.4	5.2	6.0	6.0	5.8	5.7		
Primary (noninterest) expenditure	18.2	17.5	18.8	19.2	18.6	18.2	18.2	18.5	18.6	19.7	21.8	**18.5**	**18.8**
Automatic debt dynamics	**1.1**	**-2.0**	**-2.4**	**-1.6**	**-1.6**	**-1.6**	**-1.4**	**-1.3**	**-1.2**	**-1.0**	**-0.5**		
Contribution from interest rate/growth differential	-1.0	-1.1	-1.7	-1.6	-1.6	-1.6	-1.4	-1.3	-1.2	-1.0	-0.5		
of which: contribution from average real interest rate	-0.2	-0.1	-0.4	-0.3	-0.3	-0.2	-0.2	-0.2	-0.2	-0.2	0.1		
of which: contribution from real GDP growth	-0.8	-1.0	-1.2	-1.3	-1.3	-1.4	-1.2	-1.1	-1.0	-0.8	-0.6		
Contribution from real exchange rate depreciation	2.1	-0.9	-0.8	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**-0.4**	**-0.1**	**-0.2**	**-0.3**	**-0.3**	**-0.3**	**-0.3**	**-0.2**	**0.0**	**0.0**	**0.0**	**-0.1**	**-0.1**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	-0.4	-0.1	-0.2	-0.3	-0.3	-0.3	-0.3	-0.2	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**-0.4**	**3.3**	**-2.0**	**-1.0**	**1.1**	**-0.4**	**-2.2**	**-2.3**	**-1.5**	**-0.9**	**-0.6**	**1.4**	**-1.1**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**21.5**	**20.3**	**21.2**	**20.8**	**19.1**	**17.0**	**15.5**	**11.8**	**10.2**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**130.7**	**118.4**	**121.6**	**124.4**	**115.0**	**96.2**	**87.4**	**63.1**	**49.2**		
Debt service-to-revenue and grants ratio 3/	**7.7**	**11.0**	**13.6**	**12.0**	**11.1**	**13.1**	**14.2**	**15.1**	**11.8**	**5.5**	**3.2**		
Gross financing need 4/	4.4	2.7	4.4	3.7	2.7	3.3	3.7	3.3	2.9	2.1	1.7		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	2.6	3.0	3.3	3.8	4.1	4.1	3.8	3.6	3.6	3.6	3.6	**2.4**	**3.7**
Average nominal interest rate on external debt (in percent)	1.2	1.5	1.1	1.2	1.0	1.1	1.2	1.0	1.1	0.7	0.8	**0.9**	**0.9**
Average real interest rate on domestic debt (in percent)	-2.3	0.0	-2.4	-0.7	-0.1	0.2	0.6	1.2	0.3	1.0	2.4	**0.7**	**0.6**
Real exchange rate depreciation (in percent, + indicates depreciation)	8.4	-3.4	-2.8	...	...	...	...	...	...	...	...	**1.3**	**...**
Inflation rate (GDP deflator, in percent)	5.2	2.7	5.0	3.3	2.4	2.1	2.1	2.1	2.5	2.2	2.3	**2.0**	**2.3**
Growth of real primary spending (deflated by GDP deflator, in percent)	-4.8	-1.3	11.3	5.7	0.7	2.2	4.1	5.1	4.1	5.8	8.6	**5.6**	**4.2**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-0.3	-1.2	4.6	2.9	0.8	2.2	3.9	3.7	2.7	1.9	1.1	**1.1**	**2.5**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt . Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

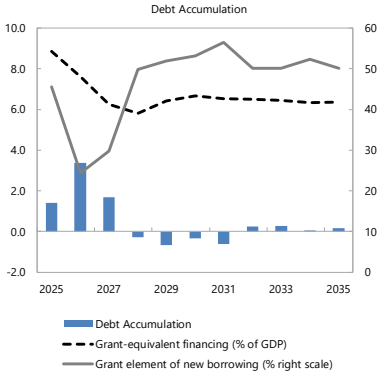
5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

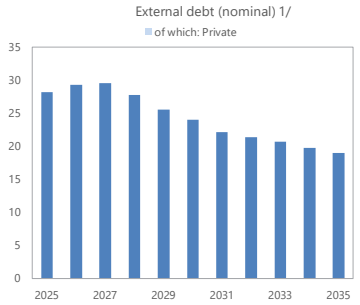
6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Union of Comoros: External Debt Sustainability Framework, Baseline Scenario, 2022-2045

	Actual			Projections							Average 8/	
	2022	2023	2024	2025	2026	2027	2028	2029	2030	2035	2045	Historical	Projections
External debt (nominal) 1/	**28.4**	**29.7**	**28.2**	**28.2**	**29.3**	**29.5**	**27.7**	**25.5**	**23.9**	**19.0**	**13.6**	**21.8**	**24.3**
of which: public and publicly guaranteed (PPG)	**28.4**	**29.7**	**28.2**	**28.2**	**29.3**	**29.5**	**27.7**	**25.5**	**23.9**	**19.0**	**13.6**	**21.8**	**24.3**
Change in external debt	2.4	1.3	-1.5	0.0	1.1	0.2	-1.8	-2.2	-1.6	-0.7	-0.5		
Identified net debt-creating flows	**1.1**	**-1.1**	**-0.4**	**1.4**	**1.5**	**2.0**	**1.0**	**1.4**	**1.3**	**0.7**	**0.0**	**1.0**	**1.2**
Non-interest current account deficit	**0.1**	**1.1**	**2.0**	**2.7**	**2.9**	**3.4**	**2.3**	**2.7**	**2.5**	**1.9**	**1.0**	**1.8**	**2.5**
Deficit in balance of goods and services	25.7	26.4	25.8	24.4	22.4	20.4	18.5	18.8	17.9	14.2	9.2	**20.9**	**18.2**
Exports	13.7	11.3	10.2	10.4	10.4	11.2	11.1	11.1	11.1	12.7	12.4		
Imports	39.4	37.7	36.0	34.8	32.8	31.6	29.5	29.8	29.0	26.9	21.6		
Net current transfers (negative = inflow)	-24.7	-24.4	-22.9	-21.0	-18.8	-16.2	-15.4	-15.3	-14.6	-11.4	-6.5	**-18.4**	**-14.9**
of which: official	-3.2	-4.8	-4.1	-2.9	-2.1	-1.2	-1.2	-1.9	-1.9	-1.6	-0.5		
Other current account flows (negative = net inflow)	-0.9	-0.9	-0.9	-0.7	-0.7	-0.8	-0.8	-0.8	-0.8	-0.9	-1.7	**-0.7**	**-0.8**
Net FDI (negative = inflow)	**-0.3**	**-0.4**	**-0.4**	**-0.6**	**-0.6**	**-0.6**	**-0.6**	**-0.6**	**-0.6**	**-0.6**	**-0.6**	**-0.4**	**-0.6**
Endogenous debt dynamics 2/	**1.4**	**-1.8**	**-2.0**	**-0.6**	**-0.8**	**-0.8**	**-0.7**	**-0.7**	**-0.6**	**-0.6**	**-0.4**		
Contribution from nominal interest rate	0.3	0.4	0.3	0.3	0.2	0.3	0.3	0.3	0.3	0.1	0.1		
Contribution from real GDP growth	-0.7	-0.8	-0.9	-1.0	-1.0	-1.1	-1.1	-1.0	-0.9	-0.7	-0.5		
Contribution from price and exchange rate changes	1.7	-1.4	-1.4	...	...	...	...	...	...	...	...		
Residual 3/	**1.3**	**2.5**	**-1.1**	**-1.5**	**-0.4**	**-1.7**	**-2.8**	**-3.6**	**-2.9**	**-1.5**	**-0.5**	**0.8**	**-2.0**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**14.7**	**14.4**	**16.1**	**16.8**	**15.6**	**14.1**	**13.0**	**10.0**	**7.5**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**144.2**	**137.4**	**154.6**	**149.8**	**140.6**	**127.7**	**116.8**	**78.6**	**60.7**		
PPG debt service-to-exports ratio	**6.2**	**12.5**	**15.5**	**12.9**	**11.1**	**10.3**	**14.8**	**16.2**	**14.5**	**7.6**	**4.5**		
PPG debt service-to-revenue ratio	**8.4**	**20.0**	**17.4**	**12.8**	**10.5**	**10.1**	**14.4**	**15.3**	**13.6**	**7.5**	**3.7**		
Gross external financing need (Million of U.S. dollars)	7.6	28.0	45.6	55.5	61.1	74.8	67.3	82.0	79.6	67.0	50.4		
Key macroeconomic assumptions													
Real GDP growth (in percent)	2.6	3.0	3.3	3.8	4.1	4.1	3.8	3.6	3.6	3.6	3.6	**2.4**	**3.7**
GDP deflator in US dollar terms (change in percent)	-6.3	5.4	5.0	8.0	6.0	1.8	1.9	2.0	2.4	2.2	2.3	**0.1**	**3.0**
Effective interest rate (percent) 4/	1.2	1.5	1.1	1.2	1.0	1.1	1.2	1.0	1.1	0.7	0.8	**0.9**	**0.9**
Growth of exports of G&S (US dollar terms, in percent)	29.4	-10.5	-1.8	15.0	9.8	14.0	4.9	5.4	6.7	18.3	5.3	**7.1**	**9.1**
Growth of imports of G&S (US dollar terms, in percent)	15.5	3.9	3.8	8.3	3.8	2.2	-0.9	6.6	3.3	10.1	6.4	**5.2**	**4.1**
Grant element of new public sector borrowing (in percent)	...	...	...	45.6	24.4	29.8	49.9	51.9	53.1	50.1	48.8	**...**	**46.7**
Government revenues (excluding grants, in percent of GDP)	10.0	7.0	9.1	10.5	11.0	11.3	11.4	11.7	11.8	12.9	15.1	**10.0**	**11.7**
Aid flows (in Million of US dollars) 5/	55.3	126.3	106.7	174.5	140.4	127.7	127.1	143.4	162.5	208.1	341.6		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	8.8	7.6	6.3	5.8	6.4	6.7	6.4	6.0	**...**	**6.7**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	77.5	68.1	76.0	90.7	94.2	92.0	91.5	94.0	**...**	**87.1**
Nominal GDP (Million of US dollars)	1,224	1,328	1,442	...	...	...	...	...	...	... ...	...		
Nominal dollar GDP growth	-3.9	8.5	8.5	12.1	10.3	6.0	5.8	5.7	6.1	5.9	6.0	**2.6**	**6.9**
Memorandum items:													
PV of external debt 7/	...	...	14.7	14.4	16.1	16.8	15.6	14.1	13.0	10.0	7.5		
In percent of exports	...	...	144.2	137.4	154.6	149.8	140.6	127.7	116.8	78.6	60.7		
Total external debt service-to-exports ratio	6.2	12.5	15.5	12.9	11.1	10.3	14.8	16.2	14.5	7.6	4.5		
PV of PPG external debt (in Million of US dollars)			211.7	232.0	286.6	316.7	311.7	298.4	291.4	297.7	400.0		
PVt-PVt-1)/GDPt-1 (in percent)				1.4	3.4	1.7	-0.3	-0.7	-0.3	0.2	0.2		
Non-interest current account deficit that stabilizes debt ratio	-2.3	-0.2	3.5	2.7	1.8	3.2	4.1	4.9	4.1	2.6	1.5		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g) + εα(1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, ε=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 4. Union of Comoros: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2025-2035

	Projections 1/										
	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
PV of Debt-to GDP Ratio											
Baseline	14	16	17	16	14	13	12	11	11	10	10
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2025-2035 2/	14	17	17	16	15	14	12	12	12	12	12
B. Bound Tests											
B1. Real GDP growth	14	17	18	17	15	14	13	12	12	11	11
B2. Primary balance	14	17	19	18	17	16	14	14	13	13	12
B3. Exports	14	19	23	22	21	19	18	17	17	16	15
B4. Other flows 3/	14	19	22	20	19	18	16	16	15	15	14
B5. Depreciation	14	20	16	15	13	12	10	10	10	9	9
B6. Combination of B1-B5	14	22	22	21	19	18	16	16	15	14	14
C. Tailored Tests											
C1. Combined contingent liabilities	14	23	24	23	21	20	19	18	18	17	16
C2. Natural disaster	14	22	23	21	20	19	18	17	17	16	16
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of Debt-to-Exports Ratio											
Baseline	137	155	150	141	128	117	105	100	97	92	79
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2025-2035 2/	137	160	153	146	133	122	110	106	104	102	91
B. Bound Tests											
B1. Real GDP growth	137	155	150	141	128	117	105	100	97	92	79
B2. Primary balance	137	168	174	166	153	141	128	124	119	113	97
B3. Exports	137	**271**	**505**	**481**	**447**	**417**	**384**	**370**	**359**	**341**	**290**
B4. Other flows 3/	137	**186**	**194**	**184**	171	159	146	141	136	129	110
B5. Depreciation	137	155	118	109	97	86	75	72	68	64	55
B6. Combination of B1-B5	137	**235**	175	**263**	**242**	**223**	**203**	**196**	**189**	178	152
C. Tailored Tests											
C1. Combined contingent liabilities	137	**223**	**218**	**208**	**194**	**182**	168	163	158	150	129
C2. Natural disaster	137	**211**	**206**	**197**	**184**	173	160	155	151	145	125
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt Service-to-Exports Ratio											
Baseline	13	11	10	15	**16**	14	15	9	9	9	8
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2025-2035 2/	13	12	11	**17**	**19**	**17**	**18**	12	11	11	10
B. Bound Tests											
B1. Real GDP growth	13	11	10	15	**16**	14	15	9	9	9	8
B2. Primary balance	13	11	11	**15**	**17**	15	**15**	10	9	10	9
B3. Exports	13	**17**	**27**	**40**	**43**	**39**	**39**	**26**	**24**	**26**	**26**
B4. Other flows 3/	13	11	11	**16**	**17**	**15**	**16**	10	9	11	10
B5. Depreciation	13	11	10	14	**15**	14	14	9	8	8	6
B6. Combination of B1-B5	13	14	**17**	**24**	**26**	**24**	**24**	**16**	14	**17**	14
C. Tailored Tests											
C1. Combined contingent liabilities	13	11	12	**16**	**18**	**16**	**16**	11	10	13	11
C2. Natural disaster	13	11	12	**16**	**18**	**16**	**16**	11	10	12	11
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt Service-to-Revenue Ratio											
Baseline	13	10	10	14	15	14	14	9	8	8	7
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2025-2035 2/	13	11	11	16	18	16	17	11	10	10	10
B. Bound Tests											
B1. Real GDP growth	13	11	11	16	17	15	15	10	9	9	8
B2. Primary balance	13	10	10	15	16	14	15	9	8	9	9
B3. Exports	13	11	11	16	17	15	16	10	9	10	11
B4. Other flows 3/	13	10	11	15	16	15	15	10	9	10	10
B5. Depreciation	13	13	13	17	**18**	16	17	10	9	9	7
B6. Combination of B1-B5	13	11	12	17	18	16	16	10	9	11	10
C. Tailored Tests											
C1. Combined contingent liabilities	13	10	12	16	17	15	15	10	9	12	11
C2. Natural disaster	13	11	11	16	17	15	15	10	9	11	10
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and staff estimates and projections.

1/ A bold value indicates a breach of the threshold.

2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.

3/ Includes official and private transfers and FDI.

Table 5. Union of Comoros: Sensitivity Analysis for Key Indicators of Public Debt, 2025-2035

	Projections 1/										
	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
PV of Debt-to-GDP Ratio											
Baseline	20	21	21	19	17	16	14	14	13	12	12
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2025-2035 2/	20	22	22	20	19	18	16	16	16	16	15
B. Bound Tests											
B1. Real GDP growth	20	23	24	23	21	20	19	19	19	19	19
B2. Primary balance	20	23	24	22	20	18	17	16	16	15	14
B3. Exports	20	23	27	25	23	21	19	19	18	17	16
B4. Other flows 3/	20	24	26	24	22	20	19	18	17	17	16
B5. Depreciation	20	25	23	21	18	16	14	12	11	10	9
B6. Combination of B1-B5	20	22	22	19	17	16	14	14	13	12	12
C. Tailored Tests											
C1. Combined contingent liabilities	20	30	29	27	24	23	21	21	20	19	18
C2. Natural disaster	20	28	27	25	23	22	20	19	19	18	18
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	118	122	124	115	96	87	80	76	72	67	63
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2025-2035 2/	118	125	129	120	103	97	90	88	86	82	79
B. Bound Tests											
B1. Real GDP growth	118	127	138	132	114	108	103	102	101	100	98
B2. Primary balance	118	131	142	132	112	103	95	91	87	82	77
B3. Exports	118	134	159	149	128	118	110	106	101	95	88
B4. Other flows 3/	118	140	154	144	123	114	106	101	97	91	84
B5. Depreciation	118	146	143	129	105	91	79	71	63	55	48
B6. Combination of B1-B5	118	129	132	116	97	88	80	76	73	68	64
C. Tailored Tests											
C1. Combined contingent liabilities	118	169	170	160	138	128	120	115	110	104	98
C2. Natural disaster	118	158	160	151	130	120	113	109	105	99	94
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	12	11	13	14	15	12	11	6	6	6	5
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2025-2035 2/	12	11	14	15	16	13	12	7	7	7	6
B. Bound Tests											
B1. Real GDP growth	12	11	14	16	17	13	13	8	7	7	7
B2. Primary balance	12	11	15	16	16	12	12	7	6	6	6
B3. Exports	12	11	13	15	16	12	12	7	6	7	7
B4. Other flows 3/	12	11	13	15	16	12	12	7	6	7	7
B5. Depreciation	12	12	15	18	19	15	15	8	8	7	7
B6. Combination of B1-B5	12	11	13	15	15	12	11	6	6	6	5
C. Tailored Tests											
C1. Combined contingent liabilities	12	11	21	16	16	13	12	7	7	8	8
C2. Natural disaster	12	11	19	16	16	13	12	7	7	8	8
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.

1/ A bold value indicates a breach of the benchmark.

2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.

3/ Includes official and private transfers and FDI.

Statement by Mr. Adriano Ubisse and Mr. Mohamed Cheik on
Union of the Comoros
Executive Board Meeting
February 11, 2026

INTRODUCTION

1. **Our Comorian authorities express their deep appreciation for the Fund's constructive engagement and value the high-quality policy dialogue with staff, which has contributed meaningfully to advancing shared objectives and strengthening the reform agenda.** They thank Mr. Vermeulen and his team for the candid and productive discussions held during Article IV consultation and the Fifth Review mission in Moroni. The authorities broadly concur with staff's assessment and recommendations and reaffirm their strong ownership of the ECF supported program, which they view as a central anchor for macroeconomic stability, confidence, and donor coordination. They also note recent changes in the leadership and underscore that the appointment of a new Minister of Finance will not disrupt reform momentum, reiterating their full commitment, at the highest level, to advancing all agreed measures under the program.

2. **The ECF-supported program implementation takes place in a difficult environment marked by climate related shocks, tight fiscal space, financing constraints, and institutional capacity limitations.** These challenges intensified in 2025, including through social pressures associated with the airport concession. However, this has not weakened the authorities' resolve to sustain stabilization efforts and advance reforms consistent with program objectives, as evidenced by the strong program performance.

3. **In this context, the authorities underscore that the airport concession reflects a deliberate and necessary structural reform aimed at addressing longstanding inefficiencies and reducing fiscal risks in the aviation sector.** They assessed that a public private partnership offered the most viable approach to mobilizing investment, improving service delivery, and limiting contingent liabilities for the state. A targeted support package was implemented to mitigate the social impact of the transition, while the process is conducted with strong emphasis on enhancing transparency, including the sharing of relevant documentation and the implementation of prior action, in close coordination with development partners and in fully consistency with program commitments.

4. **The authorities also fully recognize the fiscal risks associated with preparations for the 2027 Indian Ocean Islands Games and stress their firm commitment to manage these risks prudently and transparently, in line with program objectives.** In this regard, the envisaged safeguards underscore the authorities' determination to secure the Games' benefits while preserving fiscal discipline and the hard-won gains under the ECF-supported program.

PROGRAM PERFORMANCE

5. **Program implementation is broadly on track, with most QPCs and ITs observed despite temporary pressures on the fiscal and external accounts.** Three end-June QPCs—tax revenues, net international reserves, and the ceiling on non-concessional external debt—were met, underscoring continued progress on revenue mobilization and prudent borrowing. The domestic primary balance target was missed due to exceptional airport-related social transfers, while the temporary breach of the continuous QPC on external arrears reflected

short-lived payment delays that were promptly cleared. Both end-June indicative targets were met, and available data confirm observance of all end-December QPCs and ITs except where corrective measures have already been taken.

6. **The authorities have maintained strong structural reform momentum, with the vast majority of structural benchmarks (SBs) for 2025 completed on time**. Thirteen of the fifteen SBs due between end-June and December were met, including actions that strengthened customs procedures, improved the accuracy of SYDONIA tax parameterization, and tightened controls in IM9 immediate-release process. The remaining benchmark – finalizing time-bound recapitalization plans for undercapitalized banks– is being re-sequenced to ensure that the resulting plans are technically sound and financially credible.

7. T**he authorities underscore that corrective actions are firmly in place to realign program implementation with agreed objectives.** The supplementary 2025 budget regularizes exceptional social spending and tightens expenditure controls, while the 2026 budget introduces a permanent and credible revenue package supported by enhanced tax and customs administration. Pre-identified contingency measures further safeguard fiscal targets. The authorities have strengthened transparency around the severance-payment process and are intensifying anti-corruption and PFM reforms to reinforce accountability. **In this context, and given overall progress, the authorities request Executives Directors' support in completing the Fifth Review under the ECF arrangement, approving waivers of nonobservance of performance criteria and associated decisions.**

RECENT ECONOMIC DEVELOPMENTS AND OUTLOOK

8. **Economic performance in 2025 was stronger than expected, supported by improved macroeconomic management, resilient domestic demand, and early gains from structural reforms.** Real GDP growth is estimated to have grown by 3.8 percent in 2025, reflecting robust household consumption, steady remittances, and a recovery in private-sector credit that stimulated construction and services. Inflation decelerated sharply from its March peak of 7.3 percent to 1.9 percent in October, driven by lower import prices, improved domestic supply conditions, and favorable weather. While fiscal performance was temporarily weakened by exceptional airport-related social transfers and investment pressures, year-end corrective measures—including the supplementary budget and strengthened revenue actions—helped contain slippages. Progress in PFM reforms, especially in cash-flow planning, TSA expansion, and SOE oversight, continues to enhance transparency and budget execution.

9. **External and financial buffers strengthened during 2025, reflecting prudent macroeconomic policies and targeted liquidity support by the central bank.** Gross international reserves increased to about US$357 million at end-September 2025, equivalent to roughly 7.6 months of imports. This increase reflects resilient remittances, program disbursements, and an improved trade balance due to lower energy import costs and a temporary boost in non-traditional exports.

10. **The medium-term outlook remains favorable, although some downside risks persist.** Growth is projected to stabilize around 3½–4 percent, underpinned by ongoing reforms, improvements in public investment efficiency, and potential gains from tourism, FDI, and WTO accession. Going forward, continued efforts to strengthen revenue mobilization, manage debt prudently, and enhance SOE governance should support a gradual decline in public-debt vulnerabilities, even as liquidity constraints and legacy arrears keep

overall risks elevated. Downside risks stem from climate shocks, delays in external financing, SOE-related pressures, and possible fiscal costs linked to bank restructuring, while WTO commitments could temporarily weigh on revenues. Conversely, decisive reform implementation, strengthened governance, and timely donor support would reinforce resilience and help sustain growth.

POLICY PRIORITIES FOR THE PERIOD AHEAD

FISCAL POLICY, DEBT, AND PUBLIC FINANCIAL MANAGEMENT

11. **The authorities underscore that sustained fiscal consolidation remains central to reducing vulnerabilities and creating space for priority social and development spending.** Their multiyear strategy emphasizes durable revenue mobilization, disciplined budget execution, and strengthened PFM foundations. The 2025 supplementary budget and the 2026 Budget introduce a coherent package of tax-policy measures—including rationalizing exemptions, enforcing the advance income tax for small importers, revising single-business tax parameters, and expanding excise coverage—while administrative measures aim to broaden the tax base, enhance arrears recovery (including at SOEs), and accelerate the digitization of tax and customs operations. Concurrent actions at customs, notably stricter IM9 controls, enhanced transparency through quarterly usage publication, and reinforced valuation practices, are expected to bolster compliance and safeguard revenues. On the expenditure side, the authorities are advancing decisive measures to improve spending efficiency and contain fiscal risks. These include continued restraint of the wage bill through the suspension of indexation, strict enforcement of hiring controls, and ongoing payroll cleansing. Transfer spending is being rationalized by unwinding one-off measures, tightening eligibility criteria, and strengthening oversight of subsidies, while ensuring adequate protection for the most vulnerable. Domestically financed investment is being prioritized toward high-impact and well-prepared projects, alongside tighter controls on commitment and procurement procedures to prevent the recurrence of extrabudgetary spending. In parallel, efforts to reduce fiscal risks from state-owned enterprises are being reinforced through stricter limits on budgetary transfers, improved monitoring of SOE finances, and enhanced enforcement of their tax and social contribution obligations.

12. **The authorities place prominence on strengthening debt management and enhancing transparency as key components of reducing debt-related risks.** All external arrears accumulated in 2025 have been cleared, and an arrears-clearance agreement with Bpifrance is being operationalized through a dedicated mechanism. The transition from CSDRMS to the Meridian system—supported by development partners—will improve the accuracy and timeliness of debt reporting. The authorities reiterate their commitment to rely exclusively on concessional financing and reinforce to better assess fiscal risks. They recognize that while debt remains sustainable, the elevated risk of distress underscores the need for continued consolidation and strengthened cash-management practices.

13. **Protecting priority social spending as fiscal consolidation advances ranks high on the authorities' priorities.** With support from development partners, targeted cash-transfer and livelihood-support programs are being implemented to shield vulnerable households, and the authorities reaffirm their commitment to ensuring timely execution and transparent disbursement to mitigate social impacts during the adjustment period.

14. **The authorities are advancing PFM reforms that strengthen budget credibility, transparency, and cash-management discipline.** Key achievements include publication of

the 2025 budget; adoption of the revised Budgetary and Accounting Management Rules, regular dissemination of fiscal data; expansion of the Treasury Single Account and daily reporting of government balances through the central bank. Looking ahead, priorities include organizational reforms within the Budget Directorate, operationalizing the MacroBudget Unit, and sustaining systematic monitoring and clearance of domestic arrears in line with the adopted strategy. Regarding the downside risks to the near-term outlook related to 2027 Island Game investments, the authorities reiterate that all Games-related expenditures are being strictly embedded within the approved medium-term fiscal framework and the annual budget process. They are prioritizing the use of existing and already-financed infrastructure, carefully sequencing new investments, and ensuring that any additional expenditures are subject to rigorous appraisal and budgetary ceilings consistent with debt sustainability. Importantly, they are strengthening oversight of state-owned enterprises involved in Games-related projects and will conduct due diligence before assuming any SOE-related obligations, thereby limiting contingent liabilities. The authorities also reaffirm their commitment to rely primarily on grants and highly concessional financing, avoid non-concessional borrowing, and stand ready to adjust the pace or scope of non-essential investments should financing conditions or fiscal performance warrant.

MONETARY AND EXTERNAL STABILITY AND THE FINANCIAL SECTOR

15. **The authorities remain firmly committed to preserving the euro parity anchor and price stability, while gradually modernizing the monetary policy framework and improving liquidity management.** To support the disinflation process and address uneven liquidity conditions across banks, the Central Bank adjusted its toolkit in 2025–26 by lowering the reserve requirement ratio, reducing the maximum rate on liquidity-absorbing tenders, and increasing the absorption ceiling to better align system-wide liquidity with evolving conditions. These changes have been accompanied by greater transparency, including the publication of auction calendars and results to strengthen the transmission of monetary policy. The authorities stand ready to recalibrate the stance should inflationary pressures re-emerge or reserve buffers come under stress, ensuring that the peg remains fully supported by prudent policies.

16. **The authorities are prioritizing financial-sector resilience by strengthening the crisis-management framework, addressing bank vulnerabilities, and advancing the restructuring of the postal bank.** Financial-sector reforms have progressed, including enhanced supervision and advances in recapitalization and resolution frameworks, although vulnerabilities persist due to high NPLs and undercapitalization in parts of the system. The new bank resolution and recovery law is being operationalized, with banks preparing recovery plans and the authorities—supported by IMF and World Bank technical assistance—designing a pragmatic approach to resolution financing and an emergency-liquidity assistance framework. Time-bound recapitalization plans for undercapitalized banks are being finalized, with a view to meeting the rescheduled structural benchmark by June 30, 2026. The restructuring of the former postal bank has progressed, as "Banque Postale des Comores" begins operations under prudent credit limits while its new banking information system and AML/CFT procedures are fully validated. Meanwhile, "SNPSF Liquidation" focuses on recovering legacy NPLs to help service related Treasury bonds. In parallel, the authorities are preparing a carefully sized pilot T-bill program to strengthen cash management without undermining market confidence or the monetary policy framework.

GOVERNANCE AND STRUCTURAL REFORMS

17. **The authorities are accelerating governance reforms to strengthen transparency, accountability, and the effectiveness of public institutions.** They continue to improve fiscal transparency through regular publication of procurement information, timely dissemination of fiscal data, and implementation of revised budget-execution and accounting regulations. Oversight of state-owned enterprises has been reinforced through the new Directorate for State Shareholding and Performance Monitoring, supported by performance contracts and enhanced tax-compliance agreements. Anti-corruption efforts have advanced with the operationalization of the Anti-Corruption Chamber and progress toward making the asset-declaration system fully operational by June 2026, including provisions for public access to extracts. The authorities also welcome continued support from development partners to strengthen judicial capacity, AML/CFT supervision, and the statistical systems needed for effective policymaking.

18. **The authorities view the airport concession as a central structural reform aimed at reducing fiscal risks, improving service delivery, and mobilizing private investment.** Given longstanding operational and financial weaknesses in the aviation sector, the authorities determined that a public-private partnership offers the most viable approach to modernize infrastructure while limiting contingent liabilities for the state. They recognize the social implications of the transition, particularly the layoffs affecting several hundred workers, and have implemented a transparent and well-documented support plan to cushion affected households. The concession is part of the authorities' broader strategy to modernize public services, strengthen governance, and enhance the role of the private sector in supporting growth. Structural reforms more broadly remain a priority, with continued efforts to improve PFM, strengthen oversight of SOEs, and foster a more conducive environment for private-sector development and inclusive growth.

CONCLUSION

19. **The authorities express their sincere appreciation for the IMF's continued technical and financial support, which has played a critical role in advancing their reform agenda.** They look forward to maintaining this close and constructive partnership and recognize the Fund's essential contribution—together with that of other development partners—to Comoros' transition from fragility toward more resilient, sustainable, and inclusive development.